

CONTRACTS
Kevin Davis
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Legal

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New York General Obligations Law on Consideration

The following provisions of New York's General Obligations Law deviate from or contradict traditional common law doctrine concerning consideration.

5-1103. Written Agreement for Modification or Discharge

An agreement, promise or undertaking to change or modify, or to discharge in whole or in part, any contract, obligation, or lease, or any mortgage or other security interest in personal or real property, shall not be invalid because of the absence of consideration, provided that the agreement, promise or undertaking changing, modifying, or discharging such contract, obligation, lease, mortgage or security interest, shall be in writing and signed by the party against whom it is sought to enforce the change, modification or discharge, or by his agent.

§ 5-1105. Written promise expressing past consideration

A promise in writing and signed by the promisor or by his agent shall not be denied effect as a valid contractual obligation on the ground that consideration for the promise is past or executed, if the consideration is expressed in the writing and is proved to have been given or performed and would be a valid consideration but for the time when it was given or performed.

5-1107. Written assignment

An assignment shall not be denied the effect of irrevocably transferring the assignor's rights because of the absence of consideration, if such assignment is in writing and signed by the assignor, or by his agent.

5-1109. Written irrevocable offer

Except as otherwise provided in section 2-205 of the uniform commercial code with respect to an offer by a merchant to buy or sell goods, when an offer to enter into a contract is made in a writing signed by the offeror, or by his agent, which states that the offer is irrevocable during a period set forth or until a time fixed, the offer shall not be revocable during such period or until such time because of the absence of consideration for the assurance of irrevocability. When such a writing states that the offer is irrevocable but does not state any period or time of irrevocability, it shall be construed to state that the offer is irrevocable for a reasonable time.

5-1113. Written or published promise or reward

A promise to pay a reward for return of lost or mislaid property is not unenforceable because of absence of consideration if the promise was made in writing or the promisor caused it to be published.

5-1115. Promises and Warranties in Conveyances Made Without Consideration

A promise or warranty by the grantor in a deed or conveyance of an estate or interest in real property and acknowledged or proved in the manner prescribed by law to entitle it to

be recorded shall not be denied effect because of the absence of consideration, if no consideration was intended.

[IN THE COURT OF APPEAL.]

C. A.

BALFOUR *v.* BALFOUR.

1919

June 24, 25.

Husband and Wife—Contract—Temporary Separation—Allowance for Maintenance of Wife—Domestic Arrangement—No resulting Contract.

The plaintiff sued the defendant (her husband) for money due under an alleged verbal agreement, whereby he undertook to allow her 30l. a month in consideration of her agreeing to support herself without calling upon him for any further maintenance. The parties were married in 1900. The husband was resident in Ceylon, where he held a Government appointment. The plaintiff accompanied him to Ceylon, but in 1915 they returned to England, he being on leave. In 1916 he went back to Ceylon, leaving her in England, where she had to remain temporarily under medical advice. The plaintiff alleged that the defendant before returning to Ceylon entered into the above agreement. The parties remaining apart, the plaintiff subsequently obtained a decree nisi for restitution of conjugal rights, and an order for alimony:—

Held, that the alleged agreement did not constitute a legal contract, but was only an ordinary domestic arrangement which could not be sued upon. Mutual promises made in the ordinary domestic relationship of husband and wife do not of necessity give cause for action on a contract.

Decision of Sargant J. reversed.

APPEAL from a decision of Sargant J., sitting as an additional judge of the King's Bench Division.

The plaintiff sued the defendant (her husband) for money which she claimed to be due in respect of an agreed allowance of 30l. a month. The alleged agreement was entered into under the following circumstances. The parties were married in August, 1900. The husband, a civil engineer, had a post under the Government of Ceylon as Director of Irrigation, and after the marriage he and his wife went to Ceylon, and lived there together until the year 1915, except that in 1906 they paid a short visit to this country, and in 1908 the wife came to England in order to undergo an operation, after which she returned to Ceylon. In November, 1915, she came to this country with her husband, who was on leave. They remained in England until August, 1916, when the husband's leave was up and he had to return. The wife however on the doctor's advice remained in England. On

C. A. August 8, 1916, the husband being about to sail, the alleged
1919 parol agreement sued upon was made. The plaintiff, as
BALFOUR appeared from the judge's note, gave the following evidence
v. of what took place: "In August, 1916, defendant's leave
BALFOUR. was up. I was suffering from rheumatic arthritis. The
doctor advised my staying in England for some months, not
to go out till November 4. On August 8 my husband sailed.
He gave me a cheque from 8th to 31st for 24l., and promised
to give me 30l. per month till I returned." Later on she
said: "My husband and I wrote the figures together on
August 8; 34l.-shown. Afterwards he said 30l." In
cross-examination she said that they had not agreed to live
apart until subsequent differences arose between them, and
that the agreement of August, 1916, was one which might
be made by a couple in amity. Her husband in consultation
with her assessed her needs, and said he would send 30l.
per month for her maintenance. She further said that she
then understood that the defendant would be returning to
England in a few months, but that he afterwards wrote to
her suggesting that they had better remain apart. In March,
1918, she commenced proceedings for restitution of conjugal
rights, and on July 30 she obtained a decree nisi. On
December 16, 1918, she obtained an order for alimony.

Sargant J. held that the husband was under an obligation
to support his wife, and the parties had contracted that the
extent of that obligation should be defined in terms of so
much a month. The consent of the wife to that arrangement
was a sufficient consideration to constitute a contract which
could be sued upon.

He accordingly gave judgment for the plaintiff.

The husband appealed.

Barrington-Ward K.C. and *Du Parcq* for the appellant.

Where husband and wife are only temporarily living apart
an agreement like that in the present case confers no contractual
rights. There was no agreement for a separation. The
agreement here was a purely domestic arrangement intended
to take effect until the wife should rejoin her husband. It

cannot be regarded as a binding contract. The wife gave no consideration for the promise.

On the evidence it is submitted that this was a temporary domestic arrangement caused by the absence of the husband abroad, and was not intended to have a contractual operation.

Hawke K.C. and *Tebbs* for the respondent.

Where a husband and wife are living together the wife is as capable of contracting with her husband that he shall give her a particular sum as she is of contracting with any other person.

Where husband and wife separate by mutual consent, the wife making her own terms as to her income and that income proves insufficient for her support, the wife has no authority to pledge her husband's credit: *Eastland v. Burchell*. (1)

[DUKE L.J. That may be because they must be taken to have agreed not to live as husband and wife.]

Living apart is a question of fact. If the parties live apart by mutual consent the right of the wife to pledge her husband's credit arises. If, however, instead of doing so she agrees to give up that right and to accept an allowance instead, she is entitled to sue for it.

The agency of the wife arises either where the husband leaves her wrongfully, or where the parties are by mutual consent living apart.

In *Lush on Husband and Wife*, 3rd ed., p. 404, it is stated that: "If the wife is living apart from her husband either (a) on account of the husband's misconduct, the wife being left without adequate means; (b) or by mutual consent; and the husband has agreed to make her an allowance, and neglects to pay it, the law gives her an absolute authority to pledge his credit for suitable necessities."

[DUKE L.J. Are not those cases where the parties are matrimonially separated?]

[WARRINGTON L.J. referred to *Lush on Husband and Wife*, 3rd ed., p. 386.]

The agency arises where there is a separation in fact. The

(1) (1878) 3 Q. B. D. 432.

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C. A. consideration for the promise by the husband to pay the
1919 allowance was that she gave up her right to pledge his credit.

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[DUKE L.J. The husband has a right to withdraw the authority to pledge his credit. The wife's consent, therefore, cannot be treated as consideration to support such a contract as this.]

Where a husband leaves his wife in England and goes abroad it is no longer at his will that she shall have authority to pledge his credit. If there be a separation in fact (except for the wife's guilt) the agency of necessity arises. The parties here intended to enter into a binding contract.

WARRINGTON L.J. (after stating the facts). Those being the facts we have to say whether there is a legal contract between the parties, in other words, whether what took place between them was in the domain of a contract or whether it was merely a domestic arrangement such as may be made every day between a husband and wife who are living together in friendly intercourse. It may be, and I do not for a moment say that it is not, possible for such a contract as is alleged in the present case to be made between husband and wife. The question is whether such a contract was made. That can only be determined either by proving that it was made in express terms, or that there is a necessary implication from the circumstances of the parties, and the transaction generally, that such a contract was made. It is quite plain that no such contract was made in express terms, and there was no bargain on the part of the wife at all. All that took place was this: The husband and wife met in a friendly way and discussed what would be necessary for her support while she was detained in England, the husband being in Ceylon, and they came to the conclusion that 30*l.* a month would be about right, but there is no evidence of any express bargain by the wife that she would in all the circumstances treat that as in satisfaction of the obligation of the husband to maintain her. Can we find a contract from the position of the parties? It seems to me it is quite impossible. If we were to imply such a contract in this case we should be

implying on the part of the wife that whatever happened and whatever might be the change of circumstances while the husband was away she should be content with this 30% a month, and bind herself by an obligation in law not to require him to pay anything more ; and on the other hand we should be implying on the part of the husband a bargain to pay 30% a month for some indefinite period whatever might be his circumstances. Then again it seems to me that it would be impossible to make any such implication. The matter really reduces itself to an absurdity when one considers it, because if we were to hold that there was a contract in this case we should have to hold that with regard to all the more or less trivial concerns of life where a wife, at the request of her husband, makes a promise to him, that is a promise which can be enforced in law. All I can say is that there is no such contract here. These two people never intended to make a bargain which could be enforced in law. The husband expressed his intention to make this payment, and he promised to make it, and was bound in honour to continue it so long as he was in a position to do so. The wife on the other hand, so far as I can see, made no bargain at all. That is in my opinion sufficient to dispose of the case.

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It is unnecessary to consider whether if the husband failed to make the payments the wife could pledge his credit or whether if he failed to make the payments she could have made some other arrangements. The only question we have to consider is whether the wife has made out a contract which she has set out to do. In my opinion she has not.

I think the judgment of Sargant J. cannot stand, the appeal ought to be allowed and judgment ought to be entered for the defendant.

DUKE L.J. I agree. This is in some respects an important case, and as we differ from the judgment of the Court below I propose to state concisely my views and the grounds which have led me to the conclusion at which I have arrived. Substantially the question is whether the promise of the husband to the wife that while she is living absent from

C. A. him he will make her a periodical allowance involves in
1919 law a consideration on the part of the wife sufficient to

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Duke L.J.

convert that promise into a binding agreement. In my opinion it does not. I do not dissent, as at present advised, from the proposition that the spouses in this case might have made an agreement which would have given the plaintiff a cause of action, and I am inclined to think that the promise of the wife in respect of her separate estate could have founded an action in contract within the principles of the Married Women's Property Act, 1882. But we have to see whether there is evidence of any such exchange of promises as would make the promise of the husband the basis of an agreement. It was strongly urged by Mr. Hawke that the promise being absolute in form ought to be construed as one of the mutual promises which make an agreement. It was said that a promise and an implied undertaking between strangers, such as the promise and implied undertaking alleged in this case would have founded an action on contract. That may be so, but it is impossible to disregard in this case what was the basis of the whole communications between the parties under which the alleged contract is said to have been formed. The basis of their communications was their relationship of husband and wife, a relationship which creates certain obligations, but not that which is here put in suit. There was a discussion between the parties while they were absent from one another, whether they should agree upon a separation. In the Court below the plaintiff conceded that down to the time of her suing in the Divorce Division there was no separation, and that the period of absence was a period of absence as between husband and wife living in amity. An agreement for separation when it is established does involve mutual considerations.

That was why in *Eastland v. Burchell* (1) the agreement for separation was found by the learned judge to have been of decisive consequence. But in this case there was no separation agreement at all. The parties were husband and wife, and subject to all the conditions, in point of law, involved in that

(1) 3 Q. B. D. 432.

relationship. It is impossible to say that where the relationship of husband and wife exists, and promises are exchanged, they must be deemed to be promises of a contractual nature. In order to establish a contract there ought to be something more than mere mutual promises having regard to the domestic relations of the parties. It is required that the obligations arising out of that relationship shall be displaced before either of the parties can found a contract upon such promises. The formula which was stated in this case to support the claim of the lady was this: In consideration that you will agree to give me 30*l.* a month I will agree to forego my right to pledge your credit. In the judgment of the majority of the Court of Common Pleas in *Jolly v. Rees* (1), which was affirmed in the decision of *Debenham v. Mellon*. (2) Erle C.J. states this proposition (3): "But taking the law to be, that the power of the wife to charge her husband is in the capacity of his agent, it is a solécism in reasoning to say that she derives her authority from his will, and at the same time to say that the relation of wife creates the authority against his will, by a *presumptio juris et de jure* from marriage." What is said on the part of the wife in this case is that her arrangement with her husband that she should assent to that which was in his discretion to do or not to do was the consideration moving from her to her husband. The giving up of that which was not a right was not a consideration. The proposition that the mutual promises made in the ordinary domestic relationship of husband and wife of necessity give cause for action on a contract seems to me to go to the very root of the relationship, and to be a possible fruitful source of dissension and quarrelling. I cannot see that any benefit would result from it to either of the parties, but on the other hand it would lead to unlimited litigation in a relationship which should be obviously as far as possible protected from possibilities of that kind. I think, therefore, that in point of principle there is no foundation for the claim which is made here, and I am satisfied that there was no consideration

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(1) (1864) 15 C. B. (N. S.) 628. (2) (1880) 6 App. Cas. 24.

(3) 15 C. B. (N. S.) 641.

C. A. moving from the wife to the husband or promise by the husband
1919 to the wife which was sufficient to sustain this action founded
BALFOUR on contract. I think, therefore, that the appeal must be
v. allowed.
BALFOUR.
Duke L.J.

ATKIN L.J. The defence to this action on the alleged contract is that the defendant, the husband, entered into no contract with his wife, and for the determination of that it is necessary to remember that there are agreements between parties which do not result in contracts within the meaning of that term in our law. The ordinary example is where two parties agree to take a walk together, or where there is an offer and an acceptance of hospitality. Nobody would suggest in ordinary circumstances that those agreements result in what we know as a contract, and one of the most usual forms of agreement which does not constitute a contract appears to me to be the arrangements which are made between husband and wife. It is quite common, and it is the natural and inevitable result of the relationship of husband and wife, that the two spouses should make arrangements between themselves—agreements such as are in dispute in this action—agreements for allowances, by which the husband agrees that he will pay to his wife a certain sum of money, per week, or per month, or per year, to cover either her own expenses or the necessary expenses of the household and of the children of the marriage, and in which the wife promises either expressly or impliedly to apply the allowance for the purpose for which it is given. To my mind those agreements, or many of them, do not result in contracts at all, and they do not result in contracts even though there may be what as between other parties would constitute consideration for the agreement. The consideration, as we know, may consist either in some right, interest, profit or benefit accruing to one party, or some forbearance, detriment, loss or responsibility given, suffered or undertaken by the other. That is a well-known definition, and it constantly happens, I think, that such arrangements made between husband and wife are arrangements in which there are mutual promises, or in which there

is consideration in form within the definition that I have mentioned. Nevertheless they are not contracts, and they are not contracts because the parties did not intend that they should be attended by legal consequences. To my mind it would be of the worst possible example to hold that agreements such as this resulted in legal obligations which could be enforced in the Courts. It would mean this, that when the husband makes his wife a promise to give her an allowance of 30s. or 2l. a week, whatever he can afford to give her, for the maintenance of the household and children, and she promises so to apply it, not only could she sue him for his failure in any week to supply the allowance, but he could sue her for non-performance of the obligation, express or implied, which she had undertaken upon her part. All I can say is that the small Courts of this country would have to be multiplied one hundredfold if these arrangements were held to result in legal obligations. They are not sued upon, not because the parties are reluctant to enforce their legal rights when the agreement is broken, but because the parties, in the inception of the arrangement, never intended that they should be sued upon. Agreements such as these are outside the realm of contracts altogether. The common law does not regulate the form of agreements between spouses. Their promises are not sealed with seals and sealing wax. The consideration that really obtains for them is that natural love and affection which counts for so little in these cold Courts. The terms may be repudiated; varied or renewed as performance proceeds or as disagreements develop, and the principles of the common law as to exoneration and discharge and accord and satisfaction are such as find no place in the domestic code. The parties themselves are advocates, judges, Courts, sheriff's officer and reporter. In respect of these promises each house is a domain into which the King's writ does not seek to run, and to which his officers do not seek to be admitted. The only question in this case is whether or not this promise was of such a class or not. For the reasons given by my brethren it appears to me to be plainly established that the promise here was

C. A.

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BALFOUR

v.

BALFOUR.

Atkin L.J.

C. A. not intended by either party to be attended by legal consequences. I think the onus was upon the plaintiff, and
1919 the plaintiff has not established any contract. The
BALFOUR v. BALFOUR. parties were living together, the wife intending to return.
Atkin L.J. The suggestion is that the husband bound himself to pay 30% a month under all circumstances, and she bound herself to be satisfied with that sum under all circumstances, and, although she was in ill-health and alone in this country, that out of that sum she undertook to defray the whole of the medical expenses that might fall upon her, whatever might be the development of her illness, and in whatever expenses it might involve her. To my mind neither party contemplated such a result. I think that the parol evidence upon which the case turns does not establish a contract. I think that the letters do not evidence such a contract, or amplify the oral evidence which was given by the wife, which is not in dispute. For these reasons I think the judgment of the Court below was wrong and that this appeal should be allowed.

Appeal allowed.

Solicitors for appellant: *Lewis & Lewis.*

Solicitors for respondent: *Sawyer & Withall, for John C. Buckwell, Brighton.*

G. A. S.

THE LAW OF CONTRACT, THE GENERAL REGIME OF OBLIGATIONS, AND PROOF OF OBLIGATIONS

The new provisions of the Code civil created by Ordonnance n° 2016-131 of 10 February 2016 translated into English

Art. 1112. –The commencement, continuation and breaking-off of precontractual negotiations are free from control. They must mandatorily satisfy the requirements of good faith.

In case of fault committed during the negotiations, the reparation of the resulting loss is not calculated so as to compensate the loss of benefits which were expected from the contract that was not concluded.

Not Reported in F.Supp.2d, 2008 WL 4185752 (S.D.N.Y.), 36 Media L. Rep. 2281
(Cite as: **2008 WL 4185752 (S.D.N.Y.)**)

H

United States District Court,
S.D. New York.
Michael PSENICKSKA, Plaintiff,
v.
TWENTIETH CENTURY FOX FILM
CORP., One America Productions, Inc.,
Todd Lewis Schulman, and Sacha Baron
Cohen, Defendants.
Cindy Streit, Ben K. McKinnon, Michael M.
Jared, Lynn S. Jared, and Sarah Moseley,
Plaintiffs,
v.
Twentieth Century Fox Film Corp., One
America Production, Inc., Springland Films,
Todd Lewis Schulman, Monica Levenson,
Julie Lynn Chounard, Everyman Pictures,
Dune Entertainment, LLC, Defendants.
Kathie Martin, Plaintiff,
v.
Larry Charles, Monica Levinson, Jay Roach,
Twentieth Century Fox Film Corp., One
America Productions, Inc., Springland
Films, Dune Entertainment, LLC, MTV
Networks d/b/a Comedy Central, Dakota
North Entertainment, Inc., Four by Two
Productions Company, Todd Schulman,
Defendants.

Nos. 07 Civ. 10972(LAP), 08 Civ.
1571(LAP), 08 Civ. 1828(LAP).
Sept. 3, 2008.

MEMORANDUM AND ORDER
LORETTA A. PRESKA, District Judge.

*1 The above captioned actions all arise from the film **BORAT-Cultural Learnings of America for Make Benefit Glorious Nation of Kazakhstan** (“**Borat**” or “the Movie”). In short, Plaintiffs all seek damages for the use of their images in the Movie, and

Defendants have moved to dismiss each complaint under Rule 12(b)(6) of the Federal Rules of Civil Procedure. For the reasons discussed more fully below, I conclude that each Plaintiff has executed a valid agreement releasing the claims he or she now attempts to litigate, and, consequently, Defendants' motions are hereby GRANTED.

I. BACKGROUND

A. The Plaintiffs

Released in theaters in 2006, **Borat** tells the story of a fictional Kazakh television personality, **Borat**, sent to the United States to report on American culture. (See Hansen Decl.^{FN1} (Psenicska) ¶ 4.) This Court has described the Movie before:

FN1. “Hansen Decl.” refers to the Declaration of Joan Hansen in Support of Defendants' Motion to Dismiss the Complaint, sworn to on February 14, 2008, and filed in connection with the Psenicska action.

[T]he movie employs as its chief medium a brand of humor that appeals to the most childish and vulgar in its viewers. At its core, however, **Borat** attempts an ironic commentary of “modern” American culture, contrasting the backwardness of its protagonist with the social ills [that] afflict supposedly sophisticated society. The movie challenges its viewers to confront, not only the bizarre and offensive **Borat** character himself, but the equally bizarre and offensive reactions he elicits from “average” Americans.

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Lemerond v. Twentieth Century Fox Film Corp., 07 Civ. 4635, [2001 WL 918579](#), at *3 (S.D.N.Y. Mar. 31, 2008). Each Plaintiff in the above-captioned actions appeared in the Movie; the circumstances surrounding their appearances are described below.

1. Michael Psenicska ^{FN2}

^{FN2}. The Psenicska parties have filed the following briefs in connection with Defendants' motion to dismiss Psenicska's Complaint: Defendants' Memorandum of Law in Support of Their Motion to Dismiss the Complaint dated February 15, 2008 ("Psenicska Defs.' Mem."); Plaintiff's Memorandum of Law in Opposition to Defendants' Motion to Dismiss the Complaint dated April 8, 2008 ("Psenicska Pl.'s Opp'n"); and Defendants' Reply Memorandum of Law in Further Support of Their Motion to Dismiss the Complaint dated April 29, 2008 ("Psenicska Defs.' Reply").

Among other things, Plaintiff Michael Psenicska ("Psenicska") has owned a driving school for 32 years, where he personally administers driving lessons. (See Complaint ¶ 12, *Psenicska v. Twentieth Century Fox Film Corp.*, 07 Civ. 10972 (filed Dec. 3, 2007) (hereinafter "Psenicska Compl.")). In May 2005, he was contacted by Defendant Schulman, ^{FN3} who informed him that Defendant One America was producing a "documentary about the integration of foreign people into the American way of life." (*Id.* ¶ 13.) Psenicska was interested in participating in the Movie

(*id.* ¶ 14) and agreed to meet the production crew in Washington, D.C. for filming on June 13, 2005 (*see id.* ¶ 15).

^{FN3}. In his Complaint, Psenicska refers to Defendant Todd Lewis Schulman as "Todd Lewis." (See, e.g., Psenicska Compl. ¶ 13 .) For ease of reference, the Court shall refer to Defendant Schulman by his proper surname. See Decl. of Slade R. Metcalf in Supp. of Defs.' Mot. to Dismiss the Compl. ¶ 1 (sworn to Feb. 15, 2008) (noting Schulman Incorrectly named as "Todd Lewis").

Before filming, Psenicska informed Schulman that he would need to leave by 5:00 p.m. to teach a driving class at 6:00 p.m. (*See id.*) On the day of filming, however, Schulman and the production crew arrived 90 minutes late (*id.* ¶ 16) with \$500 in cash for Psenicska, as well as papers "needed by the producers for the documentary" (*id.* ¶ 17). According to his Complaint, Psenicska was unaware that he would be asked to sign something and, consequently, failed to bring his reading glasses. (*Id.*) Nevertheless, because he was rushed for time due to Schulman's late arrival, Psenicska signed the document, entitled the Standard Consent Agreement ("the Agreement"), without reading it, claiming to rely on previous conversations with Schulman. (*See id.*)

*2 Psenicska was then shown to a driver-education car and instructed to follow a production van through a driving course. (*See id.* ¶ 19.) The ensuing events involved Defendant Cohen, as **Borat** ("Cohen/Borat"), driving irresponsibly and

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erratically while engaging in conversations with strangers and making derogatory and offensive remarks about sexual intercourse, Jews, women and African-Americans. (*See id.* ¶ 22.) Once taping ended, Psenicska approached a group of men he believed were producers of the Movie and accused them of setting him up, but elicited no response. (*Id.* ¶ 24.) Over the next several days, Psenicska attempted to contact Schulman to determine the intent of the film but again received no response (*id.* ¶ 24) and subsequently commenced his action on December 3, 2007.

2. Cindy Streit *et al.*^{FN4}

^{FN4}. The Streit parties have filed the following briefs in connection with Defendants' motion to dismiss the Streit Plaintiffs' First Amended Complaint: Defendants' Memorandum of Law in Support of Their Motion to Dismiss the First Amended Complaint dated May 12, 2008 ("Streit Defs.' Mem."); Plaintiffs' Memorandum of Law in Opposition to Defendants' Motion to Dismiss the First Amended Complaint ("Streit Pls.' Opp'n"); and Defendants' Reply Memorandum of Law in Further Support of Their Motion to Dismiss the First Amended Complaint dated July 7, 2008 ("Streit Defs.' Reply").

Plaintiff Cindy Streit ("Streit") is the owner of an etiquette training business called ETS. (*See* First Amended Complaint ¶ 25, *Streit v. Twentieth Century Fox Film Corp.*, 08 Civ. 1571 (filed Apr. 7, 2008) (hereinafter "Streit Compl.")) In October

2005, she was contacted by Schulman and asked to provide etiquette training to a Belarus dignitary and arrange a dinner party with guests to be filmed for an educational documentary made for Belarus television. (*Id.* ¶ 26.)

On October 24, 2005, Streit and Defendant Springland Films^{FN5} negotiated and signed a written contract for Streit's services. (*See id.* ¶ 33; *see also* Hansen Decl. (Streit) Ex. C (ETS Contract).)^{FN6} That same day, Schulman informed Streit that Cohen/ **Borat** would not attend the etiquette training session but would attend the 6:00 p.m. dinner as previously arranged. (*See* Richards Decl.^{FN7} Ex. B (Streit Declaration), ¶ 9 (hereinafter "Streit Decl.")) Plaintiffs Sarah Moseley, Ben McKinnon, Michael Jared and Lynn Jared (collectively with Streit, the "Streit Plaintiffs") were among the guests attending the dinner party. (Streit Compl. ¶ 32.) Schulman and the film crew arrived at 6:30 p.m.; Cohen/ **Borat** arrived approximately one hour later. (*See* Streit Decl. ¶¶ 9-10.) Schulman did not present the Streit Plaintiffs with copies of the Agreement until immediately before Cohen's arrival. (*See id.* ¶ 11.)^{FN8} Though Schulman allegedly rushed them to review the Agreement, each of the Streit Plaintiffs signed and returned a copy. (*Id.*)

^{FN5}. Springland Films is a registered d/b/a of One America-the producer of **Borat**. (*See* Hansen Reply Decl. (Streit) Ex. A (Certified Fictitious Name Statement).)

^{FN6}. "Hansen Decl. (Streit)" refers to the Declaration of Joan Hansen in

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Support of Defendants' Motion to Dismiss the First Amended Complaint, sworn to on May 9, 2008, and filed in connection with the Streit action. After filming but before commencing her action, Streit, ETS and Springland Films signed an additional "Release of Liability" (*see* Hansen Decl. (Streit) Ex. E (Release of Liability)), whereby, in exchange for \$4450, Streit agreed to release Springland Films and its related entities from any and all claims accruing to Streit or ETS against those entities (*see* Hansen Decl. (Streit) ¶ 7).

[FN7](#). "Richards Decl." refers to the Declaration of Adam Richards in Opposition to Defendants' Motion to Dismiss the First Amended Complaint, sworn to on June 13, 2008, and filed in connection with the Streit action.

[FN8](#). The consent agreements signed by Plaintiffs are identical in all material respects and, therefore, this Court will refer to the consent agreement executed by each Plaintiff as "the Agreement." The only differences appear to be (1) Springland Films was named in the agreements signed by the Streit Plaintiffs and Plaintiff Kathie Martin, while One America was named in the agreement signed by Psenicska (*see* Hansen Decl. (Psenicska) Ex. A (Standard Consent Agreement) pmb.); and (2) the agreement signed by Martin included an additional term releasing claims

"arising out of the Participant's viewing of any sexually-oriented materials or activities" (*see* Metcalf Decl. (Martin) Ex. B (Standard Consent Agreement) ¶ 4).

During the dinner, Cohen/ **Borat** performed offensive acts and made sexist remarks before introducing the guests to an African-American woman who Cohen/ **Borat** described as a prostitute. (*See* Streit Compl. ¶¶ 34, 36-38.) The Movie depicts that certain of the guests chose to leave at that point, whereupon Cohen/ **Borat** made derogatory comments insinuating that the guests were racially intolerant. (*Id.* ¶¶ 42-44, 46.) After the Movie's release, the Streit Plaintiffs commenced this action in the U.S. District Court for the Northern District of Alabama, and it was subsequently transferred to this Court on February 15, 2008.

3. Kathie Martin [FN9](#)

[FN9](#). The Martin parties have filed the following briefs in connection with Defendants' motion to dismiss Martin's First Amended Complaint: Defendants' Memorandum of Law in Support of Their Motion to Dismiss the First Amended Complaint dated May 5, 2008 ("Martin Mem."); Plaintiff's Memorandum of Law in Opposition to Defendants' Motion to Dismiss the First Amended Complaint dated June 6, 2008 ("Martin Opp'n"); and Defendants' Memorandum of Law in Further Support of Their Motion to Dismiss the First Amended Complaint dated June 20, 2008 ("Martin Reply").

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*3 Plaintiff Kathie Martin (“Martin”) owns and operates the Etiquette Training School of Birmingham. (*See* First Amended Complaint ¶ 25, *Martin v. Mazer*, 08 Civ. 1828 (filed Apr. 11, 2008) (hereinafter “Martin Compl.”).) In October 2005, Martin was contacted by Schulman to provide dining etiquette training to a foreign reporter whose travel experiences were being filmed by Springland Films for Belarus television. (*Id.* ¶¶ 28-30.) The etiquette class was scheduled to take place on October 23, 2005, at Martin's home. (*Id.* ¶ 32.)

While awaiting the film crew, Schulman learned that Martin's husband, who was present at the house, was somewhat familiar with another character created by Cohen in connection with his television show, “Da Ali G Show.” (*See id.* ¶ 35.) According to the Martin Complaint, Schulman requested to reschedule the filming for the following day to avoid any chance Mr. Martin might recognize Cohen. (*See id.* ¶¶ 37-39.) At the rescheduled meeting, Martin was presented with \$350 and the Agreement, described by Schulman as a “standard filming release form,” which Martin signed and returned. (*Id.* ¶¶ 39-40.)

Over the course of the etiquette class, Cohen/ **Borat** allegedly repeatedly offended Martin by making sexist and anti-Semitic remarks, as well as by producing naked photographs of Cohen/ **Borat's** supposed son. (*See id.* ¶¶ 42-43, 45-46.) At the end of filming, the director apologized to Martin for the inappropriate photos, and Martin left the hotel. (*Id.* ¶ 48.) After hearing about Cohen's behavior, Mr. Martin identified the alleged foreign reporter as Cohen, and

Martin made an unsuccessful attempt to contact Schulman. (*See id.* ¶ 50.) Thereafter, Martin commenced her action in this Court on February 22, 2008.

B. The Agreements^{FN10}

FN10. For true copies of each Agreement, *see* Hansen Decl. (Psenicska) Ex. A; Metcalf Decl. (Martin) Ex. B; Hansen Decl. (Streit) Ex. D (Standard Consent Agreement).

As noted above, the Agreements signed by the various Plaintiffs herein are identical in all material respects. They set forth each Plaintiff's consent to appear in a “documentary-style ... motion picture” (Agmt.pmb1.) intended “to reach a young adult audience by using entertaining content and formats” (*id.* ¶ 1). Each Agreement states that the relevant Plaintiff:

specifically, but without limitation, waives, and agrees not to bring at any time in the future, any claims against the Producer, or against any of its assignees or licensees or anyone associated with the Film, that include assertions of (a) infringement of rights or publicity or misappropriation (such as any allegedly improper or unauthorized use of the Participant's name or likeness or image), ... (d) intrusion (such as any allegedly offensive behavior or questioning or any invasion of privacy), ... (m) prima facie tort, ... [and] (n) fraud (such as any alleged deception or surprise about the Film or this consent agreement).^{FN11}

FN11. As also noted above, the

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Agreement signed by Martin includes that Plaintiff waives “any claim arising out of the Participant's viewing of any sexually-oriented materials or activities.” (See Metcalf Decl. (Martin) Ex. B, ¶ 4.)

(*Id.* ¶ 4.) Furthermore, each Agreement includes a merger clause which notes, among other things, that “the Participant acknowledges that in entering into [the Agreement], the Participant is not relying upon any promises or statements made by anyone about the nature of the Film or the identity of any other Participants or persons involved in the Film.” (*Id.* ¶ 5.)

II. DISCUSSION

*4 On a motion to dismiss, the court must accept as true all material facts alleged in the complaint and draw all reasonable inferences in the plaintiff's favor. See *Johnson v. Newburgh Enlarged Sch. Dist.*, 239 F.3d 246, 250 (2d Cir.2001). Furthermore, on such a motion, courts may consider “any written instrument attached to [the complaint] as an exhibit or any statements or documents incorporated in it by reference ... and documents that the plaintiffs either possessed or knew about and upon which they relied in bringing the suit.” *Rothman v. Gregor*, 220 F.3d 81, 88-89 (2d Cir.2000). So construed, to survive a motion to dismiss, a complaint must contain enough facts to suggest that the allegations are plausible. See *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 127 S.Ct. 1955, 1965 (2007); see also *Cannon v. Douglas Elliman, LLC*, No. 06 Civ. 7092, 2007 WL 4358456, at *4 (S.D.N.Y.2007).

A. The Agreement is not Ambiguous

Each Agreement at issue in these actions contains an explicit waiver clause that on its face prevents Plaintiffs from bringing the above-captioned actions. To avoid their waivers, Plaintiffs argue that the Agreement—specifically, the term “documentary-style film” as it is used in Paragraph 4 of the Agreement—is ambiguous and cannot be enforced at this stage of the litigation. (See Psenicska Pl.'s Opp'n 10-11; Streit Pls.' Opp'n 12; Martin Pl.'s Opp'n 11.) Further, Plaintiffs argue that the term “documentary-style film” does not describe **Borat** and, therefore, that they have not waived any right to bring claims against Defendants relating to **Borat**.

Under New York law,^{FN12} issues of contract interpretation, including determining whether a contract term is ambiguous, are threshold questions of law to be determined by the court and suitable for disposition on a motion to dismiss. See *Aon Financial Products, Inc. v. Societe Generale*, 476 F.3d 90, 95 (2d Cir.2007) (citing *Krumme v. WestPoint Stevens Inc.*, 238 F.3d 133, 139 (2d Cir.2000)). A contract term is ambiguous as a matter of law if it is:

^{FN12.} New York law governs construction of the Agreement pursuant to a choice of law provision, about which there is no dispute among the parties.

capable of more than one meaning when viewed objectively by a reasonably intelligent person who has examined the context of the entire integrated agreement and who is cognizant of the customs, practices, usages and terminology as generally understood in the particular trade

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or business.

Walk-In Med. Ctrs., Inc. v. Breuer Capital Corp., 818 F.2d 260, 263 (2d Cir.1987) (quoting Eskimo Pie Corp. v. Whitelawn Dairies, Inc., 284 F.Supp. 987, 994 (S.D.N.Y.1968)). Where there are alternative, reasonable interpretations of a contract term rendering it ambiguous, the issue should be submitted to the trier of fact and is not suitable for disposition on a motion to dismiss. See K. Bell & Assocs., Inc. v. Lloyd's Underwriters, 97 F.3d 632, 637 (2d Cir.1996). A court should not find contract language ambiguous, however, on the basis of the interpretation urged by one party where that interpretation would strain the contract language beyond its reasonable and ordinary meaning. See Metro. Life Ins. Co. v. RJR Nabisco, Inc., 906 F.2d 884, 889 (2d Cir.1990); see also E.Sayers v. Rochester Tel. Corp. Supplemental Mgmt. Pension Plan, 7 F.3d 1091, 1095 (2d Cir.1993) (contracting parties may not create an ambiguity merely by urging conflicting interpretations of their agreement).

*5 Here, the term “documentary-style film” is not ambiguous. Indeed, Psenicska offers a definition of that term that neither Defendants (see, e.g., Psenicska Defs.' Reply 6) nor the other Plaintiffs contest (See Streit Opp'n 9; Martin Opp'n 8). Quoting the New Oxford American Dictionary, he states that

[t]he word “documentary,” as an adjective, means “(of a movie, a television or radio program, or photography) using pictures or interviews with people involved in real events to provide a factual record or report ...;” as a noun, the word means “a movie

or a television or radio program that provides a factual record or report.

(Psenicska Opp'n 4 (quoting *New Oxford American Dictionary* (2d ed.2005)).) Noting that “[t]he word ‘-style,’ as a suffix forming adjectives and adverbs, means ‘in a manner characteristic of’ “ (*id.* at 4-5 (quoting *New Oxford American Dictionary, supra*)), he concludes that “the phrase ‘documentary-style film’ means a work displaying the characteristics of a film that provides a factual record or report” (*id.* at 5; see also Streit Opp'n 9; Martin Opp'n 8). Whether that term is “capable of more than one meaning when viewed objectively by a reasonably intelligent person,” *Walk-In Med. Ctrs.*, 818 F.2d at 263, is not presently at issue: there is only one meaning that the parties attribute to that term.

Instead, confusion appears to have resulted from the fact that, though its definition may not be ambiguous, the class of films defined as “documentary-style” is subject to some debate. There can be no reasonable debate, however, that *Borat* is a film “displaying the characteristics of a film that provides a factual record or report.” The Movie comprises interviews with real people and depictions of real events that are intended to provide a “factual record or report” albeit of a fictional character's journey across America. To the contrary, Plaintiffs seem unwilling to recognize that the operative word in the phrase “documentary-style film” is “style” and not “documentary.” (See, e.g., Streit Opp'n 8 (arguing that *Borat* is not a “documentary-style film” because it is a “fictional account of a staged journey across the United States by a fictional character, from a fictional

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country”); Psenicska Opp'n 5 (arguing that “[a] film made in the style of a documentary is based on facts that can be documented by reliable sources, and such a film does not contain fictional characters engaging in deliberately outré behavior to comedic effect”).) The fact that **Borat** is a fictional character, however, does nothing to diminish the fact that his fictional story is told in the *style* of a true one. Indeed, **Borat** owes such effectiveness as it may have to that very fact.^{FN13}

^{FN13}. Nor does the fact that **Borat** employs humor disqualify it from the “documentary-style” genre, as Martin seems to suggest. (See Martin Opp'n 9 n. 2, 10 (arguing that “the ‘getting’ of innocent people for satirical purposes has nothing whatsoever to do with the documentary genre to which Defendants claim the **Borat** Movie belongs.”).) Humor is perfectly consistent with documentary. See *An Inconvenient Truth* (Lawrence Bender Prods.2006) (employing humor at times to illustrate dangers of global warming); *Bowling for Columbine* (Alliance Atlantis Communications 2002) (relying on sardonic humor to ease an otherwise grave portrayal of gun violence in America).

For these reasons, I conclude that the Agreement is not ambiguous and may be enforced at this stage of the litigation.

B. Fraudulent Inducement Claims

Nevertheless, each Plaintiff seeks to avoid the waiver clause in the Agreement by

arguing that he or she was fraudulently induced to enter the Agreement. Specifically, each Plaintiff argues that Schulman's representations about the nature of the film and the identities of Schulman, Cohen and Springland Films were false and were meant to induce him or her to appear in the film. (See Psenicska Compl. ¶¶ 38, 40; Streit Compl. ¶¶ 73-75; Martin Compl. ¶¶ 76-79.)

*6 That line of argument is foreclosed to Plaintiffs here, however, because each waived his or her reliance on “any promises or statements made by anyone about the nature of the Film or the identity of any other Participants or persons involved in the Film.” See Agmt. ¶ 5; see also *Danann Realty Corp. v. Harris*, 5 N.Y.2d 217, 320, 184 N.Y.S.2d 599, 601 (1959). In *Danann*, the New York Court of Appeals held that the defense of fraud in the inducement is foreclosed to a party who disclaims, in the contract itself, reliance on fraudulent statements allegedly made to induce him to enter into the contract. See *Danann* 5 N.Y.2d at 323.^{FN14} As this Court recently observed,

^{FN14}. To maintain a claim for fraud in the inducement, a party must show: (1) a material representation or omission of fact made by a defendant with knowledge of its falsity and intent to defraud, and (2) damages sustained as a result of a plaintiff's reasonable reliance on that representation. See *Crigger v. Fahnestock and Co., Inc.*, 443 F.3d 230, 234 (2d Cir.2006).

specificity was the touchstone of the

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disclaimer in *Danann*: the purchaser in that case could not claim to have relied on the allegedly fraudulent representations when, in the contract, the purchaser stated that “the Purchaser hereby expressly acknowledges that no such representations have been made.”

UBS AG, Stamford Branch v. Healthsouth Corp., No. 07 Civ. 8490(LAP), 2008 WL 2337846, at *5 (S.D.N.Y. June 6, 2008) (quoting *Danann*, 5 N.Y.2d at 320, 184 N.Y.S.2d at 601).

Here, each Plaintiff argues that the Agreement's merger clause is too general to preclude his or her defense of fraud in the inducement. (See Psenicska Pl.'s Opp'n 15; Streit Pls.' Opp'n 13; Martin Pl.'s Opp'n 12.) The relevant merger clause, however, states that Plaintiff has not relied “upon any promises or statements made by anyone about the *nature of the Film* or the *identity* of any other Participants or persons involved in the Film.” (Agmt. ¶ 5 (emphasis added).) As in *Danann*, so too here: a Plaintiff may not claim to have relied on a statement upon which he or she has explicitly disclaimed reliance.

In the alternative, each Plaintiff argues that Defendants had a duty to disclose the nature of the film and the identities of those involved in the film. (See Psenicska Pl.'s Opp'n 13-14, Streit Pls.' Opp'n 15-16, Martin Pl.'s Opp'n 13.) Each Plaintiff invokes the duty to disclose that arises when a “party possesses superior knowledge, not readily available to the other, and knows that the other is acting on the basis of mistaken knowledge,” *Aaron Ferer & Sons, Ltd. v. Chase Manhattan Bank, N.A.*, 731 F.2d 112, 123 (2d Cir.1984), and the principle that “an

express disclaimer will not be given effect where the facts are peculiarly within the knowledge of the party invoking it,” *Banque Arabe Et Internationale D'Investissement v. Maryland Nat. Bank*, 819 F.Supp. 1282, 1292 (S.D.N.Y.1993). These Plaintiffs cannot avoid the consequences of their waivers, however, simply by restyling their allegations of misrepresentation as allegations of omission.^{FN15} (See Psenicska Compl. ¶ 29, Streit Compl. ¶¶ 73-75, Martin Compl. ¶¶ 76-77.) Such would empower these Plaintiffs to avoid the clear wording of their own contracts in a manner I must decline to condone under well-settled New York law. In light of the above disposition, I do not reach Defendants' additional arguments.

^{FN15}. Of course, in a sense, every alleged misrepresentation involves an omission of the truth. Plaintiffs argue in the space provided by that ambiguity, asserting that Defendants “concealed the true nature of their film” (see Martin Compl. ¶ 69) and “misrepresent[ed] and conceal[ed] material facts” (Psenicska Compl. ¶ 35).

III. CONCLUSION

*7 For the reasons stated above, the Agreements in each of the above-captioned actions is unambiguous and, based on the language of those Agreements, these Plaintiffs may not now maintain a defense of fraud in the inducement. The Agreements are thus enforceable, and the provisions contained therein waiving Plaintiffs' respective rights to bring any and all claims against Defendants with respect to *Borat* prevent the instant actions. Therefore,

Not Reported in F.Supp.2d, 2008 WL 4185752 (S.D.N.Y.), 36 Media L. Rep. 2281
(Cite as: 2008 WL 4185752 (S.D.N.Y.))

Defendants' motion to dismiss in *Psenicska v. Twentieth Century Fox Corp.*, 07 Civ. 10972 [dkt. no. 9], *Streit v. Twentieth Century Fox Corp.*, 08 Civ. 1571 [dkt. no. 9] and *Martin v. Mazel*, 08 Civ. 1828 [dkt. no. 12] are all hereby GRANTED.

The Clerk of the Court shall mark each action closed and deny all pending motions as moot.

SO ORDERED.

S.D.N.Y.,2008.

Psenicska v. Twentieth Century Fox Film Corp.

Not Reported in F.Supp.2d, 2008 WL 4185752 (S.D.N.Y.), 36 Media L. Rep. 2281

END OF DOCUMENT

409 Fed.Appx. 368
This case was not selected for publication in the Federal Reporter.
United States Court of Appeals,
Second Circuit.

Michael PSENICKSKA, Plaintiff–Appellant,

v.

TWENTIETH CENTURY FOX FILM CORPORATION, One America Productions, Inc., Todd
Lewis, Sacha Baron Cohen, Defendants–Appellees.

Cindy Streit, Ben K. McKinnon, Michael M. Jared, Lynn S. Jared and Sarah Moseley,
Plaintiffs–Appellants,

v.

Twentieth Century Fox Film Corporation, One America Productions, Inc., Springland Films,
Todd Lewis Schulman, Monica Levenson, Julie Lynn Chounard, Sacha Baron Cohen,
Everyman Pictures and Dune Entertainment, LLC, Defendants–Appellees,
Gold/Miller Productions, Major Studio Partners, Inc., Four By Two Productions Company,
Peter Baynham, Dan Mazer and Anthony Hines, Defendant.

Kathie Martin, Plaintiff–Appellant,

v.

Larry Charles, Monica Levinson, Jay Roach, Everyman Pictures, Twentieth Century Fox Film
Corporation, One America Productions, Inc., Springland Films, Dune Entertainment, LLC,
MTV Networks, doing business as Comedy Central, Dakota North Entertainment, Inc., Four
By Two Productions Company, Sacha Baron Cohen, Todd Schulman, Defendants–Appellees,
Dan Mazer, Anthony Hines, Peter Baynham, Todd Phillips, Gold/Miller Productions, John
Does, Nos. 1–5, Defendants.

Nos. 08–4604–CV, 08–6053–CV, 08–4818–CV.

|
Nov. 17, 2009.

***369** Appeal from the United States District Court for the Southern District of New York (Loretta A. Preska, Chief Judge).

UPON DUE CONSIDERATION, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED that the judgment entered ***370** on September 24, 2008, dismissing the complaints in all three of these cases is AFFIRMED.

PRESENT: ROGER J. MINER, WALKER, REENA RAGGI, Circuit Judges.

Opinion

****1** In these related actions, plaintiffs, all of whom appear in the movie *BORAT—Cultural Learnings of America for Make Benefit Glorious Nation of Kazakhstan*, sued defendants for, *inter alia*, fraud, unjust enrichment, and infliction of emotional distress based on purported oral misrepresentations about the nature of the film. Specifically, plaintiffs charge defendants with misrepresenting the film as (1) a documentary, (2) about a foreign reporter or dignitary from a former Soviet bloc country and his experiences in the United States, (3) to be broadcast on Belarus television.¹ Plaintiffs here appeal the

district court's dismissal of their complaints pursuant to Federal Rule of Civil Procedure 12(b)(6) on the ground that their suits were barred by a provision of their signed Standard Consent Agreement (“Agreement”) disclaiming reliance on “any promises or statements made by anyone about the nature of the Film or the identity of any other Participants or persons involved in the Film.” Agmts. ¶ 5.

We conduct *de novo* review of a Rule 12(b)(6) judgment of dismissal, accepting as true all allegations in the complaint and drawing all reasonable inferences in favor of the plaintiffs. See *Vietnam Ass'n for Victims of Agent Orange v. Dow Chem. Co.*, 517 F.3d 104, 115 (2d Cir.2008). We assume the parties' familiarity with the facts and the record of prior proceedings, which we reference only as necessary to explain our decision to affirm.

1. Agreement Ambiguity

Plaintiffs assert that to the extent the Agreements were limited to a “documentary-style film,” ambiguity as to the meaning of that term precluded the district court from relying on the release provision of the Agreements to dismiss their complaints. Because contract ambiguity is a question of law, we construe the language at issue *de novo*. See *Aon Fin. Prods., Inc. v. Société Générale*, 476 F.3d 90, 95 (2d Cir.2007); *Jessica Howard Ltd. v. Norfolk S. Ry. Co.*, 316 F.3d 165, 168 (2d Cir.2003). We reach the same conclusion as the district court: no reasonable trier of fact could find that *Borat* was not a documentary-style film.

While the character “Borat” is fictional, the film unmistakably tells the story of his travels in the *style* of a traditional, fact-based documentary. Indeed, the film's stylistic similarity to the straight documentary form is among its central comedic conceits, employed to set the protagonist's antics in high relief. Thus, as the district court correctly observed, the film “comprises interviews with real people and depictions of real events that are intended to provide a factual record or report albeit of a fictional character's journey across America.” *371 *Psenicska v. Twentieth Century Fox Film Corp.*, 07 Civ. 10972(LAP), 2008 WL 4185752, at *5 (S.D.N.Y. Sept. 3, 2008) (internal quotation marks omitted). Whatever the outer reaches of the “documentary-style” genre, *Borat* falls well shy of the frontier.

**2 Accordingly, we reject plaintiffs' argument that ambiguity precluded reliance on the Agreements' release provisions as a ground for dismissal.

2. Reliance on the Release Provisions

Plaintiffs assert that the district court erred in finding their fraudulent inducement claims barred by the Agreements' release provisions. We are not persuaded.

Under New York law, reasonable reliance is an essential element of fraudulent inducement. See *Fax Telecommunicaciones, Inc. v. AT & T*, 138 F.3d 479, 490 (2d Cir.1998); *Stone v. Schulz*, 231 A.D.2d 707, 708, 647 N.Y.S.2d 822, 823 (2d Dep't 1996). Generally, where a plaintiff “has in the plainest language announced and stipulated that it is not relying on any representations as to the very matter as to which it now claims it was defrauded,” the disclaimer “destroys the allegations in plaintiff's complaint that the agreement was executed in reliance upon these contrary oral representations.” *Danann Realty Corp. v. Harris*, 5 N.Y.2d 317, 320–21, 184 N.Y.S.2d 599, 602, 157 N.E.2d 597 (1959); see also *Dallas Aerospace, Inc. v. CIS Air Corp.*, 352 F.3d 775, 785 (2d Cir.2003) (observing that under New York law “a party cannot justifiably rely on a representation that is specifically disclaimed in an agreement”). Plaintiffs invoke an exception to this rule which provides that when the facts at issue are “peculiarly within the

misrepresenting party's knowledge,” even a specific disclaimer will not defeat a claim of reasonable reliance. *Warner Theatre Assocs. Ltd. P'ship v. Metro. Life Ins. Co.*, 149 F.3d 134, 136 (2d Cir.1998). The exception is inapplicable here.

The “peculiar-knowledge” exception is meant to “address circumstances where a party would face high costs in determining the truth or falsity of an oral representation” and does not apply where a party “could have insisted that the written contract terms reflect any oral undertaking on a deal-breaking issue.” *Id.* Here, plaintiffs apparently appeared in the film without taking any steps to confirm the oral representations on which they claim to have relied, even such cost-free steps as asking to meet the “reporter” or to learn his name. *See* Appellant Martin's Br. at 7. Moreover, plaintiffs do not—and cannot—claim that they would have sustained any collateral harm in simply walking away from defendants' film offer if they were denied written terms that precisely satisfied their conditions for appearing. This is not to suggest that defendants' alleged conduct, if true, does them any credit. We conclude simply that plaintiffs' cases do not fall within the exception to the rule holding parties to the terms of written releases.

In an effort to avoid this conclusion, plaintiffs argue that defendants had a duty to disclose more information. Reasonable reliance, however, is essential to a claim of duty to disclose or fraudulent concealment. *See, e.g., P.T. Bank Cent. Asia v. ABN AMRO Bank N.V.*, 301 A.D.2d 373, 376, 754 N.Y.S.2d 245, 250 (1st Dep't 2003). Plaintiffs cannot claim such reliance because nothing in the Agreements could possibly be read affirmatively to suggest that the film was a documentary about a foreigner's travels in the United States to be shown on Belarus television. Plaintiffs could have formed such an impression only from the alleged oral misrepresentations. In this respect, we agree with the district court that plaintiffs' “duty” argument reduces to “restyling *372 their allegations of misrepresentation as allegations of omission.” *Psenicska v. Twentieth Century Fox Film Corp.*, 2008 WL 4185752, at *6. However plaintiffs cast their claims, dismissal was compelled by the short, clear, unambiguous disclaimer of reliance on any oral statements about the film or the identities of the people making it.

****3** We have considered all of the plaintiffs' remaining arguments and conclude that they are without merit. Accordingly, the judgment of the district court is AFFIRMED.

All Citations

409 Fed.Appx. 368, 2009 WL 3824873, 38 Media L. Rep. 1033

Footnotes

¹ Psenicska claims that he was told the film would be a “documentary about the integration of foreign people into the American way of life.” Appellant Psenicska's Br. at 10.

SEL. CONTRACTS & STANDARD FORM AGREEMENTS

BORAT RELEASE*

STANDARD CONSENT AGREEMENT

This is an agreement between Springland Films (the "Producer") and the undersigned participant (the "Participant"). In exchange for the Producer's obligation to pay a participation fee in the amount of \$ 200 (receipt of which is acknowledged by the Participant) and the opportunity for the Participant to appear in a motion picture, the Participant agrees as follows:

1. The Participant agrees to be filmed and audiotaped by the Producer for a documentary-style film (the "Film"). It is understood that the Producer hopes to reach a young adult audience by using entertaining content and formats.
2. The Participant agrees that any rights that the Participant may have in the Film or the Participant's contribution to the Film are hereby assigned to the Producer, and that the Producer shall be exclusively entitled to use, or to assign or license to others the right to use, the Film and any recorded material that includes the Participant without restriction in any media throughout the universe in perpetuity and without liability to the Participant, and the Participant hereby grants any consents required for those purposes. The Participant also agrees to allow the Producer, and any of its assignees or licensees, to use the Participant's contribution, photograph, film footage, and biographical material in connection not only with the Film, but also in any advertising, marketing or publicity for the Film and in connection with any ancillary products associated with the Film.
3. The Participant understands that the Producer and its assignees or licensees are relying upon this consent agreement in spending time, money and effort on the Film and the Participant's participation in it, and that the consent agreement, for this and other reasons, shall be irrevocable.
4. The Participant specifically, but without limitation, waives, and agrees not to bring at any time in the future, any claims against the Producer, or against any of its assignees or licensees or anyone associated with the Film, that include assertions of (a) infringement of rights of publicity or misappropriation (such as any allegedly improper or unauthorized use of the Participant's name or likeness or image), (b) damages caused by "acts of God" (such as, but not limited to, injuries from natural disasters), (c) damages caused by acts of terrorism or war, (d) intrusion (such as any allegedly offensive behavior or questioning or any invasion of privacy), (e) false light (such as any allegedly false or misleading portrayal of the Participant), (f) infliction of emotional distress (whether allegedly intentional or negligent), (g) trespass (to property or person), (h) breach of any alleged contract (whether the alleged contract is verbal or in writing), (i) allegedly deceptive business or trade practices, (j) copyright or trademark infringement, (k) defamation (such as any allegedly false statements made on the Film), (l) violations of Section 43(a) of the Lanham Act (such as allegedly false or misleading statements or suggestions about the Participant in relation to the Film or the Film in relation to the Participant), (m) prima facie tort (such as alleged intentional harm to the Participant), (n) fraud (such as any alleged deception or surprise about the Film or this consent agreement), (o) breach of alleged moral rights, or (p) tortious or wrongful interference with any contracts or business of the Participant, or any claim arising out of the Participant's viewing of any sexually-oriented materials or activities.
5. This is the entire agreement between the Participant and the Producer or anyone else in relation to the Film, and the Participant acknowledges that in entering into it, the Participant is not relying upon any promises or statements made by anyone about the nature of the Film or the identity of any other Participants or persons involved in the Film.
6. Although the Participant agrees not to bring any claim in connection with the Film or its production, if any claim nevertheless is made, the Participant agrees that any such claim must be brought

Exhibit 1

* This agreement underlies a lawsuit for fraud, rescission, and negligent infliction of emotional distress (among other claims) brought by two men who appeared in the movie *Borat: Cultural Learning of America for Make Benefit Glorious Nation of Kaza-*

khstan. The agreement is appended to a Movie Defendant's Special Motion to Strike Plaintiffs' Complaint. The case was dismissed on February 23, 2007. We thank Olivier Taillieu, Esq. for providing this material.

SEL. CONTRACTS & STANDARD FORM AGREEMENTS

before, and adjudicated by, only a competent court located in the State of New York and County of New York, under the laws of the State of New York.

AGREED AND ACCEPTED:

[Signature]

[please sign above line and print name below]

Springland Films

By: [Signature]

[please sign above line and print name below]

Dated: 10/28/05
[date to be filled in by Participant]

Description: Shirt _____ Height _____ Age _____

Hair _____ Sex _____

Other _____

Name: [REDACTED]

Address: 6 [REDACTED] [REDACTED] [REDACTED]

Phone Number: [REDACTED]

Social Security Number: [REDACTED]

281 Pa. 320
Supreme Court of Pennsylvania.

GIANNI
v.
R. RUSSEL & CO., Inc.*
Nov. 24, 1924.

***321 **791** Appeal from Court of Common Pleas, Allegheny County; James R. Macfarlane, Judge.

Argued before MOSCHZISKER, C. J., and FRAZER, WALLING, SIMPSON, KEPHART, SADLER, and SCHAFFER, JJ.

SCHAFFER, J.

Plaintiff had been a tenant of a room in an office building in Pittsburgh wherein he conducted a store, selling tobacco, fruit, candy and soft drinks. Defendant acquired the entire property in which the storeroom was located, and its agent negotiated with plaintiff for a further leasing of the room. A lease for three years was ***322** signed. It contained a provision that the lessee should 'use the premises only for the sale of fruit, candy, soda water,' etc., with the further stipulation that 'it is expressly understood that the tenant is not allowed to sell tobacco in any form, under penalty of instant forfeiture of this lease.' The document was prepared following a discussion about renting the room between the parties and after an agreement to lease had been reached. It was signed after it had been left in plaintiff's hands and admittedly had been read over to him by two persons, one of whom was his daughter.

Plaintiff sets up that in the course of his dealings with defendant's agent it was agreed that, in consideration of his promises not to sell tobacco and to pay an increased rent, and for entering into the agreement as a whole, he should have the exclusive right to sell soft drinks in the building. No such stipulation is contained in the written lease. Shortly after it was signed defendant demised the adjoining room in the building to a drug company without restricting the latter's right to sell soda water and soft drinks. Alleging that this was in violation of the contract which defendant had made with him, and that the sale of these beverages by the drug company had greatly reduced his receipts and profits, plaintiff brought this action for damages for breach of the alleged oral contract, and was permitted to recover. Defendant has appealed.

Plaintiff's evidence was to the effect that the oral agreement had been made at least two days, possibly longer, before the signing of the instrument, and that it was repeated at the time he signed; that, relying upon it, he executed the lease. Plaintiff called one witness who said he heard defendant's agent say to plaintiff at a time admittedly several days before the execution of the lease that he would have the exclusive right to sell soda water and soft drinks, to which the latter replied if that was the case he accepted the tenancy. Plaintiff produced no witness who was present when the contract was ***323** executed to corroborate his statement as to what then occurred. Defendant's agent denied that any such agreement was made, either preliminary to or at the time of the execution of the lease.

Appellee's counsel argues this is not a case in which an endeavor is being made to reform ****792** a written instrument because of something omitted as a result of fraud, accident, or mistake, but is one involving the breach of an independent oral agreement which does not belong in the writing at all and is not germane to its provisions. We are unable to reach this conclusion.

‘Where parties, without any fraud or mistake, have deliberately put their engagements in writing, the law declares the writing to be not only the best, but the only evidence of their agreement.’ [Martin v. Berens](#), 67 Pa. 459, 463; [Irvin v. Irvin](#), 142 Pa. 271, 287, 21 A. 816

‘All preliminary negotiations, conversations and verbal agreements are merged in and superseded by the subsequent written contract, * * * and ‘unless fraud, accident, or mistake be averred, the writing constitutes the agreement between the parties, and its terms cannot be added to nor subtracted from by parol evidence.’ [Union Storage Co. v. Speck](#), 194 Pa. 126, 133, 45 A. 48, 49; [Vito v. Birkel](#), 209 Pa. 206, 208, 58 A. 127.

The writing must be the entire contract between the parties if parol evidence is to be excluded, and to determine whether it is or not the writing will be looked at, and if it appears to be a contract complete within itself, ‘couched in such terms as import a complete legal obligation without any uncertainty as to the object or extent of the engagement, it is conclusively presumed that the whole engagement of the parties, and the extent and manner of their undertaking, were reduced to writing.’ [Seitz v. Brewers’ Refrigerating Machine Co.](#), 141 U. S. 510, 517, 12 S. Ct. 46, 48 (35 L. Ed. 837).

When does the oral agreement come within the field embraced by the written one? This can be answered by comparing the two, and determining whether parties, situated as were the ones to the contract, would naturally *324 and normally include the one in the other if it were made. If they relate to the same subject-matter, and are so interrelated that both would be executed at the same time and in the same contract, the scope of the subsidiary agreement must be taken to be covered by the writing. This question must be determined by the court.

In the case at bar the written contract stipulated for the very sort of thing which plaintiff claims has no place in it. It covers the use to which the storeroom was to be put by plaintiff and what he was and what he was not to sell therein. He was ‘to use the premises only for the sale of fruit, candy, soda water,’ etc., and was not ‘allowed to sell tobacco in any form.’ Plaintiff claims his agreement not to sell tobacco was part of the consideration for the exclusive right to sell soft drinks. Since his promise to refrain was included in the writing, it would be the natural thing to have included the promise of exclusive rights. Nothing can be imagined more pertinent to these provisions which were included than the one appellee avers.

In cases of this kind, where the cause of action rests entirely on an alleged oral understanding concerning a subject which is dealt with in a written contract it is presumed that the writing was intended to set forth the entire agreement as to that particular subject.

‘In deciding upon this intent [as to whether a certain subject was intended to be embodied by the writing], the chief and most satisfactory index * * * is found in the circumstance whether or not the particular element of the alleged extrinsic negotiation is dealt with at all in the writing. If it is mentioned, covered, or dealt with in the writing, then presumably the writing was meant to represent all of the transaction on that element, if it is not, then probably the writing was not intended to embody that element of the negotiation.’ [Wigmore on Evidence](#) (2d Ed.) vol. 5, p. 309.

As the written lease is the complete contract of the parties, and since it embraces the field of the alleged oral *325 contract, evidence of the latter is inadmissible under the parol evidence rule.

‘The [parol evidence] rule also denies validity to a subsidiary agreement within [the] scope [of the written contract] if sued on as a separate contract, although except for [that rule], the agreement fulfills all the requisites of valid contract.’ 2 [Williston, Contracts](#), 1222; [Penn Iron Co. v. Diller](#), 1 [Sad.](#) 82, 1 [A.](#) 924;

[Krueger v. Nicola](#), 205 Pa. 38, 54 A. 494; [Wodock v. Robinson](#), 148 Pa. 503, 24 A. 73.

There are, of course, certain exceptions to the parol evidence rule, but this case does not fall within any of them. Plaintiff expressly rejects any idea of fraud, accident, or mistake, and they are the foundation upon which any basis for admitting parol evidence to set up an entirely separate agreement within the scope of a written contract must be built. The evidence must be such as would cause a chancellor to reform the instrument, and that would be done only for these reasons ( [Pioso v. Bitzer](#), 209 Pa. 503, 58 A. 891) and this holds true where this essentially equitable relief is being given, in our Pennsylvania fashion, through commonlaw forms.

We have stated on several occasions recently that we propose to stand for the integrity of written contracts. [Wolverine Glass Co. v. Miller](#), 279 Pa. 138, 146, 123 A. 672; [Evans v. Edelstein](#), 276 Pa. 516, 120 A. 473; [Neville v. Kretzschmar](#), 271 Pa. 222, 114 A. 625. We reiterate our position in this regard.

The judgment of the court below is reversed, and is here entered for defendant.

2006 WL 2463537
Only the Westlaw citation is currently available.
United States District Court,
S.D. New York.

TEEVEE TOONS, INC. (d/b/a TVT Records) & Steve Gottlieb, Inc. (d/b/a Biobox), Plaintiffs,
v.
GERHARD SCHUBERT GMBH, Defendant.

No. 00 Civ. 5189(RCC).
|
Aug. 23, 2006.

MEMORANDUM & ORDER

CASEY, J.

***1** TeeVee Toons, Inc. and its affiliate Steve Gottlieb, Inc. (“Plaintiffs”) brought this action against Gerhard Schubert GmbH (“Schubert”), claiming that Schubert improperly manufactured a packaging system commissioned by TeeVee Toons, Inc. (“TVT”) and alleging breach of contract, fraud, and negligence. Schubert moves for an order granting summary judgment in Schubert's favor on Plaintiffs' claims. For the following reasons, Schubert's motion is GRANTED in part and DENIED in part.

I. BACKGROUND

In the early part of the 1990s, TVT record-company president and founder Steve Gottlieb (“Gottlieb”) invented and patented a biodegradable-cardboard “flip-top” packaging called the “Biobox,” which was designed to provide a secure, environmentally friendly way to package audio and video cassettes. (*See* United States Patent 5,361,898.) In 1994, Gottlieb began searching for a company that could develop a system capable of mass-producing the Biobox, and he settled on the German firm Schubert. At the time, Schubert marketed its products in the United States through an exclusive agency agreement with Rodico, Inc. (“Rodico”), a New Jersey-based company.

After protracted negotiations, TVT and Schubert entered into a written contract in February 1995 for Schubert to build a Biobox-production system (“February 1995 Quotation Contract”). Shortly thereafter, problems started accumulating. First, Schubert experienced delays that set the project back nearly two years. In 1997, when the Biobox-production system (“Schubert System”) was finally finished and delivered to Cinram, Inc. (“Cinram”)-the production facility in Richmond, Indiana that TVT had contracted with-the system malfunctioned frequently and severely.

Eventually, upset with the lack of progress made in curing the Schubert System's defects, TVT and its affiliate Steve Gottlieb, Inc. (“SGI”) commenced this action in July 2000, asserting various contract and tort claims and claiming that they suffered millions of dollars in damages, including money paid to

Schubert for the system and repairs, money spent on other technicians and equipment to try to fix or replace components, money spent to set up its production facility, money that will have to be spent to replace the facility, money spent on administration of the Biobox project, and lost profits. On March 28, 2002, the Court denied Schubert's motion to dismiss Plaintiffs' Complaint. *TeeVee Toons, Inc. v. Gerhard Schubert GmbH*, No. 00 Civ. 5189(RCC), 2002 WL 498627, at *9 (S.D.N.Y. Mar. 29, 2002). Schubert now moves for an order granting summary judgment in Schubert's favor on Plaintiffs' contract and tort claims.

II. DISCUSSION

C. TVT's Contract Claims

1. Choice of Law

TVT's contract claims are governed by the United Nations Convention on Contracts for the International Sale of Goods, Apr. 11, 1980, S. Treaty Doc. No. 98-9 (1983), 1489 U.N.T.S. 3, 19 I.L.M. 668 (1980) ("CISG" or "Convention"), which "applies to contracts of sale of goods between parties whose places of business are in different States ... when the States are Contracting States." CISG art. 1(1)(a), 19 I.L.M. at 672. TVT's place of business is in the United States (in New York) and Schubert's place of business is in Germany (in Crailsheim). Both the United States and Germany are contracting states.

TVT asserts its contract claims under Articles 35 and 36 of the CISG. (*See* Compl. ¶¶ 60-76 (first claim for relief for failure to conform with respect to fitness for ordinary or particular purpose under Article 35(2)(a)-(b) of the CISG); *id.* ¶¶ 77-88 (second claim for relief for failure to conform with respect to model or sample under Article 35(2)(c) of the CISG); *id.* ¶¶ 89-99 (third claim for relief for breach of guarantee under Article 36(2) of the CISG).)

TVT alleges that the Schubert System "was not fit for the ordinary purpose of an automatic erecting, loading, and closing system for a flip-top cassette carton, and it was not fit for the particular purpose for which it was ordered and purchased, namely, the rapid and reliable production of Biobox packaging cartons" in violation of Article 35(2)(a)-(b). (Compl.¶ 68.)

There is no genuine issue of material fact with respect to the Schubert System's failure to produce Bioboxes at the proper rate and of the proper quality...And the record makes clear that TVT notified Schubert of this nonconformity as early as October 1997....

Schubert argues, however, that provisions in the "Terms and Conditions" attached to the February 1995 Quotation Contract effectively disclaim all or part of the relevant Article 35 warranty. (Def.'s Mem. Supp. at 17-18, 21; *see also* Gottlieb Decl. Opp'n Ex. E (February 1995 Quotation Contract) at 32

("Please refer to the attached Terms and Conditions.") TVT counters that "there was an express oral understanding reached between TVT and Schubert's agent that the onerous boilerplate language [of the Terms and Conditions] would *not* apply to [the Biobox] project." (Pls.' Mem. Opp'n at 12.) There exists an issue of fact as to whether the attached "Terms and Conditions" are excluded from February 1995 Quotation Contract.

Unlike American contract law, the CISG contains no statute of frauds...According to CISG Article 11, "[a] contract of sale need not be concluded in or evidenced by writing and is not subject to any other requirement as to form[, but] may be proved by any means, including witnesses." CISG art. 11, 19 I.L.M. at 674. In particular, it may be proved by oral statements between the parties; the CISG, unlike American contract law, includes no parol-evidence rule, and "allows all relevant information into evidence even if it contradicts the written documentation." *Claudia v. Olivieri Footwear Ltd.*, No. 96 Civ. 8052(HB)(THK), 1998 WL 164824, at *4-*5 (S.D.N.Y. Apr. 7, 1998). CISG Article 8 explains how such oral evidence should be interpreted:

- (1) For the purposes of this Convention statements made by and other conduct of a party are to be interpreted according to his intent where the other party knew or could not have been unaware what that intent was.
- (2) If the preceding paragraph is not applicable, statements made by and other conduct of a party are to be interpreted according to the understanding that a reasonable person of the same kind as the other party would have had in the same circumstances.
- (3) In determining the intent of a party or the understanding a reasonable person would have had, due consideration is to be given to all relevant circumstances of the case including the negotiations, any practices which the parties have established between themselves, usages and any subsequent conduct of the parties.

CISG art. 8, 19 I.L.M. at 673; *see also MCC-Marble Ceramic Ctr. v. Ceramica Nuova D'Agostino, S.P.A.*, 144 F.3d 1384, 1388-89 (11th Cir.1998) (noting that Article 8(1) "requires a court to consider ... evidence of the parties' subjective intent" and that Article 8(3) "is a clear instruction to admit and consider parol evidence regarding the negotiations to the extent they reveal the parties' subjective intent").

Under the CISG, therefore, any statements made between Schubert (or its representatives) and TVT (or its representatives) that contradict the written "Terms and Conditions," or that indicate that the "Terms and Conditions" section as a whole is not part of the final agreement between the parties, must be considered in deciding what is part of the February 1995 Quotation Contract. Some of the relevant statements, for example, tend to indicate that the entire "Terms and Conditions" section does not apply. In particular, TVT contends that a Schubert agent told TVT, in the course of conversations occurring between February 3, 1995 (the date that the February 1995 Quotation Contract was drafted) and February 13, 1995 (the date that TVT sent its acceptance of the February 1995 Quotation Contract), that TVT should " 'not worry' about the fine print" and "that the boilerplate fine print [comprising the Terms and Conditions section attached to the February 1995 Quotation Contract] was meaningless on this project." (Gottlieb Decl. Opp'n ¶ 11.) TVT also claims that the Schubert agent "said everything necessary to comfort [TVT] and assure [TVT] that those pages were *inapplicable* to this deal" and that TVT "could *ignore* the fine print." (*Id.* ¶ 12; Pls.' R. 56.1 Resp. ¶ 2 (alleging that Gottlieb was told by Schubert's agent that "he could ignore the fine print").) Because CISG Article 8(3) explicitly permits the

Court to consult “subsequent conduct” in determining intent, it is relevant to point to Gottlieb's statement that “[i]f [he] had ever thought that Schubert could enforce the [“Terms and Conditions”] ... [he] would *never* have gone forward with Schubert; and [Schubert's agent] and those he represented in Germany certainly knew that.” (Gottlieb Decl. Opp'n ¶ 13.) Schubert's agent claims, however, that he said that he merely told TVT “not to worry about or over-emphasize the fine print.” (Neuber Decl. Opp'n ¶ 5.) In particular, he claims that he did not use the word “ignore.” (*Id.*) Although this language, without more, is not strong enough to completely confirm TVT's interpretation that the “Terms and Conditions” section is unenforceable, it is strong enough to raise a genuine factual question regarding whether Schubert's agent “could not have been unaware” that TVT was interpreting his words and conduct as doing away with the boilerplate “Terms and Conditions.”

The matter is made more complex because one of the provisions in the “Terms and Conditions” section is a merger clause, which extinguishes all prior oral agreements:

This quotation comprises our entire quotation. On any order placed pursuant hereto, the above provisions entirely supersede any prior correspondence, quotation or agreement. There are no agreements between us in respect of the product quoted herein except as set forth in writing and expressly made a part of this quotation.

(February 1995 Quotation Contract, Terms & Conditions, Merger Clause.) The question of whether, under the principles of the CISG, a prior oral agreement to disregard boilerplate language itself containing, *inter alia*, a merger clause, trumps the written merger clause itself appears to be a question of first impression for (at the very least) American courts. Indeed, “U.S. federal caselaw interpreting and applying the CISG is scant.” *Usinor Industeel v. Leeco Steel Prods.*, 209 F.Supp.2d 880, 884 (N.D.Ill.2002). Although the Eleventh Circuit's decision in *MCC-Marble* contains nearly identical facts to this case, *see generally* 144 F.3d 1384, the merger-clause issue was notably absent in that case, *see id.* at 1391 & n. 19 (noting that parties may be able to avoid parol-evidence issues by including a merger clause extinguishing any prior understandings not expressed in the writings, but notably not discussing whether a prior oral agreement to disregard boilerplate language that includes a merger clause trumps the written merger clause itself).

The Court thus turns to the text of the CISG, as interpreted by the CISG Advisory Council. *See Delchi Carrier*, 71 F.3d at 1027-28 (“Because there is virtually no caselaw under the Convention, we look to its language and to ‘the general principles’ upon which it is based.” (quoting CISG art. 7(2))). The CISG Advisory Council has noted that “extrinsic evidence [such as the oral dealings between Schubert and TVT representatives] should not be excluded, unless the parties actually intend the Merger Clause to have this effect” and that “Article 8 requires an examination of all relevant facts and circumstances when deciding whether the Merger Clause represents the parties' intent.” *See* CISG-AC Opinion no. 3 ¶ 4.5 (Oct. 23, 2004). That is, to be effective, a merger clause must reflect “the *parties'* intent.” *Id.* (emphasis added). This suggests that if either party had a contrary intent, the merger clause between them would have no effect; only if both Schubert and TVT shared the intent to be bound by the Merger Clause contained in the “Terms and Conditions” is the Merger Clause operative.²

There exists a genuine issue of material fact as to whether Schubert and TVT shared the intent to be bound by the “Terms and Conditions” portion of the February 1995 Quotation Contract or the written Merger Clause contained therein. If the final writing evinces the shared intent of TVT and Schubert (by

their agents) to proceed with a meaningful Merger Clause, then the “Terms and Conditions” section is part of the February 1995 Quotation Contract such that the liability limitations apply,³ *see* CISG art. 6, 19 I.L.M. at 673 (allowing contracting parties to “derogate from or vary the effect of any of [the CISG's] provisions”), meaning that the warranty provision in the “Terms and Conditions” section would override the protections of CISG Article 35 and undermine TVT's Article 35 cause of action.⁴ If, however, there was no shared intent of TVT and Schubert (by their agents) to be bound by either the “Terms and Conditions” section or Merger Clause, then the “Terms and Conditions” section and Merger Clause would drop out, and TVT would be entitled to the full panoply of implied warranties offered by the CISG, including the Article 35 provisions forming the basis of this contract claim.

Summary judgment is inappropriate on TVT's Article 35(2)(a)-(b) claim because there is a genuine issue of material fact regarding the parties' intent to incorporate the “Terms and Conditions” section and Merger Clause therein. Under the guidelines set forth herein, the finder of fact in this case will be required to determine the subjective intent of Gottlieb, on behalf of TVT, and Neuber, on behalf of Schubert, at the time Schubert's offer was accepted by TVT. Nevertheless, TVT is barred from recovering certain categories of damages under the Article 35(2)(a)-(b) claim as a matter of law. Thus, on this contract claim, summary judgment for Schubert is DENIED except with respect to certain categories of damages, as the Court will now explain....

Footnotes

² Likewise, this is in accord with the Advisory Committee's observation that “Articles 8 and 11 express the general principle that writings are not to be presumed to be ‘integrations.’” *Id.* ¶ 2.1. Though not per se applicable, the following comment to the Principles of European Contract Law—to which the CISG Advisory Council refers in its opinion covering merger clauses—further supports the Court's interpretation: “It often happens that parties use standard form contracts containing a merger clause to which they pay no attention” such that “[a] rule under which such a clause would always prevent a party from invoking prior statements or undertakings would be too rigid and often lead to results which were contrary to good faith.” CISG-AC Opinion no. 3 ¶ 4.4 n. 53 (Oct. 23, 2004). And the notion of “good faith in international trade” must underlie any CISG interpretation. CISG art. 7(1), 19 I.L.M. at 673.

³ Schubert argues, for example, that any recovery by TVT of breach-of-contract damages should be limited to the machine price, based on the “Limitation of Liability” clause (paragraph 6) of the “Terms and Conditions” section of the February 1995 Quotation Contract, because CISG Article 6 allows contracting parties to “derogate from or vary the effect of any of [the CISG's] provisions.” (*See* Def.'s Mem. Supp. at 17-19 (arguing that “at most, [TVT's] recovery must be capped at the \$862,160 amount quoted for the machinery”).

⁴ The full text of the warranty provision reads:

WARRANTY:

(a) Any product or part thereof covered by this quotation which, under normal operating conditions in the plant of the original user thereof, proves defective in material or workmanship within 6 mos. from the date of shipment by us, as determined by an inspection by us, will be replaced free of charge, provided that you promptly send to us notice of the

defect and establish that the product has been properly installed, maintained and operated within the limits of rated and normal usage.

(b) The terms of this warranty do not in any way extend to any product or part thereof covered by this quotation which has a life, under normal usage, inherently shorter than the period indicated above or which was not manufactured by us or an affiliate of ours.

(c) Said warranty in respect to replacement of defective parts and any such additional warranty or representation expressly made a part of this quotation are in lieu of all other warranties express or implied in respect of any product or part thereof covered by this quotation. NO WARRANTY OF MERCHANTABILITY OR FITNESS FOR PURPOSE SHALL APPLY.

(February 1995 Quotation Contract, Terms & Conditions ¶ 4.)

Can AI Fix Bad Rules?

We built an AI that reads contracts and successfully predicts which ones will end up disputed, just from the clarity of the text. A small first step towards using AI to write better rules everywhere.

[Andy Hall](#) and [Elliot](#)

Jul 16, 2026

“Whence does it come to pass that our common language, so easy for all other uses, becomes obscure and unintelligible in wills and contracts? and that he who so clearly expresses himself in whatever else he speaks or writes, cannot find in these any way of declaring himself that does not fall into doubt and contradiction?”

—Michel de Montaigne, “Of Experience” (1587)

...

I’ve been working on what I call [political superintelligence](#)—the idea that, as AI makes intelligence more cheaply available, we can use it to make our democracy function better. Could AI help us to avoid some of the ambiguities in important written agreements? Writing better agreements won’t solve all of the challenges of governance—even perfectly worded contracts won’t anticipate major future shifts, obviously, or solve the challenges of imperfect enforcement—but it could certainly improve the way we govern our societies, our private business relationships, our online platforms, and much more.

We decided to put this to the test. To start, we needed somewhere we could quickly harvest lots of written contracts and observe which ones ended up in disputes. We didn’t have to look far: prediction markets are a favorite testbed here at Free Systems, and Kalshi and Polymarket publish resolution rules explaining how each contract will be decided. We’ve previously explored the very problem that those rules [can be ambiguous](#), so it presents a perfect opportunity for us to revisit and see if we can do better.

Working with Claude, we developed a 10-point rubric for spotting flaws in contract rules that might lead to disputes—including things like failing to specify a source of truth, not naming an entity specifically enough (like the Peerless!), and so on. Then, we used those 10 scores for each resolution rule to train a model to predict which ones would actually be contested, in practice, using data on actual disputes from both platforms.

It worked surprisingly well! Just from our grades based on the text of the resolution rules, our tool is able to predict which contracts are more likely to result in a dispute at a rate far better than chance.

In the realm of prediction markets, our scores can hopefully be the start of a “grading system” for contracts. And they can also be used to generate specific recommendations on how to design better rules for future contracts.

More broadly, the results point to an exciting way we can use AI to improve governance. Could we unleash powerful AI models to help us improve all kinds of governance and contract language—asking it to find ambiguities, unanticipated issues, miswordings, and more before we release the language into the wild? If done well, the result will be clearer contracts and better outcomes. A small but valuable step in building political superintelligence for the world.

Here’s how we did our study and more about what we learned.

First, the data: we collected a sample of 10,000 contract resolution rules from Kalshi and Polymarket, combined with information on which contracts ultimately wound up disputed. For Polymarket, we turned to [UMA](#)’s governance oracle. This is the process by which Polymarket receives and handles disputes, and all the data is openly available online. We divided these disputes into two categories: material disputes, which are those that weren’t dismissed for being premature (a technicality in how UMA works), and confirmed disputes, which are the subset of material disputes that continue through the dispute process and receive a second dispute request (again, a technicality of the way UMA works).

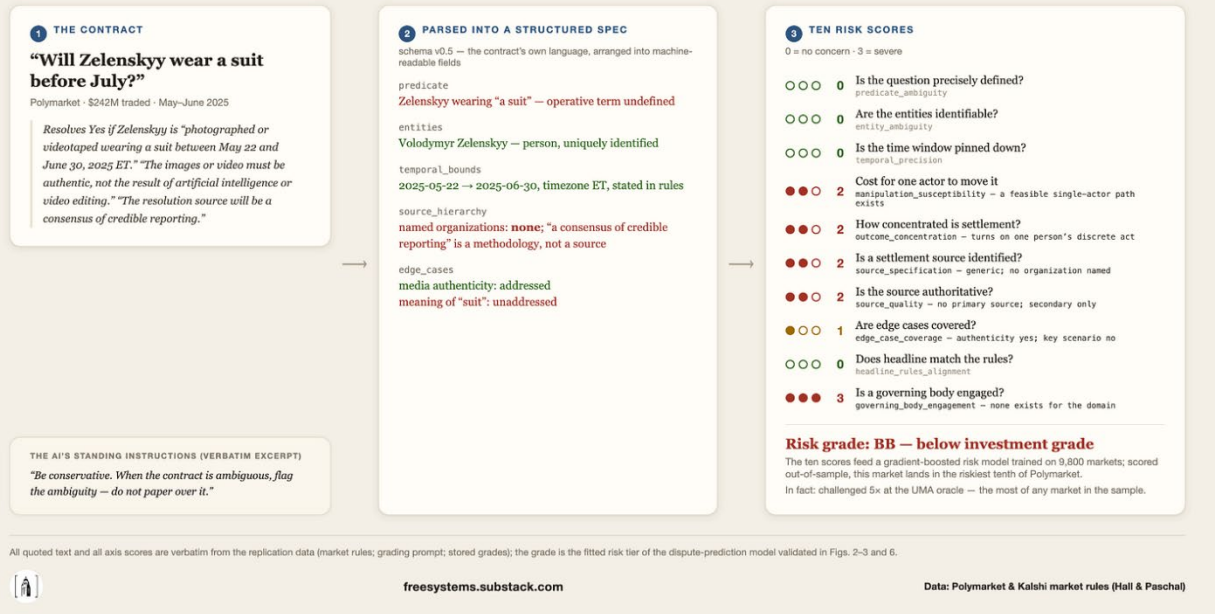
Because Kalshi’s “disputes” are more ambiguous in nature, we focus our main analyses on Polymarket, but patterns are generally similar across the two.

We developed our rubric for grading contract quality by reading a bunch of contract rules ourselves, and conversing with our buddy Claude. First, we came up with ten dimensions that we and Claude thought captured common failures we saw in contracts. Then, we worked iteratively to develop a system of scores from 0-3, where a 0 represents clarity or no concern on a given dimension, and 3 represents severe ambiguity. Last, we put a large sample of the contracts—weighted to include more of the disputed ones, because disputes are pretty rare in prediction markets—through the finalized LLM grader (using GPT-4.1 to save money for now) and got back our final grades.

Here’s how this process plays out for the famous “Zelensky suit” blow-up that we discussed in [a previous piece](#) as a good example of how contract rules can go awry. (Note: we worry that the AI could bring in its knowledge of a disputed case when doing the grading in some cases—in the conclusion we discuss this a bit more.)

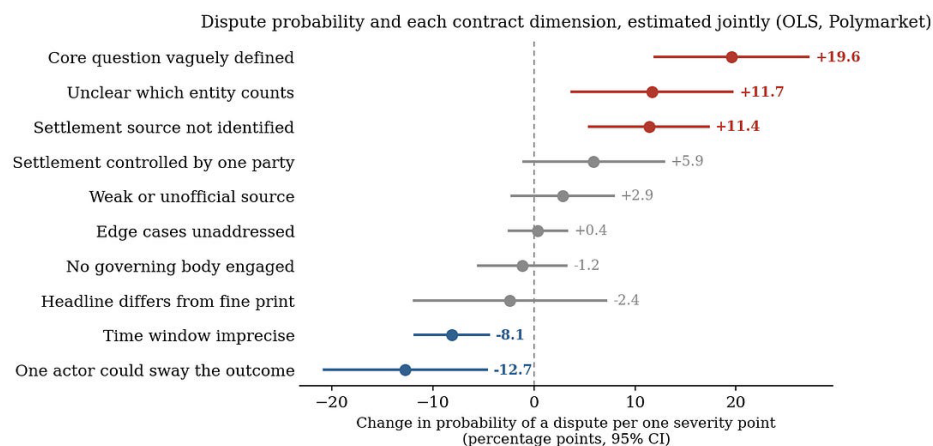
The contract-grading pipeline

Shown on Polymarket's \$242 million suit market. Every quote and every score below is verbatim from the replication data.



...

A neat feature of this approach is that we can also extract which features tend to be most predictive of contract disputes, using the rubric that we developed with Claude. Three features really stand out: when the core question is vaguely defined; when it’s unclear which entity counts; and when the settlement source is not identified.



Red: raises dispute probability (CI excludes 0) · blue: lowers · gray: indistinguishable from 0. Dispute-enriched sample (24% base rate). “Sway” and “controlled by one party” are nearly collinear ($r=0.98$); read as a pair.

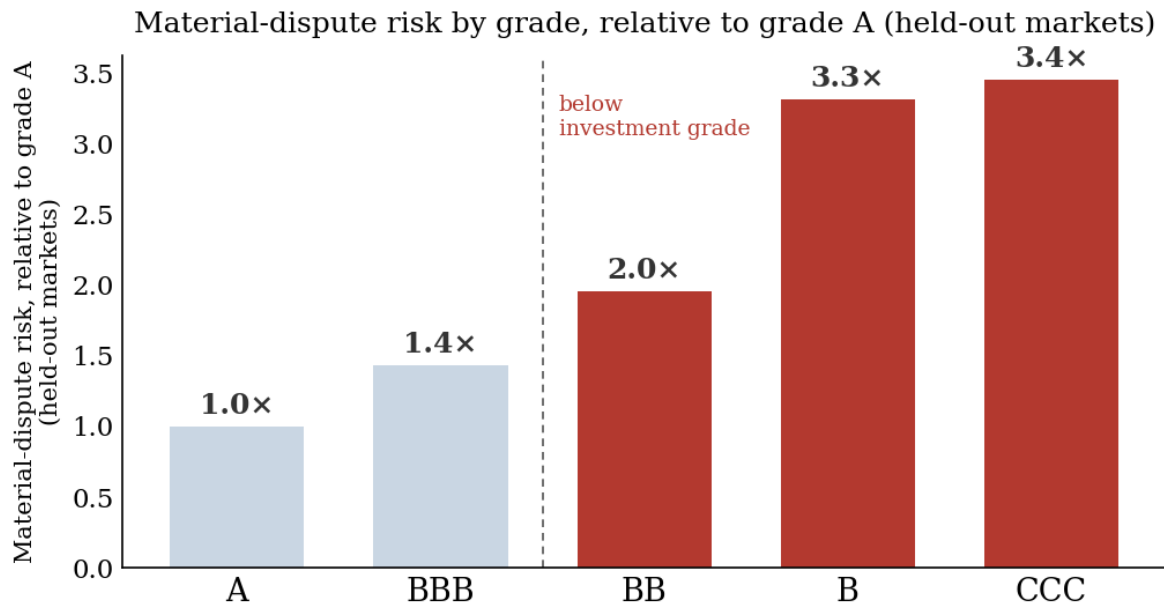


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Data: Polymarket (Hall & Paschal)

It might be that these are common mistakes made in hastily written contracts, and that platforms should focus on defining questions more clearly, specifying entities more explicitly, and identifying specific settlement sources in all the contracts they write. But it's also possible that there is a reverse causation here—maybe events that are hard to call and likely to be disputed are also inherently harder to write contracts for. We'll need to do more research down the line to really understand this, but in the meantime, our model can certainly suggest potential weaknesses in contracts so that the authors can at least consider whether they have ways to address them beforehand or not.

To see how our approach can help, consider the prediction market example. Investors often like to consider assets by looking at “grades” of their quality. Using our predicted probabilities of disputes, we can divide the prediction-market contracts into bins reflecting the risk they'll end up disputed. Contracts graded “A” are the least likely to be disputed; each subsequent lower grade increases the risk of dispute steadily, with CCC contracts 3.4x as likely to be disputed as A contracts.



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Data: Polymarket & Kalshi (Hall & Paschal)

Here are a few examples of what the different contracts and their grades look like.

“Fed increases interest rates by 25+ bps after October 2025 meeting?”

Polymarket · \$102M traded · resolved October 2025

RESOLUTION RULES (COMPLETE, VERBATIM)

The FED interest rates are defined in this market by the upper bound of the target federal funds range. The decisions on the target federal fund range are made by the Federal Open Market Committee (FOMC) meetings.

This market will resolve to the amount of basis points the upper bound of the target federal funds rate is changed by versus the level it was prior to the Federal Reserve's October 2025 meeting.

If the target federal funds rate is changed to a level not expressed in the displayed options, the change will be rounded up to the nearest 25 and will resolve to the relevant bracket. (e.g. if there's a cut/increase of 12.5 bps it will be considered to be 25 bps)

The resolution source for this market is the FOMC's statement after its meeting scheduled for October 28 - 29, 2025 according to the official calendar: <https://www.federalreserve.gov/monetarypolicy/fomccalendars.htm>.

The level and change of the target federal funds rate is also published at the official website of the Federal Reserve at <https://www.federalreserve.gov/monetarypolicy/openmarket.htm>.

This market may resolve as soon as the FOMC's statement for their October meeting with relevant data is issued. If no statement is released by the end date of the next scheduled meeting, this market will resolve to the “No change” bracket.

TEN RISK SCORES

0 = no concern · 3 = severe

- 0 0 0 0 Is the question precisely defined?
predicate_ambiguity
- 0 0 0 0 Are the entities identifiable?
entity_ambiguity
- 0 0 0 0 Is the time window pinned down?
temporal_precision
- 0 0 0 0 Cost for one actor to move it
manipulation_susceptibility
- 1 0 0 0 How concentrated is settlement?
outcome_concentration – FOMC – a deliberative body with structural checks
- 0 0 0 0 Is a settlement source identified?
source_specification
- 0 0 0 0 Is the source authoritative?
source_quality
- 1 0 0 0 Are edge cases covered?
edge_case_coverage – no-statement fallback covered; minor gaps remain
- 0 0 0 0 Does headline match the rules?
headline_rules_alignment
- 1 0 0 0 Is a governing body engaged?
governing_body_engagement – official Fed data named; no integrity reference

Risk grade: A — investment grade

In fact: challenged twice at the UMA oracle — both premature proposals; settled from the FOMC statement exactly as written.



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Data: Polymarket & Kalshi market rules (Hall & Paschal)

“Will Andrew Cuomo win the Democratic Primary for Mayor of New York City?”

Polymarket · \$18M traded · primary June 24, 2025

RESOLUTION RULES (COMPLETE, VERBATIM)

The Democratic Primary for Mayor of New York City is scheduled for June 24, 2025.

This market will resolve to “Yes” if Andrew Cuomo wins the 2025 Democratic Primary for Mayor of New York City. Otherwise, this market will resolve to “No”.

If no 2025 Democratic Primary for the Mayor of New York City takes place this market will resolve to “No”.

The resolution source for this market will be the first announcement of the results from the Democratic Primary, however an overwhelming consensus of credible reporting may suffice.

TEN RISK SCORES

0 = no concern · 3 = severe

- 0 0 0 0 Is the question precisely defined?
predicate_ambiguity
- 0 0 0 0 Are the entities identifiable?
entity_ambiguity
- 0 0 0 0 Is the time window pinned down?
temporal_precision
- 1 0 0 0 Cost for one actor to move it
manipulation_susceptibility – election authority under public accountability
- 0 0 0 0 How concentrated is settlement?
outcome_concentration
- 2 0 0 0 Is a settlement source identified?
source_specification – “first announcement of the results” – no certifying body named
- 2 0 0 0 Is the source authoritative?
source_quality – “consensus of credible reporting” fallback – secondary only
- 2 0 0 0 Are edge cases covered?
edge_case_coverage – primary-cancelled covered; recount, runoff, timing not
- 0 0 0 0 Does headline match the rules?
headline_rules_alignment
- 2 0 0 0 Is a governing body engaged?
governing_body_engagement – NYC Board of Elections exists – not engaged for settlement

Risk grade: BBB — investment grade

In fact: disputed once at the UMA oracle — classified in our audit as a no-fault challenge; settled from the primary results.



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Data: Polymarket & Kalshi market rules (Hall & Paschal)

“TikTok banned in the US before May 2025?”

Polymarket - \$120M traded - September 2024 - April 2025

RESOLUTION RULES (COMPLETE, VERBATIM)

This market will resolve to “Yes” if the TikTok app is banned for download and/or use by the majority of Americans in the United States by April 30, 2025, 11:59 PM ET. Otherwise, this market will resolve to “No”.

For this market to resolve to “Yes”, a ban mandated by US federal law, policy, or the court system must have gone into effect (as defined above) within the above-stated timeframe.

If TikTok is sold to another entity in such a way that it comes into compliance with U.S. laws and regulations this market will resolve to “No”.

The primary resolution source for this market will be information from the US federal government, however a consensus of credible reporting will also be used.

TEN RISK SCORES

0 = no concern - 3 = severe

- 2 Is the question precisely defined?
predicate_ambiguity - “banned” - for the majority of Americans” - threshold undefined
- 0 Are the entities identifiable?
entity_ambiguity
- 0 Is the time window pinned down?
temporal_precision
- 1 Cost for one actor to move it
manipulation_susceptibility - single institution (federal government) under oversight
- 1 How concentrated is settlement?
outcome_concentration - one government’s action, with institutional process
- 1 Is a settlement source identified?
source_specification - “the US federal government” - a category, not an organization
- 1 Is the source authoritative?
source_quality - official information, but no named producer of record
- 2 Are edge cases covered?
edge_case_coverage - sale addressed; partial ban and court stay are not
- 1 Does headline match the rules?
headline_rules_alignment - “banned” headline vs. ban-in-effect-by-deadline rules
- 2 Is a governing body engaged?
governing_body_engagement - governing institutions exist - none engaged for settlement

Risk grade: B — below investment grade

In fact: disputed twice at the UMA oracle — \$120 million traded against an undefined “ban.”



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Data: Polymarket & Kalshi market rules (Hall & Paschal)

“Israel x Iran ceasefire before July?”

Polymarket - \$52M traded - June 2025

RESOLUTION RULES (COMPLETE, VERBATIM)

This market will resolve to “Yes” if there is an official ceasefire agreement, defined as a publicly announced and mutually agreed halt in military engagement, between Israel and Iran by June 30, 2025, 11:59 PM ET.

Unilateral statements from either Iran or Israel that they are pausing or ending military action will not qualify if it does not reflect a mutually agreed halt in military engagement. However, a ceasefire which is publicly announced by either Iran, Israel, or a third party mediator, which is confirmed by a consensus of credible reporting will qualify.

If the agreement is officially reached before the resolution date, this market will resolve to “Yes,” regardless of whether the ceasefire officially starts afterward.

Ceasefire agreements between Israel and any Iranian entity other than the internationally recognized government of the Islamic Republic of Iran—such as a provisional authority or opposition group in the event of civil war or revolution—will not qualify.

Only ceasefires which constitute a general pause in the conflict will qualify. Ceasefires which only apply to energy infrastructure, specific locations, or other similar agreements will not qualify.

Any form of informal agreement will not be considered an official ceasefire. Humanitarian pauses will not count toward the resolution of this market.

This market’s primary resolution will be based on official announcements from Israel and Iran. However, a publicly announced ceasefire which is confirmed by a wide consensus of credible media reporting stating an official ceasefire agreement between Iran and Israel has been reached will suffice.

TEN RISK SCORES

0 = no concern - 3 = severe

- 0 Is the question precisely defined?
predicate_ambiguity
- 0 Are the entities identifiable?
entity_ambiguity
- 0 Is the time window pinned down?
temporal_precision
- 1 Cost for one actor to move it
manipulation_susceptibility - state action under intense international observation
- 1 How concentrated is settlement?
outcome_concentration - requires the mutual agreement of two governments
- 1 Is a settlement source identified?
source_specification - “official announcements” - a narrow category, no named organ
- 1 Is the source authoritative?
source_quality - government statements; credible-reporting fallback
- 0 Are edge cases covered?
edge_case_coverage
- 0 Does headline match the rules?
headline_rules_alignment
- 2 Is a governing body engaged?
governing_body_engagement - no neutral arbiter engaged - the parties themselves announce

Risk grade: BB — below investment grade

In fact: challenged 3x at the UMA oracle — proposals repeatedly raced ahead of a mutually agreed halt.



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Data: Polymarket & Kalshi market rules (Hall & Paschal)

“Who will perform at Super Bowl LX? — Cardi B”

Kalshi - \$21M traded · Super Bowl LX (February 2026)

RESOLUTION RULES (COMPLETE, VERBATIM)

If Cardi B performs or it is announced that Cardi B will perform at the Pro Football Championship before Dec 31, 2026, then the market resolves to Yes.

*Clarification 02/5/2026: **For the purposes of this market, a qualifying performance requires that the performer, within the official event timeframe, appears on stage or in the official broadcast/stream AND is either a scheduled performer or makes a guest appearance during another artist's performance. Commercials or advertisements aired during the broadcast are not considered part of the official event and therefore do not meet the Payout Criterion. As a result, singing, musical activity, or other performance that takes place exclusively within an advertisement, even if aired during the event broadcast does not constitute a qualifying performance.***

TEN RISK SCORES

0 = no concern · 3 = severe

- 0 Is the question precisely defined?
predicate_ambiguity
- 0 Are the entities identifiable?
entity_ambiguity
- 0 Is the time window pinned down?
temporal_precision
- 3 Cost for one actor to move it
manipulation_susceptibility – “or it is announced” – a statement alone resolves it
- 3 How concentrated is settlement?
outcome_concentration – one performer’s announcement settles the market
- 0 Is a settlement source identified?
source_specification
- 1 Is the source authoritative?
source_quality – broadcast and reporting, not a league feed
- 0 Are edge cases covered?
edge_case_coverage
- 0 Does headline match the rules?
headline_rules_alignment
- 2 Is a governing body engaged?
governing_body_engagement – NFL controls halftime – not engaged for settlement

Risk grade: CCC — below investment grade

In fact: trading paused by the exchange; a mid-market clarification had to define what “performs” means.



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Data: Polymarket & Kalshi market rules (Hall & Paschal)

...

CONTRACT IN *BLOOR v. FALSTAFF BREWING CORP.**

Purchase Agreement dated as of March 3, 1972 between P. BALLANTINE & SONS, a New Jersey corporation (hereinafter called the Seller), and FALSTAFF BREWING CORPORATION, a Delaware corporation (hereinafter called the Buyer).

The Seller desires to sell, and the Buyer desires to purchase, the Ballantine Assets (as defined in Section 1 hereof) of the seller for the cash payments, referred to in Section 2 hereof and the assumption by the Buyer of certain obligations of the Seller as specified in Section 3 hereof, all upon the terms and subjects to the conditions hereinafter set forth.

NOW, THEREFORE, in consideration of the promises and of the mutual agreements hereinafter set forth, the parties hereto agree as follows:

1. **Sale of Ballantine Assets.** On the terms and subject to the conditions set forth in this Agreement, the Seller hereby agrees to sell, convey, assign, transfer and deliver to the Buyer on the Closing Date, and the Buyer hereby agrees to purchase from the Seller on the Closing Date the following assets, properties, and rights of the Seller relating to or used in connection with the production, bottling, packaging, storage and distribution of malt alcoholic beverage by the Seller, all as the same shall exist on the Closing Date except as such assets, properties and rights may have been disposed of, adjusted or supplemented prior to the Closing Date in the ordinary course of business or in accordance with the provisions of this Agreement (hereinafter called the "Ballantine Assets"):

- (a) all right, title and interest of the Seller in and to the brand names, trademarks, trade names, copyrights and other proprietary rights owned by or registered in the name of the Seller and listed and described in Exhibit A hereto (hereinafter called the "Proprietary Rights");
- (b) all right, title and interest of the Seller in and to the inventory and supplies held and used by the Seller generally described in Exhibit B hereto;
- (c) all right, title and interest of the Seller in and to (i) the vehicles and auxiliary equipment and cooperage in hand or in the trade and related component parts listed or generally described in Exhibit C hereto and (ii) all cases, bottles and pallets on hand or in the trade of similar character to the items referred to in paragraph (a) above returnable to the Seller;
- (d) all right, title and interest of the Seller in and to the (i) the leases or other agreements under which the Seller is lessee of or holds or operates personal property owned by any third party

* 601 F.2d 413 (2d Cir.1979). Thanks to Professor Victor Goldberg for providing this contract from the case file. The contract has been retyped for clarity.

SEL. CONTRACTS & STANDARD FORM AGREEMENTS

and which are listed in Exhibit D hereto and (ii) the contracts, orders agreements, commitments and other instruments, including without limitation, supply and requirements contracts and collective bargaining agreements to which the Seller is a party relating to the items of personal property referred to in Exhibits B-D hereto or to the sale and delivery by the Seller of its malt alcoholic beverage directly to retail sellers and which are listed in Exhibit E hereto;

- (e) all right, title and interest of the seller in the advertising and promotional signs and materials used or for use by the Seller in connection with the Proprietary Rights; and
- (f) provided that such purchase is not precluded by an order of a court of competent jurisdiction issued at the request of a governmental authority and effective on the Closing Date, all right, title and interest of the Seller in and to each retail account receivable of the Seller and each account receivable of the Seller confirmed in writing to either party hereto prior to May 1, 1972 (hereinafter called the "Buyer's Receivable"), excluding those accounts receivable listed in Exhibit F hereto (hereinafter called the "Seller's Receivable").

2. Purchase Price and payment. (a) Upon the terms and subject to the conditions set forth in this Agreement, the Buyer agrees to pay to the Seller as the Purchase Price for the Ballantine Assets (in addition to the assumption of certain obligations as provided herein),

i) On the date hereof, \$2,000,000 in respect of the Ballantine Assets referred to in paragraphs (a) and (c)-(e) of Section 1 hereof, the receipt of which is hereby acknowledge

(ii) On March 15, 1972, \$1,000,000 in respect of the Ballantine Assets referred to in paragraphs (a) and (c)-(e) of Section 1 hereof;

(iii) On the Closing Date, \$1,000,000 in respect of the Ballantine Assets referred to in paragraphs (a) and (c)-(e) of Section 1 hereof;

(iv) On the Closing Date, a sum in cash equal to the cost, as determined by the Seller in accordance with the books and records of the Seller, of the inventory and supplies described in Exhibit B hereto, in respect of the Ballantine Assets referred to in paragraph (b) of Section 1 hereof; provided, however, that at the time that the Buyer shall take possession of any such Ballantine Assets pursuant to Section 5(c) hereof prior to the Closing Date, it shall pay to the Seller the pro rata cost of such Ballantine Assets;

(v) on the 7th day of each month, commencing May 7, 1972, and terminating April 7, 1978 (the "Royalty Period"), a

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sum in cash computed at the rate of \$.50 per barrel for each barrel of 31 U. S. gallons sold by the Buyer during the preceding calendar month under any of the Proprietary Rights, as royalties in respect of the use of such Proprietary Rights; provided that the Royalty Period will be extended by the duration of any restraining order, if lifted, issued by a court of competent jurisdiction, and the obligation to make royalty payments hereunder will recommence immediately following the lifting of such order; and provided, however, that if during the Royalty Period the Buyer substantially discontinues the distribution of beer under the brand name "Ballantine" (except as the result of a restraining order in effect for 30 days issued by a court of competent jurisdiction at the request of a governmental authority), it will pay to the Seller a cash sum equal to the years and fraction thereof remaining in the Royalty Period times \$1,100,000, payable in equal monthly installments on the first day of each month commencing with the first month following the month in which such discontinuation occurs;

(vi) On the Closing Date, a sum in cash equal to 75% of the aggregate amount of the Buyer's Receivables as of the Closing Date (hereinafter called the "First Receivables Payment"), in respect of part of the Ballantine Assets referred to in paragraph (f) of Section 1 hereof; and

(vii) (1) On May 7, 1972, a sum in cash equal to 75% of the aggregate amount of the Buyer's Receivables as of April 30, 1972, in addition to those referred to in subparagraph (vi) above (hereinafter called the "Second Receivables payment") and (2) on the seventh day of each month commencing May 7, 1972, a sum, if any, in cash equal to 75% of that portion collected by the Buyer during the previous month of the difference between the aggregate of the First and Second Receivables Payments and the aggregate amount in excess thereof the total of all Buyer's Receivables collected up to and including the last day of the previous month.

- (b) The aggregate of the First and Second Receivables Payments shall not exceed \$7,125,000. For purposes of the computation of payments pursuant to clause (2) of subparagraph (vii) of paragraph (a) above, any amounts which may be paid to the Buyer by an obligor in satisfaction of any obligation distinct from the Buyer's Receivables relating to such obligor shall be treated by the Buyer as a collection of Buyer's Receivables, and the Buyer waives any right which it may have to make any claim, offset or counterclaim against such amounts received. Upon the termination of contractual or customer relations with any distributor, the Buyer will promptly pay to the Seller an amount equal to

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75% of any Buyer's Receivables then due in respect of such distributor.

- (c) Those portions of the Purchase Price referred to in subparagraphs (ii)–(iv) and (vi) of paragraph (a) above shall be paid by delivery to the Seller on the dates referred to therein of a certified or official bank check payable to the order of the Seller in the amounts specified therein. Payments of that portion of the Purchase Price referred to in subparagraphs (i), (v), and (vii) of paragraph (a) above shall be paid on the dates referred to therein by delivery to the Seller on such dates of checks, subject to collection, payable to the order of the Seller.
- (d) If the Buyer shall apply for or consent to the appointment of a receiver, trustee or liquidator, of the Buyer or its assets, make a general assignment for the benefit of creditors, become insolvent, file a voluntary petition in bankruptcy or be adjudicated a bankrupt, file a petition or an answer seeking reorganization or an arrangement with creditors or take advantage of any bankruptcy, insolvency, dissolution or liquidation law or statute, then each of the payments or installments provided for in subparagraph (v) of paragraph (a) above shall immediately become forthwith due any payable without demand or other notice of any kind.

3. Assumption of Certain obligations by the Buyer and Indemnity. (a) Upon the terms and subject to the conditions set forth in this Agreement, the Buyer will assume on and as of the Closing Date and agrees to pay, perform and discharge in accordance with their terms:

(i) all obligations and liabilities of the Seller (1) under the leases and other agreements listed in Exhibit D hereto, (2) under the contracts, orders, commitments and other agreements listed in Exhibit E hereto, (3) for all premium payments under insurance contracts and binders covering or relating to the items generally described in Exhibits B and C hereto and (4) under relevant collective bargaining agreements, commitments or otherwise, including, without limitation, all obligations relating to severance and vacation pay, regarding all delivery, sales, marketing, clerical and administrative personnel; provided however, that the Buyer shall not assume any accounts payable under or in respect of the instruments set forth in (1) and (2) above, including; without limitation, liabilities for taxes, incurred by the Seller and due during or in respect of the period prior to the Closing Date; and

(ii) the obligations and liabilities of the Seller in respect of the advertising contracts, orders, commitments and other agreements set forth in Exhibit G hereto.

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- (b) All obligations and liabilities of the Seller not assumed by the Buyer pursuant to paragraph (a) above shall remain the sole responsibility of the Seller. The Seller will indemnify and save the Buyer harmless from and against any and all claims, liabilities or obligations whatsoever, to the extent the same shall arise out of or result from (i) the ownership of the Ballantine Assets prior to Closing Date and shall not have been assumed by the Buyer pursuant to a paragraph (a) above. The Buyer will indemnify and save the Seller harmless from and against any and all claims, liabilities or obligations on account of obligations and liabilities of the Seller assumed by the Buyer pursuant to paragraph (a) above or arising out of or resulting from the ownership by the Buyer of the Ballantine Assets on and after Closing Date.
- (c) Each party shall promptly notify the other of the assertion of any claim against such party to be indemnified against hereunder, and will give to the indemnifying party an opportunity to participate, at its own expense, in the conduct of any proceedings instituted by any third party or in the settlement of such claim.

4. **Information.** From and after the date of this Agreement until June 30, 1973, pursuant to the reasonable requests of the Buyer, the Seller shall give the Buyer access to the Ballantine Assets, shall furnish information relating thereto and permit the Buyer to make extracts from, or copies of the books and records of the Buyer relating thereto. The Buyer shall use its best efforts to keep confidential all information respecting the business and operations of the Seller which it may have obtained in the course of its investigations and which is not public information.

5. **The Closing.** (a) The purchase and sale provided for in this Agreement shall take place at the offices of Investors Funding Corporation of New York, 630 Fifth Avenue, New York, NY at 10:00 a.m., Eastern Standard Time, on March 31, 1972, or such other date as the Seller and the Buyer may mutually agree upon (herein called the "Closing Date").

- (b) The sale, conveyance, transfer, assignment and delivery of the Ballantine Assets as provided in this Agreement shall be effected by bills of sale, endorsements, assignments and other instruments of transfer and conveyance as the Buyer shall reasonably request and shall be sufficient to convey all of the title of the Seller to the Ballantine Assets. The Seller agrees that it will at anytime on or after the Closing Date, upon the reasonable request of the Buyer, execute, acknowledge, and deliver, or will cause to be done, executed, acknowledged and delivered, all such further acts, deeds, assignments, transfers, conveyances, powers of attorney and assurances as may be required for the better

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assigning, transferring, granting conveying, assuring and confirming such title to the Buyer.

- (c) The Buyer at its expense shall take possession of the Ballantine Assets and remove them from the premises of the Seller as soon as possible after the date hereof. The Seller agrees to make delivery to the Buyer to such locations the Buyer may designate within a radius of 17 miles of Seller's premises of all finished goods included in Exhibit B hereto. The Buyer shall pay the Seller for such deliveries delivery charges at the rate of \$.06 per case and \$.50 per half-barrel. The Seller agrees to cooperate with the Buyer in assembling and removing the other Ballantine Assets from its premises.

6. Assignment and Collection of Receivables. (a) Nothing contained in this Agreement shall be construed as an attempt to assign (i) any contract, right, lease, license, commitment or agreement, including, without limitation, any sales or purchase order, which is in law non-assignable without the consent of the other party or parties thereto unless consent shall have been given or (ii) any such instrument or right as to which all the remedies for the enforcement thereof enjoyed by the Seller would not, as a matter of law, pass to the Buyer as an incident of the assignment provided for by this Agreement. The Seller agrees to use its best efforts to obtain the consent of the other party to any contract, right, lease, license, commitment or agreement to the assignment thereof to the Buyer in all cases where such consent is required for assignment.

- (b) The Seller agrees that the Buyer shall have the right and authority to collect as the agent of the Seller, and the Buyer agrees to use its best efforts to collect, for the account of the Seller, all Seller's Receivables. The Buyer agrees that it will promptly transfer and deliver to the Seller any and all checks, cash or other property that the Buyer may receive in respect of Seller's Receivables or any and all checks or cash which it may receive from any party which is at the time of receipt an obligor of both the Buyer and Seller up to the amount of the outstanding Seller's Receivables due the Seller in respect of such party, and until so transferred and delivered the same shall be deemed to be held in trust for the Seller (it being the intention of both parties hereto that all such payments received by the Buyer shall be applied first on account of the customer's indebtedness to the Seller, and not to such customer's indebtedness to the Buyer, if any, until all such indebtedness to the Seller has been paid in full). The Buyer waives any right which it may have to make any claim, offset or counterclaim against such payments received. Upon termination of contractual or customer relations with any distributor with respect to which a Seller's Receivables are due, the Buyer will promptly pay to the Seller the aggregate amount of such Seller's Receivables and agrees to assume any

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obligation for the payment of any amounts which may become refundable to such distributor as a result of such termination. The Seller and the Buyer will cooperate, and will use their best efforts to have their officers, directors and other employees cooperate, at the request of either party, on and after the Closing Date; in endeavoring to effect the collection of all receivables and other items owing to the Seller and in furnishing information, evidence, testimony and other assistance in connection with any actions, proceedings, arrangements, or disputes involving the Seller or the Buyer based upon contracts, arrangements or acts of the Seller which were in effect or occurred on or prior to the Closing Date.

7. Certain Other Covenants of Seller. (a) After the Closing Date the Seller will cease and desist from using in its corporate name or that of any of its subsidiaries or affiliates or otherwise (i) the word or name "Ballantine", (ii) any trademark or trade name included in Ballantine Assets or (iii) any other words, initials or expressions so closely resembling such words or name or any of them as to be likely to be confused therewith by the general public. The Seller will execute such consents and other documents as the Buyer may reasonably request in writing in order to enable the Buyer to use as it may desire such words, or any one or more of them, or any similar words, names, initials or expressions.

(b) The Seller will reimburse the Buyer for all liabilities and obligations assumed by the Buyer pursuant to subparagraph (ii) of Section 3(a) hereof for all advertising payments made by the Buyer in respect thereof exceeding an aggregate amount of \$389,885.00. Any such reimbursement shall be made by the Seller by way of set-off against monthly royalty payments due from the Buyer to the Seller pursuant to subparagraph (v) of Section 2(a) hereof, and the Seller hereby authorizes the Buyer to credit such advertising payments made in any particular month against the royalty payments due to the Seller in respect of such month.

(c) The Seller will repurchase after the Closing Date the Buyer's Receivables then uncollected by the Seller at the purchase price paid therefor by the Buyer pursuant to subparagraph (vi) of Section 2(a) hereof in the event a court of competent jurisdiction issues an order at the request of a governmental authority effective for a period of 30 days during the period from the Closing Date through May 30, 1972, restraining the use by the Buyer of the Proprietary Rights.

8. Certain Other Covenants of Buyer. (a) After the Closing Date the Seller will use its best efforts to promote and maintain a high volume of sales under the Proprietary Rights.

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- (b) The Buyer agrees to deliver to the Seller on the Closing Date a pledge of the Buyer to the Seller, dated the Closing Date and in form and substance satisfactory to the Seller, of the Proprietary Rights as security for the payments set forth in subparagraph (v) of Section 3 (a) hereof, and the Buyer agrees to execute and deliver to the Seller such financing statement or amendment thereto as the Seller may reasonably request so as to better to perfect in the Seller the security interest created thereby; provided, however, that if such a pledge would be in violation of any of the terms, conditions or covenants of any other agreement of the Buyer currently in full force and effect, the Buyer will in good faith attempt to obtain prior to the Closing Date any consents to such pledge which maybe required; and if any required consent is unobtainable or obtainable only upon conditions detrimental to the Buyer, such pledge will not be deliverable as aforesaid. In such event, the Buyer will furnish the Seller with such evidence as it may reasonably request to ascertain the reasons therefor.
- (c) The Buyer agrees that it shall pay and shall hold the Seller harmless against the payment of any sales or use tax, if any, which may be imposed in connection with the purchase and sale contemplated hereby or the possession by the Buyer of any of the Ballantine Assets.
- (d) The Buyer agrees that it will use its best efforts to retain as its own employees those personnel described in clause (4) of subparagraph (i) of Section 3(a) hereof.
- (e) The Buyer agrees that it will not sell, assign or otherwise transfer the Proprietary Rights during the Royalty Period without the written consent of the Seller.
- (f) From and after the date hereof, the Buyer will afford to the officers, attorney, accountants and other authorized representatives of the Seller access to the offices, properties, books and records of the Buyer relating to or used in connection with the use by the Buyer of the Proprietary Rights and the collection by the Buyer of the Buyer's and Seller's Receivables, in order that the Seller may have full opportunity to make such reasonable investigation and verification as it shall desire to confirm the amounts of royalty payments due pursuant to subsection (v) of Section 2(a) hereof, and the Seller shall be permitted to make extracts from, or copies of, such books and records. The Buyer shall also furnish to the Buyer such information relating thereto as the Seller may from time to time reasonably request.
- (g) The Buyer shall in good faith use its best efforts to collect all Buyer's Receivables.

9. Representations and Warranties of the Seller. The Seller hereby represents and warrants to the Buyer as follows:

- (a) The Seller is a corporation duly organized, validly existing and in good standing under the laws of the State of New Jersey and has the corporate power to own or lease its properties and to carry on its business as now being conducted.
- (b) Except as stated in Exhibits D and E, each of the instruments described therein is to its knowledge in full force and effect and constitute a legal, valid and binding obligation of the respective parties thereto enforceable in accordance with its terms.
- (c) Except as stated in Exhibits B and C, the Seller owns outright all the items and equipment referred to therein other than properties sold or otherwise disposed of in the ordinary course of business subsequent to the date hereof, in each case free and clear of all mortgages, liens, encumbrances or charges of any kind or nature whatsoever, except as stated herein or in the Exhibits hereto.
- (d) The Seller has no knowledge and has received no notice, except as stated in Exhibit B hereto, that any of the items listed in Exhibit C hereto, or the sale or use thereof, infringe any trademark, trade name or copyright of another.
- (e) The Board of Directors of the Seller has approved this Agreement and the transactions contemplated herein and has authorized the execution and delivery of this Agreement by the Seller, and the Seller has full power, authority and legal right under its certificate of incorporation, by-laws and the laws of the State of New Jersey to sell and transfer the Ballantine Assets as herein provided.
- (f) The items generally described in Exhibits B and C are useable or marketable by the Seller in accordance with its customary standards, and all finished malt alcoholic beverage products sold to the Buyer hereunder shall be produced under a high degree of quality control.

10. Representation and Warranties of the Buyer. The Buyer hereby represents and warrants to the Seller as follows:

- (a) The Buyer is a corporation duly organized and existing and in good standing under the laws of the State of Delaware and has the corporate power to own its properties and to carry on its business now being conducted.
- (b) The Board of Directors of the Buyer has approved this Agreement and the transaction contemplated herein and has authorized the execution and delivery of this Agreement by the Buyer, and the Buyer has full power, authority and legal right under its certificate of incorporation, by-laws and the laws of the State of

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Delaware and Missouri to carry out the transactions to be carried out on its part hereunder.

11. Conditions to Obligations of the Buyer. The Obligations of the Buyer hereunder are, at the option of the Buyer, subject to the conditions that on or before the Closing Date:

- (a) The Seller shall have performed and complied with in all material respects all of the terms, covenants and conditions contained herein to be performed and complied with by it on or prior to the Closing Date.
- (b) The Seller shall have furnished to the Buyer a copy, certified by its Secretary, of resolution duly adopted by its Board of Directors which constitute necessary corporate authorization for the consummation by the Seller of the transactions contemplated herein.
- (c) All actions, proceedings, instruments and documents required to carry out this Agreement or incidental thereto and all other related legal matters shall have been approved by Messrs. Willson, Cunningham and McClellan, counsel for the Buyer, which approval shall not be unreasonably withheld.
- (d) The Buyer shall have received an opinion, dated the Closing Date, or Messrs. Carro, Spanbeck and Londin, counsel for the Seller, in form and substance satisfactory to the Buyer, to the effect that the Seller is a corporation duly organized and existing and in good standing under the laws of the State of New Jersey and has the corporate power to own or lease its properties and to carry on its business as now being conducted; that no provision of the Articles of Incorporation or the By-laws of the Seller, or of any contract or other instrument to which the Seller is a party listed in any Exhibits hereto, requires the consent or authorization of any other person, firm or corporation as a condition precedent to the consummation of this Agreement or the transactions contemplated herein, or if such consent or authorization is required, that such consent or authorization has been duly given in a proper manner and form; that the Seller has full power and authority to sell, convey, assign, transfer and deliver the Ballantine Assets to the Buyer as herein provided; that all corporate acts and other proceedings required to be taken by or on the part of the Seller or its shareholders to authorize the Seller to carry out this Agreement and the transactions contemplated hereby and to sell, convey, assign, transfer and deliver the Ballantine Assets have been duly and properly taken; and that the instruments of conveyance, transfer and assignment from the Seller to the Buyer of the Ballantine Assets have been duly authorized, executed and delivered, are legally effective in accordance with their respective terms and vest in the Buyer all right,

title and interest of the Seller in and to the Ballantine Assets. In rendering the foregoing option, Messrs. Carro, Spanbeck & London.

- (e) The representatives and warranties made by the Seller herein shall be substantially correct, as of the Closing Date, with the same force and effect as though such representations and warranties had been made on and as of the Closing Date, except to the extent that such representations and warranties shall be incorrect as of the Closing Date because of events or changes occurring or arising after the date hereof in the ordinary course of business of the Seller or in fulfillment of the express provisions of this Agreement.

13. Conditions to Obligations of the Seller. The Obligations of the Seller under this Agreement are, at the option of the Seller, subject to the conditions that on or before the Closing Date:

- (a) The Buyer shall have performed and complied with in all material respects all of the terms, covenants and conditions contained herein to be performed and complied with by it on or prior to the Closing Date.
- (b) All actions, proceedings, instruments and documents required to carry out this Agreement or incidental thereto and all other related legal matters shall have been approved by Messrs. Carro, Spanbeck, and London, counsel for the Seller, which approval shall not be unreasonably withheld.
- (c) The Seller shall have received an opinion dated the Closing Date, of Messrs. Willson, Cunningham, and McClellan to the effect that the Buyer is a corporation duly organized, validly existing and in good standing under the laws of the State of Delaware and that all corporate acts and proceedings to be taken by the Buyer to authorize the carrying out of this Agreement and the transactions contemplated hereby shall have been duly and properly taken.

14. Termination of Covenants. All representations, warranties and covenants in or pursuant to this Agreement (other than the obligations set forth in subparagraphs (v) and (vii) of Section 2(a) and Sections 2(b)–(d), 3, 4, 5 (b) and (c) and 6–8 and 9 (f) hereof) shall be deemed to be conditions to the purchase and sale contemplated hereby and shall not survive the Closing Date.

15. Brokerage Commissions. Each party hereto represents and warrants that there are no claims for brokerage commissions or finders' fees in connection with the transactions contemplated by this Agreement resulting from any action taken by it. Each party hereto will indemnify the other party and hold harmless against and in respect of any claim for brokerage or other commissions relative to this Agreement or to the

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transactions contemplated hereby, based in any way on agreements, arrangements, or understandings claimed to have been made by such former party with any other party or parties whatsoever.

16. **No Warranty as to Condition.** Except as set forth in paragraph (f) of Section 9 hereof, Ballantine Assets will be sold by the seller hereunder "as is" and that the Seller makes no representations or warranties of any kind with respect to the description, condition, merchantability or fitness for any particular purpose of any of the Ballantine Assets.

17. **Bulk Sales Law.** The Buyer hereby waives compliance by the Seller with the provisions of the so-called Bulk Sales Law of any State.

18. **Expenses:** Whether or not the transactions contemplated hereby shall be consummated, each party hereto shall pay to costs and expenses incurred by it or on its behalf incident to the preparation of and entering into this Agreement and the consummation of said transactions.

19. **Assignment and Amendment.** (a) This Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective successors and assigns, provided that neither party shall assign this Agreement or any of its rights, privileges or obligations hereunder without this prior written consent of the other.

(b) This Agreement cannot be altered or otherwise amended except pursuant to an instrument in writing signed by each of the parties hereto.

20. **Notices.** Any notices, requests, instruction or other document to be given hereunder by either party to the other shall be in writing and delivered personally or sent by registered or certified mail, postage paid, (a) if to the Buyer, addressed to it at 5050 Oakland Avenue, St. Louis, Missouri 63166, attention of Robert T. Colson or such other persona as the Buyer shall designate, and (b) if to the Seller addressed to it at 57 Freeman St., Newark, New Jersey 07101, attention of Stephen D. Haymes. Copies thereof shall be delivered or sent to counsel referred to in Section 10 hereof.

21. **Entire Agreement.** This Agreement, together with the Exhibits hereto, contains the entire agreement between the parties hereto with respect to the transactions contemplated herein and supersedes all previous negotiations, commitments, and writings.

22. **Counterparts.** This Agreement shall be executed in one or more counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument.

Ng Giap Hon v Westcomb Securities Pte Ltd and Others
[2009] SGCA 19

29 April 2009

Judgment reserved.

Andrew Phang Boon Leong JA (delivering the judgment of the court):

The facts

1 The first respondent is a well-known stockbroking company and holds a capital market services licence which permits it to deal in securities and provide custodial services for securities. The second respondent, an investment holding company listed on the Singapore Exchange Ltd ("SGX"), is the parent company of both the first and the third respondents. The third respondent deals in securities as well as provides corporate finance advisory services. As mentioned earlier (at [2] above), the first to the third respondents form what is known as "Westcomb Financial Group" in Singapore; this group has been involved in the launch of numerous IPOs in Singapore as manager, underwriter and placement agent.

2 The appellant has been working as a remisier in Singapore since 2000. As Prof Walter Woon observed in his article, "The Legal Position of a Remisier" (1992) 4 SAcLJ 346, the position of remisiers in Singapore and Malaysia is unique (at 346):

A remisier is basically a self-employed person whose job is to buy and sell shares on behalf of clients. Remisiers function at the retail end of the market. They do not get [Central Provident Fund] contributions from any employer, even though they are affiliated to stockbroking companies. They are not in any sense employed by the stockbroking companies. Rather, they are allowed to use the facilities of the stockbroking companies ... in return for payment of a fee. A remisier is remunerated through commission on transactions, a proportion of which is taken by the stockbroking firm for [giving the remisier] the privilege of using [its] facilities. As far as the remisier is concerned, the people who trade through him are his clients, not the firm's.

3 However, the learned author also clarified, as follows (*ibid*):

In the light of the above practice, one might conclude that remisiers are in business for themselves and insofar as they act as agents, they are agents of the clients rather than of the stockbroking firms. This conclusion is in fact misleading.

If one looks at a remisier's agreement with a stockbroking firm, one is immediately struck by the fact that it is titled an "Agency Agreement". Paragraph 1 [of the sample agreement set out in Appendix IV of the Bye-Laws of the Stock Exchange of Singapore Ltd] provides that "the Company [ie, the stockbroking firm] hereby appoints the remisier ... as agent of the Company to trade and deal in ... securities ... in the name of the Company ...". Paragraph 12 again repeats that the remisier is an agent. The Stock Exchange's Bye-Laws also provide that remisiers are agents of the broking firms: see Bye-Law V, clauses 2 and 3. *The legal result of all these provisions is that remisiers are agents of the stockbroking firms with which they are affiliated, rather than of the client (as one might expect if one examine[s] the way [in which] remisiers conduct their affairs).*

[emphasis added]

4 On 3 May 2005, the appellant and the first respondent entered into the Agency Agreement, which was precisely the type of agreement described by Prof Woon above. In particular, the first respondent appointed the appellant as its agent to trade and deal in stocks, shares and other marketable securities (hereinafter collectively referred to as "securities"). The Agency Agreement, a six-page document, set out, *inter alia*, the duties of the remisier (*ie*, the appellant), the rights and duties of the stockbroking firm (*ie*, the first respondent) as well as the remisier's liability in respect of transactions dealt by or through the remisier in the name of the stockbroking firm. The salient clauses in the Agency Agreement (particularly relevant for our purposes) include the following:[\[note: 6\]](#)

...

6. Commission

The Company [*ie*, the first respondent] shall pay the Remisier [*ie*, the appellant] a commission equivalent to 40% of the commission charged by the Company to clients on transactions that are dealt by or through the Remisier in the name of [the] Company during the period twelve months from the date of commencement of this Agreement. Thereafter, the commission rate will be adjusted to 50% of the commission charged by the Company to clients on transactions that are dealt by or through the Remisier in the name of [the] Company.

...

12. Relationship with Remisier

12.1 The Remisier shall at all times be an agent of the Company in dealing in securities. Nothing in this Agreement shall be construed as creating an employer-employee relationship between the Company and the Remisier and accordingly the Remisier shall not be entitled to or [shall not] claim any employment benefits whatsoever.

...

18. Entire Understanding

This Agreement embodies the entire understanding of the parties and there are no provisions, terms, conditions or obligations, oral or written, expressed or implied, other than those contained herein. All obligations of the parties to each other under previous agreements ([if] any) are hereby released, but without prejudice to any rights which have already accrued to either party.

...

[In February 2006, the appellant met S, who was affiliated with two companies, O and A. In March 2006, A and O opened trading accounts with the first respondent. In April 2006, S bought IPO shares through the first respondent, who did not charge him a commission. On the same day, A purchased shares in one of the respondents and another agent was paid a commission for that transaction. In May 2006, the appellant arranged a meeting between S, the chairman of A and representatives of the first and third respondents to discuss the possibility of A purchasing shares through the respondents. The appellant also mailed account opening forms to A. After the meeting, a representative of the fifth respondent contacted A's CEO and instructed him to return the account opening forms to him instead of the appellant.]

On May 29 2006, A opened an account with the first respondent without going through the appellant. In October 2006, A and S each purchased IPO shares through the first respondent and were not charged commissions.

The appellant claimed that he was entitled to commissions on the purchases of IPO shares by A and S, including under Clause 6 of the Agency Agreement. He argued that A would have opened its account through him if the respondents had not intercepted the account opening forms.

The trial judge held that the respondent had no express or implied duty to charge a commission on IPO shares, finding that such companies often allocated IPO shares to favored clients while waiving any commission. He also rejected the appellant's claims based on customary practices, the tort of conspiracy and in quantum meruit.]

Replace with: [The court held that the entire agreement clause did not bar the implication of terms in the Agency Agreement.]

The issues on appeal

5 The appellant did not pursue his *quantum meruit* claim before this court. Before proceeding to analyse the appellant's claim based on implied terms, we should state that we agree with the Judge's reasoning as well as findings of fact with regard to, first, the appellant's claim in conspiracy (see [22] above) and, second, the appellant's contention that there was a "customary practice" (see the Judgment at [4]) of paying remisiers a commission of 1% of the value of placement shares taken up by their clients (see [21] above). There are, in essence, therefore two main issues for our decision, namely:

(a) whether the entire agreement clause in cl 18 of the Agency Agreement precludes the implication of terms into that agreement ("the First Main Issue") (if this issue is answered in the affirmative, this appeal must fail at the threshold, so to speak); and

(b) if the First Main Issue is answered in the negative, whether terms ought to be implied into the Agency Agreement in favour of the appellant ("the Second Main Issue").

[The court held that the entire agreement clause did not bar the implication of terms in the Agency Agreement.]

The Second Main Issue: Implied terms

The applicable principles

Introduction

6 The law relating to implied terms is now well established in local case law. There are in fact two main categories of implied terms at common law, viz, "terms implied in fact" and "terms implied in law", respectively. Such terms are "gap-fillers" by which (as we shall elaborate upon below) the courts fill in gaps in contracts on the basis that, in the case of a "term implied in fact", the contracting parties would have intended the particular gap in question to be filled, and, in the case of a "term implied in law", the gap concerned ought to be filled on (broader) policy grounds.

Our decision on the Second Main Issue

Introduction

7 It is unclear precisely which category of implied terms the appellant was relying upon. In his submissions before this court, he did not draw a clear distinction between “terms implied in fact” and “terms implied in law”. Indeed, it would appear that it is only from the relevant part of the Statement of Claim that it can be surmised that the appellant was, in fact, relying on both categories in the alternative.

8 The implied terms which the appellant sought to rely upon are (as just mentioned) framed in the alternative and are to be found in para 14 of the Statement of Claim, [\[note: 27\]](#) as follows:

[T]here was *an implied duty of good faith* between the [appellant] and [the first respondent] as between agent and principal. *Further or in the alternative, it was an implied term of the [A]gency [A]greement that the [first respondent] would not do anything to deprive the [appellant] from earning his commission.* [emphasis added; underlining in original omitted]

We shall hereafter refer to the former term (*ie*, that relating to the implied duty of good faith) as “the First Implied Term”, and to the latter term (*ie*, that relating to the first respondent’s obligation not to do anything to deprive the appellant from earning his commission) as “the Second Implied Term”.

9 The First Implied Term is (as can be seen from the quotation in the preceding paragraph) premised on the general doctrine of good faith and (more importantly) appears to fall within the broader category of “terms implied in law”. (Indeed, in addition to the broad manner in which the First Implied Term has been framed, two learned authors have, in fact, also recently observed that the more recent (Australian) decisions (see, for example, the New South Wales Court of Appeal decisions of *Renard Constructions (ME) Pty Ltd v Minister for Public Works* (1992) 26 NSWLR 234 (“*Renard*”), *Burger King Corporation v Hungry Jack’s Pty Ltd* (2001) 69 NSWLR 558 and *Alcatel Australia Ltd v Scarcella* (1998) 44 NSWLR 349 (“*Alcatel*”)) appear to prefer “the idea that the [implied term of good faith] should be regarded as one implied in *law*” [emphasis added] (see J W Carter & Elisabeth Peden, “Good Faith in Australian Contract Law” (2003) 19 JCL 155 (“Carter & Peden on ‘Good Faith’”) at 163).) The Second Implied Term is more specific and appears to fall within the narrower category of “terms implied in fact”.

Is there an implied duty of good faith (based on a “term implied in law”)?

10 It is clear, in our view, that if a term relating to good faith is to be implied into the Agency Agreement, that term *cannot* be premised on the broader category of “terms implied in *law*”, especially having regard (in the context of the present appeal) to the general doctrine of good faith that constitutes the pith and marrow of the First Implied Term. Let us elaborate.

11 On a general level (which applies to both “terms implied in fact” as well as “terms implied in law”), an implied term, as R E Megarry so aptly put it, is “so often the last desperate resort of counsel in distress” (see R E Megarry, *Miscellany-at-Law* (Stevens & Sons Limited, 1955) at p 210, an observation which was also cited by this court in *Panwah Steel Pte Ltd v Koh Brothers Building & Civil Engineering Contractor (Pte) Ltd* [2006] 4 SLR 571 at [8]). This is understandable as it is necessary to ensure that the concept of sanctity of contract is not undermined, except in exceptional circumstances and in accordance with the established legal rules and principles set out above (see also *Forefront* ([35] *supra*) at [29] (reproduced at [36] above)). This leads us to the next (and more specific) reason as to why a duty of good faith cannot be implied as a “term implied in law” into the Agency Agreement in the present case.

12 As noted above (at [38]), implying a “term implied in law” into a contract not only involves broader policy considerations, but also establishes a precedent for the future. Put simply, the implication of such a term into a contract would entail implying the same term in the future for *all* contracts of the *same* type. This would, in and of itself, require that caution should be exercised on the part of the court before implying a “term implied in law” (which, upon being implied into the particular contract at hand, would also, *ex hypothesi*, be implied into all future contracts of the same type as well). Indeed, the fact that broader policy considerations are (as just mentioned) involved where “terms implied in law” are concerned furnishes a *further* reason for caution as well. Moreover (and this is a separate, albeit related, point), in the present case, the *content* of the First Implied Term (with its correspondingly broad implications) involves a concept which is itself controversial (at least at the present time). More specifically, the concept concerned relates to the doctrine of *good faith*, to which our attention must now briefly turn.

13 The doctrine of good faith is very much a fledgling doctrine in English and (most certainly) Singapore contract law. Indeed, a cursory survey of the relevant law in other Commonwealth jurisdictions appears to suggest a similar situation. This is, perhaps, not surprising in view of the fact that, even in the academic literature (which has witnessed the most discussion as well as analysis of the doctrine), there are differing views as to what the doctrine of good faith means as well as how it is to be applied (and, for the operation of this doctrine in the somewhat different context of collective sales under s 84A(9)(a)(i) of the Land Titles (Strata) Act (Cap 158, 1999 Rev Ed), which provides that the Strata Title Board must not approve an application for a collective sale if it is satisfied that “the transaction is not in good faith”, see this court’s recent decision in *Ng Eng Ghee v Mamata Kapildev Dave* [2009] SGCA 14 at [126]–[133]).

14 In an extrajudicial lecture, for example, Lord Steyn identified both a subjective element as well as an objective element in the doctrine of good faith (see Johan Steyn, “Contract Law: Fulfilling the Reasonable Expectations of Honest Men” (1997) 113 LQR 433 (“Lord Steyn’s 1997 article”). In so far as the former element was concerned, the learned law lord was of the view that there had to be a “threshold requirement ... that the party must act honestly” (at 438), whilst, in so far as the latter element was concerned, there had to be “the observance of reasonable commercial standards of fair dealing in the conclusion and performance of the transaction concerned” (*ibid*). However, although Lord Steyn acknowledged the existence of the doctrine of good faith in the above-mentioned article, he was *not* prepared to advocate the introduction of a *general* duty of good faith in English contract law (see Lord Steyn’s 1997 article at 439; see also similar pronouncements by Lord Steyn in two other articles, “Does Legal Formalism Hold Sway in England?” (1996) 49 CLP 43 (“Lord Steyn’s 1996 article”) at 52 as well as “The Role of Good Faith and Fair Dealing in Contract Law: A Hair-Shirt Philosophy?” [1991] Denning LJ 131 at 140).

15 There have, in fact, also been other formulations of the concept of good faith as well. One formulation is the famous “excluder thesis” advanced by Prof R S Summers in his seminal article, “‘Good Faith’ in General Contract Law and the Sales Provisions of the Uniform Commercial Code” (1968) 54 Va L Rev 195. Under this thesis, the concept of “good faith” is “a phrase which has no general meaning or meanings of its own, but which serves to exclude many heterogeneous forms of bad faith” (at 196) – hence, the appellation “excluder” (*ibid*). Another formulation, the “forgone opportunities thesis”, is by Prof Burton (see Steven J Burton, “Breach of Contract and the Common Law Duty to Perform in Good Faith” (1980) 94 Harv L Rev 369, especially at 373). Significantly, there was in fact a subsequent *debate* between the two writers just referred to in the present paragraph (see Robert S Summers, “The General Duty of Good Faith – Its Recognition and Conceptualization” (1982) 67 Cornell L Rev 810 and Steven J Burton, “More on Good Faith Performance of a Contract: A Reply to Professor Summers” (1984) 69 Iowa L Rev 497; see also, generally, Emily M S Houh, “The Doctrine of Good Faith in Contract Law: A (Nearly) Empty Vessel?” [2005] Utah L Rev 1, especially at 5–13, as well as Harold Dubroff, “The Implied Covenant of Good Faith in Contract Interpretation and Gap-Filling: Reviling a Revered Relic” (2006) 80 St John’s L Rev 559 at 591–609).

16 It should be noted that there have also been vigorous arguments canvassed *against* the doctrine of good faith as well, notably by Prof Bridge (see Michael G Bridge, "Does Anglo-Canadian Contract Law Need a Doctrine of Good Faith?" (1984) 9 CBLJ 385, where, *inter alia*, both the views of Prof Summers and those of Prof Burton as noted in the preceding paragraph are subject to critique).

17 Indeed, the copiousness as well as the variety of (and, perhaps more importantly, the debates in) the academic literature (coupled with the relative dearth of case law) suggest that the doctrine of good faith is far from settled. The case law itself appears to be in a state of flux: see, for example (and most notably), the conflicting views expressed (in the Australian context) by Priestley JA in the New South Wales Court of Appeal decision of *Renard* ([43] *supra*) at 263–268 on the one hand and by Gummow J in the Federal Court of Australia decision of *Service Station Association Ltd v Berg Bennett & Associates Pty Ltd* (1993) 117 ALR 393 ("*Service Station Association*") at 401–407 on the other (it should be noted, however, that, in terms of the number of precedents, there appears to be some support for the approach adopted in *Renard*: see, for example, the Federal Court of Australia decision of *Hughes Aircraft Systems International v Airservices Australia* (1997) 146 ALR 1 at 36–37 *per* Finn J (*cf* the Privy Council's decision in the New Zealand case of *Pratt Contractors Ltd v Transit New Zealand* [2004] BLR 143, especially at [45]), the New South Wales Court of Appeal decisions of *Alcatel* ([43] *supra*) and *Vodafone Pacific Ltd v Mobile Innovations Ltd* [2004] NSWCA 15, as well as the Federal Court of Australia decision of *Garry Rogers Motors (Aust) Pty Ltd v Subaru (Aust) Pty Ltd* [1999] FCA 903; see also, generally, Elisabeth Peden, "Incorporating Terms of Good Faith in Contract Law in Australia" (2001) 23 Syd L Rev 222 ("Peden's 2001 article") and Tyrone M Carlin, "The Rise (and Fall?) of Implied Duties of Good Faith in Contractual Performance in Australia" (2002) 25 UNSW LJ 99).

18 However, two writers have recently argued vigorously that good faith is inherent in *all* aspects of the law of contract and that there is therefore *no* reason for any term concerning good faith to be *implied* into a contract (see generally Carter & Peden on "Good Faith" ([43] *supra*) as well as Elisabeth Peden, *Good Faith in the Performance of Contracts* (LexisNexis Butterworths, 2003) at ch 6). Peden is of the view (at para 1.10 of *Good Faith in the Performance of Contracts*) that:

[T]he principle of good faith should be seen not as an implied term, but rather as a principle that governs the implication of terms and [the] construction of contracts generally.

In a similar vein, the learned authors of Carter & Peden on "Good Faith" argue that good faith is not an independent concept, but, rather, something "already inherent in contract doctrines, rules and principles" (at 163). They take the view that, where the court implies a term of good faith, the court is implying either a term which is actually redundant or a term which, by definition, would impose a more onerous requirement. Such a term must be justified, the learned authors contend, by reference to the *particular* circumstances of each case and not by a general principle (*ie*, that of good faith). Reference may also be made to S M Waddams, "Good Faith, Unconscionability and Reasonable Expectations" (1995) 9 JCL 55, and the differing views adopted in two leading textbooks (see generally N C Seddon & M P Ellinghaus, *Cheshire and Fifoot's Law of Contract: Ninth Australian Edition* (LexisNexis Butterworths, 2008) at paras 10.43–10.47; *contra* (and not surprisingly perhaps) J W Carter, Elisabeth Peden & G J Tolhurst, *Contract Law in Australia* (LexisNexis Butterworths, 5th Ed, 2007) at ch 2).

19 It is true, as Prof McKendrick pertinently points out, that "there are signs that the traditional English hostility towards a requirement of good faith might be abating" (see Ewan McKendrick, *Contract Law* (Palgrave Macmillan, 7th Ed, 2007) ("McKendrick") at p 265) and that "[t]he courts have adopted a more sympathetic stance on a number of occasions recently" (*ibid*) (see also the

cases cited therein (*ibid*); and *cf* the oft-cited observations by Bingham LJ in the English Court of Appeal decision of *Interfoto Picture Library Ltd v Stiletto Visual Programmes Ltd* [1989] QB 433 at 439, which observations were reiterated in the (also) English Court of Appeal decision of *Timeload Limited v British Telecommunications plc* [1995] EMLR 459 at 468 *per* Sir Thomas Bingham MR). However, this is still far from a ringing endorsement of the doctrine of good faith as such (and see generally Prof McKendrick's own essay, "Good Faith: A Matter of Principle?", in *Good Faith in Contract and Property* (A D M Forte ed) (Hart Publishing, 1999) at ch 3). Indeed, the more open approach under English law in recent years may be due in no small part to the fact that there are, owing to the civil law influences that have become relevant as a result of the UK's membership of the European Community (and see in this regard Hugh Collins, "Good Faith in European Contract Law" (1994) 14 OJLS 229 as well as *Good Faith in European Contract Law* (Richard Zimmermann & Simon Whittaker eds) (Cambridge University Press, 2000)), express references to "good faith" in the Unfair Terms in Consumer Contracts Regulations 1999 (SI 1999 No 2083) (UK) and the Commercial Agents (Council Directive) Regulations 1993 (SI 1993 No 3053) (UK) (see McKendrick at p 265; reference may also be made to the House of Lords decision of *Director General of Fair Trading v First National Bank plc* [2002] 1 AC 481), none of which applies in the Singapore context.

20 Prof Furmston confirms the observation which we have just made in the preceding paragraph, *ie*, that the doctrine of good faith, although not lacking in supporters, particularly from theoretical as well as aspirational perspectives (see, for example, Roger Brownsword, "'Good Faith in Contracts' Revisited" (1996) 4 CLP 111 and, by the same author, "Two Concepts of Good Faith" (1994) 7 JCL 197), is nevertheless still far from being an established doctrine under English law, as follows (see M P Furmston, *Cheshire, Fifoot and Furmston's Law of Contract* (Oxford University Press, 15th Ed, 2007) at pp 32–33):

Do the parties owe each other a duty to negotiate in good faith? Do the parties, once the contract is concluded, owe each other a duty to perform the contract in good faith? Until recently, English lawyers would not have asked themselves these questions or, if asked, would have dismissed them with a cursory 'of course not'. On being told that the German civil code imposed a duty to perform a contract in good faith or that the Italian civil code provides for a duty to negotiate in good faith, a thoughtful English lawyer might have responded by suggesting that the practical problems covered by these code positions were often covered in English law but in different ways. *This may still be regarded as the orthodox position but the literature of English law has begun to consider much more carefully whether there might not be merit in explicitly recognising the advantages of imposing good faith duties on negotiation and performance.* This view is reinforced by the fact that other common law systems have already moved in this direction [citing § 1 203 of the American Uniform Commercial Code, § 205 of the American Law Institute's *Restatement (Second) of Contracts* as well as *Renard* ([43] *supra*), but not *Service Station Association* ([51] *supra*)]. ... *It is not inconceivable that on appropriate facts and with skilful argument, English law may make **tentative** steps in the same direction.* [emphasis added in italics and bold italics]

21 Indeed, it would appear that even a more *limited* reform in the context of recognising a duty of good faith in the negotiation of contracts is met by the obstacle presented by the House of Lords decision of *Walford v Miles* [1992] 2 AC 128 ("*Walford*"), where Lord Ackner, who delivered the leading judgment, stated (at 138):

[T]he concept of a duty to carry on negotiations in good faith is inherently repugnant to the adversarial [*sic*] position of the parties when involved in negotiations. Each party to the negotiations is entitled to pursue his (or her) own interest, so long as he avoids making

misrepresentations. To advance that interest he must be entitled, if he thinks it appropriate, to threaten to withdraw from further negotiations or to withdraw in fact, in the hope that the opposite party may seek to reopen the negotiations by offering him improved terms. ... A duty to negotiate in good faith is ... unworkable in practice as it is inherently inconsistent with the position of a negotiating party.

It should, however, be noted that Lord Steyn has commented that the above ruling in *Walford* is "surprising" (see Lord Steyn's 1997 article ([48] *supra*) at 439). The learned law lord has also (in an extrajudicial lecture) stated that, "[w]hile [he does] *not* argue for the introduction of a *general* duty of good faith in contract law, it is difficult to see why an express agreement to negotiate in good faith should be invalid" [emphasis added] (see Lord Steyn's 1996 article ([48] *supra*) at 52) (on the issue of whether there is a duty of good faith in the context of contract negotiations, reference may also be made to A F Mason, "Contract, Good Faith and Equitable Standards in Fair Dealing" (2000) 116 LQR 66 at 80–83 and, generally, the *contrasting* approach adopted in the New South Wales Court of Appeal decisions of *Coal Cliff Collieries Pty Ltd v Sijehama Pty Ltd* (1991) 24 NSWLR 1 and *Australis Media Holdings Pty Ltd v Telstra Corporation Ltd* (1998) 43 NSWLR 104; although *cf* J W Carter & M P Furmston, "Good Faith and Fairness in the Negotiation of Contracts: Part I" (1994) 8 JCL 1 and, by the same authors, "Good Faith and Fairness in the Negotiation of Contracts: Part II" (1995) 8 JCL 93). It should also be observed that – for the moment at least – *Walford* appears to be good law in the Singapore context (see, for example, the Singapore High Court decisions of *Climax Manufacturing Co Ltd v Colles Paragon Converters (S) Pte Ltd* [2000] 1 SLR 245 at [32], *United Artists Singapore Theatres Pte Ltd v Parkway Properties Pte Ltd* [2003] 1 SLR 791 at [214] and *Grossner Jens v Raffles Holdings Ltd* [2004] 1 SLR 202 at [43]). On a broader level, in fact, discourse on the doctrine of good faith continues and the legal topography in this particular area of the law is far from settled (see, for example (in addition to the legal literature already cited above), *Good Faith in Contract: Concept and Context* (Roger Brownsword, Norma J Hird & Geraint Howells eds) (Ashgate, 1999) ("*Good Faith in Contract*") and Vanessa Sims, "Good Faith in Contract Law: Of Triggers and Concentric Circles" (2005) 16 KCLJ 293).

22 The situation in other jurisdictions does not appear to be much clearer. For instance, we have already seen (at [51] above) that the situation in the *Australian* context is, at best, ambiguous.

23 It is also interesting to note that one learned commentator has recently pointed to the fact that the *American* doctrine of good faith in contract law (which is firmly established as an implied covenant under both § 1 203 of the Uniform Commercial Code and § 205 of the American Law Institute's *Restatement (Second) of Contracts*, albeit in relation to the performance and enforcement of contracts as opposed to pre-contract negotiations) is no longer as settled as it used to be thought and is also apparently in a state of flux (see Howard O Hunter, "The Growing Uncertainty about Good Faith in American Contract Law" (2004) 20 JCL 50, which was written almost a decade after the somewhat sanguine essay by Prof Farnsworth (see E Allan Farnsworth, "Good Faith in Contract Performance" in *Good Faith and Fault in Contract Law* (Jack Beatson & Daniel Friedmann eds)

(Clarendon Press, 1995) at ch 6)).

24 In Canada, there was a proposal by the Ontario Law Reform Commission to the effect that *legislation* should give recognition to the doctrine of good faith in the performance and enforcement of contracts based on § 205 of the (American) *Restatement (Second) of Contracts* referred to in the preceding paragraph (see ch 9 of Ontario Law Reform Commission, *Report on Amendment of the Law of Contract* (1987)). However, that was over two decades ago. Further, the doctrine may well be in a state of flux not only in the American context (as noted briefly in the preceding paragraph), but also

(apparently) in the Canadian context as well (see generally David Stack, "The Two Standards of Good Faith in Canadian Contract Law" (1999) 62 Saskatchewan L Rev 201).

25 A valuable (albeit somewhat dated) comparative overview of the doctrine of good faith can be found in a work already referred to, viz, *Good Faith in Contract* ([55] *supra*). It is also significant in the present regard because there appear (from this particular work) to be substantive difficulties with the doctrine of good faith even in jurisdictions where it has been legislatively mandated – which difficulties appear to be general ones that are unlikely to have altered with the passage of time since this work was published.

26 In the circumstances, it is not surprising that the doctrine of good faith continues (as mentioned at [47] above) to be a fledgling one in the Commonwealth. Much clarification is required, even on a theoretical level. Needless to say, until the theoretical foundations as well as the structure of this doctrine are settled, it would be inadvisable (to say the least) to even attempt to apply it in the practical sphere (see also *Service Station Association* ([51] *supra*), especially at 406–407 (*per* Gummow J); cf Peden's 2001 article ([51] *supra*) at 228–230). In the context of the present appeal, this is, in our view, the strongest reason as to why we cannot accede to the appellant's argument that this court should endorse an implied duty of good faith in the Singapore context. The First Implied Term should not, therefore, be implied into the Agency Agreement.

[The law in Canada and England has evolved since the decision in *Ng Giap* was handed down. The Supreme Court of Canada has held that contracts are subject to a mandatory duty of good faith which includes exercising contractual discretion reasonably. *Wastech Services Ltd. v. Greater Vancouver Sewerage and Drainage District*, 2021 SCC 7. English courts have also sometimes implied a duty to exercise contractual discretion in good faith. *Braganza v BP Shipping Ltd* [2015] UKSC 17. A separate line of cases suggests that a duty of good faith may be implied in "relational contracts". *Yam Seng Pte Ltd v. International Trade Corp Ltd* [2013] EWHC 111 (QB).]

[note: 1] See para 12 of the Statement of Claim (Amendment No 2) filed on 16 November 2007 ("the Statement of Claim") (reproduced at Appellant's Core Bundle ("ACB") vol 2, p 14).

[note: 2] See para 13 of the Statement of Claim (at ACB vol 2, p 15).

[note: 3] See para 14 of the Statement of Claim (at ACB vol 2, p 15).

[note: 4] *Ibid.*

[note: 5] See para 3 of the Appellant's Case.

[note: 6] See ACB vol 2 at pp 30–31 and 33.

[note: 7] See para 16 of the Statement of Claim (at ACB vol 2, p 15).

[note: 8] See para 44 of the appellant's affidavit of evidence-in-chief ("AEIC") filed on 30 November 2007 (at Record of Appeal ("ROA") vol 3(A), p 73).

[note: 9] See para 8.2.3 of the Respondents' Case.

[\[note: 10\]](#) See para 4.3.3 of the Respondents' Closing Submissions dated 7 April 2008 (at ROA vol 3(D), p 1054).

[\[note: 11\]](#) See the "Account Opening Form for Securities Trading Account (Individual)" completed by Sandt (at ROA vol 5(A), pp 1225–1226).

[\[note: 12\]](#) See para 21 of the Statement of Claim (at ACB vol 2, p 17).

[\[note: 13\]](#) See ROA vol 5(A) at p 1238.

[\[note: 14\]](#) See the "Account Opening Form for Securities Trading Account (Corporate)" completed on behalf of Orchid Emarb (at ROA vol 5(A), pp 1227–1228).

[\[note: 15\]](#) See ROA vol 5(A) at pp 1440–1441.

[\[note: 16\]](#) See ROA vol 5(B) at pp 1715–1722.

[\[note: 17\]](#) See Exhibit "NGH-15" of the appellant's AEIC filed on 30 November 2007 (at ROA vol 3(A), p 160).

[\[note: 18\]](#) See Exhibit "NGH-15" of the appellant's AEIC filed on 30 November 2007 (at ROA vol 3(A), pp 159–160).

[\[note: 19\]](#) See Exhibit "NGH-15" of the appellant's AEIC filed on 30 November 2007 (at ROA vol 3(A), p 159).

[\[note: 20\]](#) See Exhibit "NGH-15" of the appellant's AEIC filed on 30 November 2007 (at ROA vol 3(A), pp 158–159).

[\[note: 21\]](#) See Exhibit "NGH-15" of the appellant's AEIC filed on 30 November 2007 (at ROA vol 3(A), p 158).

[\[note: 22\]](#) *Ibid.*

[\[note: 23\]](#) See p 245 of the certified transcript of the notes of evidence ("the Notes of Evidence") for the hearing on 10 March 2008 (at ROA vol 3(D), p 908).

[\[note: 24\]](#) See the "Account Opening Form for Securities Trading Account (Corporate)" completed on behalf of Aktieninvestor (at ROA vol 5(C), pp 1813–1814).

[\[note: 25\]](#) See ROA vol 4 at pp 1178A–1178B.

[\[note: 26\]](#) See ROA vol 5(A) at pp 1445–1446.

[\[note: 27\]](#) At ACB vol 2, p 15.

[\[note: 28\]](#) See paras 6.1.1–6.1.3 of Mr Ng's AEIC filed on 4 October 2007 (at ROA vol 3(B), p 389).

[\[note: 29\]](#) See ROA vol 5(A) at p 1470.

[\[note: 30\]](#) See para 4.2.1 of Mr Ng's AEIC filed on 4 October 2007 (at ROA vol 3(B), p 385).

[\[note: 31\]](#) See paras 4.2.1–4.2.2 of Mr Ng’s AEIC filed on 4 October 2007 (at ROA vol 3(B), p 385).

[\[note: 32\]](#) See pp 203–204 of the Notes of Evidence for the hearing on 7 March 2008 (at ROA vol 3(C), pp 862–863).

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111 S.Ct. 1522
Supreme Court of the United States
CARNIVAL CRUISE LINES, INC., Petitioner
v.
Eulala SHUTE, et vir.
No. 89-1647.
|
Argued Jan. 15, 1991.
|
Decided April 17, 1991.

*587 Justice [BLACKMUN](#) delivered the opinion of the Court.

In this admiralty case we primarily consider whether the United States Court of Appeals for the Ninth Circuit correctly refused to enforce a forum-selection clause contained in tickets issued by petitioner Carnival Cruise Lines, Inc., to respondents Eulala and Russel Shute.

I

The Shutes, through an Arlington, Wash., travel agent, purchased passage for a 7-day cruise on petitioner's ship, the *Tropicale*. Respondents paid the fare to the agent who forwarded the payment to petitioner's headquarters in Miami, Fla. Petitioner then prepared the tickets and sent them to respondents in the State of Washington. The face of each ticket, at its left-hand lower corner, contained this admonition:

“SUBJECT TO CONDITIONS OF CONTRACT ON LAST PAGES **IMPORTANT!** PLEASE READ
CONTRACT-ON LAST PAGES 1, 2, 3” App. 15.

The following appeared on “contract page 1” of each ticket:

“TERMS AND CONDITIONS OF PASSAGE CONTRACT TICKET

.....

“3. (a) The acceptance of this ticket by the person or persons named hereon as passengers shall be deemed to be an acceptance and agreement by each of them of all of the terms and conditions of this Passage Contract Ticket.

.....

“8. It is agreed by and between the passenger and the Carrier that all disputes and matters whatsoever arising under, in connection with or incident to this Contract *588 shall be litigated, if at all, in and before a Court located in the State of Florida, U.S.A., to the exclusion of the Courts of any other state or country.” *Id.*, at 16.

The last quoted paragraph is the forum-selection clause at issue.

II

Respondents boarded the *Tropicale* in Los Angeles, Cal. The ship sailed to Puerto Vallarta, Mexico, and then returned to Los Angeles. While the ship was in international waters off the Mexican coast, respondent Eulala Shute was injured when she slipped on a deck mat during a guided tour of the ship’s galley. Respondents filed suit against petitioner in the United States District Court for the Western District of Washington, claiming that Mrs. Shute’s injuries had been caused by the negligence of Carnival Cruise Lines and its employees. *Id.*, at 4.

Petitioner moved for summary judgment, contending that the forum clause in respondents’ tickets required the Shutes to bring their suit against petitioner in a court in the State of Florida. Petitioner contended, alternatively, that the District Court lacked personal jurisdiction over petitioner because petitioner’s contacts with the State of Washington were insubstantial. The District Court granted the motion, holding that petitioner’s contacts with Washington were constitutionally insufficient to support the exercise of personal jurisdiction. See App. to Pet. for Cert. 60a.

The Court of Appeals reversed. Reasoning that “but for” petitioner’s solicitation of business in Washington, respondents **1525 would not have taken the cruise and Mrs. Shute would not have been injured, the court concluded that petitioner had sufficient contacts with Washington to justify the District Court’s exercise of personal jurisdiction. 📄 897 F.2d 377, 385-386 (CA9 1990).*

*589 Turning to the forum-selection clause, the Court of Appeals acknowledged that a court concerned with the enforceability of such a clause must begin its analysis with *The Bremen v. Zapata Off-Shore Co.*, 407 U.S. 1, 92 S.Ct. 1907, 32 L.Ed.2d 513 (1972), where this Court held that forum-selection clauses, although not “historically ... favored,” are “prima facie valid.” 📄 *Id.*, at 9-10, 92 S.Ct., at 1913. See 📄 897 F.2d, at 388. The appellate court concluded that the forum clause should not be enforced because it “was not freely bargained for.” 📄 *Id.*, at 389. As an “independent justification” for refusing to enforce

the clause, the Court of Appeals noted that there was evidence in the record to indicate that “the Shutes are physically and financially incapable of pursuing this litigation in Florida” and that the enforcement of the clause would operate to deprive them of their day in court and thereby contravene this Court’s holding in *The Bremen*.  897 F.2d, at 389.

We granted certiorari to address the question whether the Court of Appeals was correct in holding that the District Court should hear respondents’ tort claim against petitioner. 498 U.S. 807-808, 111 S.Ct. 39, 112 L.Ed.2d 16 (1990). Because we find the forum-selection clause to be dispositive of this question, we need not consider petitioner’s constitutional argument as to personal jurisdiction. See  *Ashwander v. TVA*, 297 U.S. 288, 347, 56 S.Ct. 466, 483, 80 L.Ed. 688 (1936) (Brandeis, J., concurring) (“ ‘It is not the habit of the Court to decide questions of a constitutional nature unless *590 absolutely necessary to a decision of the case,’ ” quoting  *Burton v. United States*, 196 U.S. 283, 295, 25 S.Ct. 243, 245, 49 L.Ed. 482 (1905)).

III

We begin by noting the boundaries of our inquiry. First, this is a case in admiralty, and federal law governs the enforceability of the forum-selection clause we scrutinize. See  *Archawski v. Hanioti*, 350 U.S. 532, 533, 76 S.Ct. 617, 619, 100 L.Ed. 676 (1956); *The Moses Taylor*, 4 Wall. 411, 427, 18 L.Ed. 397 (1867); Tr. of Oral Arg. 36-37, 12, 47-48. Cf.  *Stewart Organization, Inc. v. Ricoh Corp.*, 487 U.S. 22, 28-29, 108 S.Ct. 2239, 2243-2244, 101 L.Ed.2d 22 (1988). Second, we do not address the question whether respondents had sufficient notice of the forum clause before entering the contract for passage. Respondents essentially have conceded that they had notice of the forum-selection provision. Brief for Respondents 26 (“The respondents do not contest the incorporation of the provisions nor [*sic*] that the forum selection clause was reasonably communicated to the respondents, as much as three pages of fine print can be communicated”). Additionally, the Court of Appeals evaluated the enforceability of the forum clause under the assumption, although “doubtful,” that respondents could be deemed to have had knowledge of the clause. See  897 F.2d, at 389, and n. 11.

****1526** Within this context, respondents urge that the forum clause should not be enforced because, contrary to this Court’s teachings in *The Bremen*, the clause was not the product of negotiation, and enforcement effectively would deprive respondents of their day in court. Additionally, respondents contend that the clause violates the Limitation of Vessel Owner’s Liability Act,  46 U.S.C.App. § 183c. We consider these arguments in turn.

IV

A

Both petitioner and respondents argue vigorously that the Court's opinion in *The Bremen* governs this case, and each side purports to find ample support for its position in that *591 opinion's broad-ranging language. This seeming paradox derives in large part from key factual differences between this case and *The Bremen*, differences that preclude an automatic and simple application of *The Bremen*'s general principles to the facts here.

In *The Bremen*, this Court addressed the enforceability of a forum-selection clause in a contract between two business corporations. An American corporation, Zapata, made a contract with Unterweser, a German corporation, for the towage of Zapata's oceangoing drilling rig from Louisiana to a point in the Adriatic Sea off the coast of Italy. The agreement provided that any dispute arising under the contract was to be resolved in the London Court of Justice. After a storm in the Gulf of Mexico seriously damaged the rig, Zapata ordered Unterweser's ship to tow the rig to Tampa, Fla., the nearest point of refuge. Thereafter, Zapata sued Unterweser in admiralty in federal court at Tampa. Citing the forum clause, Unterweser moved to dismiss. The District Court denied Unterweser's motion, and the Court of Appeals for the Fifth Circuit, sitting en banc on rehearing, and by a sharply divided vote, affirmed.  [In re Complaint of Unterweser Reederei GmbH, 446 F.2d 907 \(1971\)](#).

This Court vacated and remanded, stating that, in general, "a freely negotiated private international agreement, unaffected by fraud, undue influence, or overweening bargaining power, such as that involved here, should be given full effect."  [407 U.S., at 12-13, 92 S.Ct. at 1914-1915](#) (footnote omitted). The Court further generalized that "in the light of present-day commercial realities and expanding international trade we conclude that the forum clause should control absent a strong showing that it should be set aside."  [Id., at 15, 92 S.Ct., at 1916](#). The Court did not define precisely the circumstances that would make it unreasonable for a court to enforce a forum clause. Instead, the Court discussed a number of factors that made it reasonable to enforce the clause at issue in *The Bremen* and *592 that, presumably, would be pertinent in any determination whether to enforce a similar clause.

In this respect, the Court noted that there was "strong evidence that the forum clause was a vital part of the agreement, and [that] it would be unrealistic to think that the parties did not conduct their negotiations, including fixing the monetary terms, with the consequences of the forum clause figuring prominently in their calculations." *Id.*, at 14, 92 S.Ct., 1915 (footnote omitted). Further, the Court observed that it was not "dealing with an agreement between two Americans to resolve their essentially local disputes in a remote alien forum," and that in such a case, "the serious inconvenience of the contractual forum to one or both of the parties might carry greater weight in determining the reasonableness of the forum clause." *Id.*, at 17,  [92 S.Ct., at 1917](#). The Court stated that even where the forum clause establishes a remote forum for resolution of conflicts, "the party claiming [unfairness] should bear a heavy burden of proof." *Ibid.*

In applying *The Bremen*, the Court of Appeals in the present litigation took note of the foregoing

“reasonableness” factors and rather automatically decided that the forum-selection clause was unenforceable because, **1527 unlike the parties in *The Bremen*, respondents are not business persons and did not negotiate the terms of the clause with petitioner. Alternatively, the Court of Appeals ruled that the clause should not be enforced because enforcement effectively would deprive respondents of an opportunity to litigate their claim against petitioner.

The Bremen concerned a “far from routine transaction between companies of two different nations contemplating the tow of an extremely costly piece of equipment from Louisiana across the Gulf of Mexico and the Atlantic Ocean, through the Mediterranean Sea to its final destination in the Adriatic Sea.”

 *Id.*, at 13, 92 S.Ct., at 1915. These facts suggest that, even apart from the evidence of negotiation regarding the forum clause, it was entirely reasonable for the Court in *The* *593 *Bremen* to have expected Unterweser and Zapata to have negotiated with care in selecting a forum for the resolution of disputes arising from their special towing contract.

In contrast, respondents’ passage contract was purely routine and doubtless nearly identical to every commercial passage contract issued by petitioner and most other cruise lines. See, e.g.,  *Hodes v. S.N.C. Achille Lauro ed Altri-Gestione*, 858 F.2d 905, 910 (CA3 1988), cert. dismissed, 490 U.S. 1001, 109 S.Ct. 1633, 104 L.Ed.2d 149 (1989). In this context, it would be entirely unreasonable for us to assume that respondents-or any other cruise passenger-would negotiate with petitioner the terms of a forum-selection clause in an ordinary commercial cruise ticket. Common sense dictates that a ticket of this kind will be a form contract the terms of which are not subject to negotiation, and that an individual purchasing the ticket will not have bargaining parity with the cruise line. But by ignoring the crucial differences in the business contexts in which the respective contracts were executed, the Court of Appeals’ analysis seems to us to have distorted somewhat this Court’s holding in *The Bremen*.

In evaluating the reasonableness of the forum clause at issue in this case, we must refine the analysis of *The Bremen* to account for the realities of form passage contracts. As an initial matter, we do not adopt the Court of Appeals’ determination that a nonnegotiated forum-selection clause in a form ticket contract is never enforceable simply because it is not the subject of bargaining. Including a reasonable forum clause in a form contract of this kind well may be permissible for several reasons: First, a cruise line has a special interest in limiting the fora in which it potentially could be subject to suit. Because a cruise ship typically carries passengers from many locales, it is not unlikely that a mishap on a cruise could subject the cruise line to litigation in several different fora. See *The*  *Bremen*, 407 U.S., at 13, and n. 15, 92 S.Ct., at 1915, and n. 15;  *Hodes*, 858 F.2d, at 913. Additionally, a clause establishing *ex ante* the forum for dispute resolution has the salutary *594 effect of dispelling any confusion about where suits arising from the contract must be brought and defended, sparing litigants the time and expense of pretrial motions to determine the correct forum and conserving judicial resources that otherwise would be devoted to deciding those motions. See  *Stewart Organization*, 487 U.S., at 33, 108 S.Ct., at 2246 (concurring opinion). Finally, it stands to reason that passengers who purchase tickets containing a forum clause like that at issue in this case benefit in the form of reduced fares reflecting the savings that the cruise line enjoys by limiting the fora in which it may be sued. Cf.  *Northwestern Nat. Ins. Co. v. Donovan*, 916 F.2d 372, 378 (CA7 1990).

We also do not accept the Court of Appeals’ “independent justification” for its conclusion that *The Bremen* dictates that the clause should not be enforced because “[t]here is evidence in the record to indicate that

the Shutes are physically and financially incapable of pursuing this litigation in Florida.”  897 F.2d, at 389. We do not defer to the Court of Appeals’ findings of fact. In **1528 dismissing the case for lack of personal jurisdiction over petitioner, the District Court made no finding regarding the physical and financial impediments to the Shutes’ pursuing their case in Florida. The Court of Appeals’ conclusory reference to the record provides no basis for this Court to validate the finding of inconvenience. Furthermore, the Court of Appeals did not place in proper context this Court’s statement in *The Bremen* that “the serious inconvenience of the contractual forum to one or both of the parties might carry greater weight in determining the reasonableness of the forum clause.”  407 U.S., at 17, 92 S.Ct., at 1917. The Court made this statement in evaluating a hypothetical “agreement between two Americans to resolve their essentially local disputes in a remote alien forum.” *Ibid.* In the present case, Florida is not a “remote alien forum,” nor—given the fact that Mrs. Shute’s accident occurred off the coast of Mexico—is this dispute an essentially local one inherently more suited to resolution in the State of Washington than in Florida. In *595 light of these distinctions, and because respondents do not claim lack of notice of the forum clause, we conclude that they have not satisfied the “heavy burden of proof,” *ibid.*, required to set aside the clause on grounds of inconvenience.

It bears emphasis that forum-selection clauses contained in form passage contracts are subject to judicial scrutiny for fundamental fairness. In this case, there is no indication that petitioner set Florida as the forum in which disputes were to be resolved as a means of discouraging cruise passengers from pursuing legitimate claims. Any suggestion of such a bad-faith motive is belied by two facts: Petitioner has its principal place of business in Florida, and many of its cruises depart from and return to Florida ports. Similarly, there is no evidence that petitioner obtained respondents’ accession to the forum clause by fraud or overreaching. Finally, respondents have conceded that they were given notice of the forum provision and, therefore, presumably retained the option of rejecting the contract with impunity. In the case before us, therefore, we conclude that the Court of Appeals erred in refusing to enforce the forum-selection clause.

B

Respondents also contend that the forum-selection clause at issue violates  46 U.S.C.App. § 183c. That statute, enacted in 1936, see ch. 521, 49 Stat. 1480, provides:

“It shall be unlawful for the ... owner of any vessel transporting passengers between ports of the United States or between any such port and a foreign port to insert in any rule, regulation, contract, or agreement any provision or limitation (1) purporting, in the event of loss of life or bodily injury arising from the negligence or fault of such owner or his servants, to relieve such owner ... from liability, or from liability beyond any stipulated amount, for such loss or injury, or (2) purporting in such event to lessen, weaken, or avoid the right of any claimant to a trial by court of competent *596 jurisdiction on the question of liability for such loss or injury, or the measure of damages therefor. All such provisions or limitations contained in any such rule, regulation, contract, or agreement are hereby declared to be against public policy and

shall be null and void and of no effect.”

By its plain language, the forum-selection clause before us does not take away respondents’ right to “a trial by [a] court of competent jurisdiction” and thereby contravene the explicit proscription of § 183c. Instead, the clause states specifically that actions arising out of the passage contract shall be brought “if at all,” in a court “located in the State of Florida,” which, plainly, is a “court of competent jurisdiction” within the meaning of the statute.

Respondents appear to acknowledge this by asserting that although the forum clause does not directly prevent the determination of claims against the cruise line, it causes plaintiffs unreasonable hardship in asserting **1529 their rights and therefore violates Congress’ intended goal in enacting § 183c. Significantly, however, respondents cite no authority for their contention that Congress’ intent in enacting § 183c was to avoid having a plaintiff travel to a distant forum in order to litigate. The legislative history of § 183c suggests instead that this provision was enacted in response to passenger-ticket conditions purporting to limit the shipowner’s liability for negligence or to remove the issue of liability from the scrutiny of any court by means of a clause providing that “the question of liability and the measure of damages shall be determined by arbitration.” See S.Rep. No. 2061, 74th Cong., 2d Sess., 6 (1936); H.R.Rep. No. 2517, 74th Cong., 2d Sess., 6 (1936). See also Safety of Life and Property at Sea: Hearings before the House Committee on Merchant Marine and Fisheries, 74th Cong., 2d Sess., pt. 4, pp. 20, 36-37, 57, 109-110, 119 (1936). There was no prohibition of a forum-selection clause. Because the clause before us allows for judicial resolution of claims against petitioner and does *597 not purport to limit petitioner’s liability for negligence, it does not violate § 183c.

V

The judgment of the Court of Appeals is reversed.

It is so ordered.

Justice STEVENS, with whom Justice MARSHALL joins, dissenting.

The Court prefaces its legal analysis with a factual statement that implies that a purchaser of a Carnival Cruise Lines passenger ticket is fully and fairly notified about the existence of the choice of forum clause in the fine print on the back of the ticket. See *ante*, at 1524. Even if this implication were accurate, I would disagree with the Court’s analysis. But, given the Court’s preface, I begin my dissent by noting that only the most meticulous passenger is likely to become aware of the forum-selection provision. I have therefore appended to this opinion a facsimile of the relevant text, using the type size that actually appears in the ticket itself. A careful reader will find the forum-selection clause in the 8th of the 25 numbered paragraphs.

Of course, many passengers, like the respondents in this case, see *ante*, at 1524, will not have an opportunity to read paragraph 8 until they have actually purchased their tickets. By this point, the passengers will already have accepted the condition set forth in paragraph 16(a), which provides that “[t]he Carrier shall not be liable to make any refund to passengers in respect of ... tickets wholly or partly not used by a passenger.” Not knowing whether or not that provision is legally enforceable, I assume that the average passenger would accept the risk of having to file suit in Florida in the event of an injury, rather than canceling-without a refund-a planned vacation at the last minute. The fact that the cruise line can reduce its litigation costs, and therefore its liability insurance premiums, by forcing this choice on its passengers does not, in my opinion, suffice to render the *598 provision reasonable. Cf. [Steven v. Fidelity & Casualty Co. of New York](#), 58 Cal.2d 862, 883, 27 Cal.Rptr. 172, 186, 377 P.2d 284, 298 (1962) (refusing to enforce limitation on liability in insurance policy because insured “must purchase the policy before he even knows its provisions”).

Even if passengers received prominent notice of the forum-selection clause before they committed the cost of the cruise, I would remain persuaded that the clause was unenforceable under traditional principles of federal admiralty law and is “null and void” under the terms of Limitation of Vessel Owners Liability Act, ch. 521, 49 Stat. 1480, [46 U.S.C.App. § 183c](#), which was enacted in 1936 to invalidate expressly stipulations limiting shipowners’ liability for negligence.

Exculpatory clauses in passenger tickets have been around for a long time. These **1530 clauses are typically the product of disparate bargaining power between the carrier and the passenger, and they undermine the strong public interest in deterring negligent conduct. For these reasons, courts long before the turn of the century consistently held such clauses unenforceable under federal admiralty law. Thus, in a case involving a ticket provision purporting to limit the shipowner’s liability for the negligent handling of baggage, this Court wrote:

“It is settled in the courts of the United States that exemptions limiting carriers from responsibility for the negligence of themselves or their servants are both unjust and unreasonable, and will be deemed as wanting in the element of voluntary assent; and, besides, that such conditions are in conflict with public policy. This doctrine was announced so long ago, and has been so frequently reiterated, that it is elementary. We content ourselves with referring to the cases of the [Baltimore & Ohio &c. Railway v. Voigt](#), 176 U.S. 498, 505, 507 [20 S.Ct. 385, 388, 44 L.Ed. 560 (1900)], and [Knott v. Botany Mills](#), 179 U.S. 69, 71 [21 S.Ct. 30, 30-31, 45 L.Ed. 90 (1900)], where the previously adjudged cases are referred to and the principles *599 by them expounded are restated.” *The Kensington*, 183 U.S. 263, 268, 22 S.Ct. 102, 104, 46 L.Ed. 190 (1902).

Clauses limiting a carrier’s liability or weakening the passenger’s right to recover for the negligence of the carrier’s employees come in a variety of forms. Complete exemptions from liability for negligence or limitations on the amount of the potential damage recovery,¹ requirements that notice of claims be filed within an unreasonably short period of time,² provisions mandating a choice of law that is favorable to the defendant in negligence cases,³ and forum-selection clauses are all similarly designed to put a thumb on the carrier’s side of the scale of justice.⁴

*600 Forum-selection clauses in passenger tickets involve the intersection of two strands of traditional

contract law that qualify the general rule that courts will enforce the terms of a contract as written. Pursuant to the first strand, courts traditionally have reviewed with heightened scrutiny the terms of contracts of adhesion, form contracts offered on a take-or-leave basis by a party with ****1531** stronger bargaining power to a party with weaker power. Some commentators have questioned whether contracts of adhesion can justifiably be enforced at all under traditional contract theory because the adhering party generally enters into them without manifesting knowing and voluntary consent to all their terms. See, e.g., Rakoff, [Contracts of Adhesion: An Essay in Reconstruction](#), 96 Harv.L.Rev. 1173, 1179-1180 (1983); Slawson, [Mass Contracts: Lawful Fraud in California](#), 48 S.Cal.L.Rev. 1, 12-13 (1974); K. Llewellyn, [The Common Law Tradition](#) 370-371 (1960).

The common law, recognizing that standardized form contracts account for a significant portion of all commercial agreements, has taken a less extreme position and instead subjects terms in contracts of adhesion to scrutiny for reasonableness. Judge J. Skelly Wright set out the state of the law succinctly in [Williams v. Walker-Thomas Furniture Co.](#), 121 U.S.App.D.C. 315, 319-320, 350 F.2d 445, 449-450 (1965) (footnotes omitted):

“Ordinarily, one who signs an agreement without full knowledge of its terms might be held to assume the risk that he has entered a one-sided bargain. But when a party of little bargaining power, and hence little real choice, signs a commercially unreasonable contract with little or no knowledge of its terms, it is hardly likely that his consent, or even an objective manifestation of his ***601** consent, was ever given to all of the terms. In such a case the usual rule that the terms of the agreement are not to be questioned should be abandoned and the court should consider whether the terms of the contract are so unfair that enforcement should be withheld.”

See also [Steven](#), 58 Cal.2d, at 879-883, 27 Cal.Rptr. at 183-185, 377 P.2d, at 295-297; [Henningsen v. Bloomfield Motors, Inc.](#), 32 N.J. 358, 161 A.2d 69 (1960).

The second doctrinal principle implicated by forum-selection clauses is the traditional rule that “contractual provisions, which seek to limit the place or court in which an action may ... be brought, are invalid as contrary to public policy.” See Dougherty, [Validity of Contractual Provision Limiting Place or Court in Which Action May Be Brought](#), 31 A.L.R.4th 404, 409, § 3 (1984). See also [Home Insurance Co. v. Morse](#), 20 Wall. 445, 451, 22 L.Ed. 365 (1874). Although adherence to this general rule has declined in recent years, particularly following our decision in [The Bremen v. Zapata Off-Shore Co.](#), 407 U.S. 1, 92 S.Ct. 1907, 32 L.Ed.2d 513 (1972), the prevailing rule is still that forum-selection clauses are not enforceable if they were not freely bargained for, create additional expense for one party, or deny one party a remedy. See [31 A.L.R.4th, at 409-438](#) (citing cases). A forum-selection clause in a standardized passenger ticket would clearly have been unenforceable under the common law before our decision in [The Bremen](#), see 407 U.S., at 9, and n. 10, 92 S.Ct., at 1912-13, and n. 10, and, in my opinion, remains unenforceable under the prevailing rule today.

The Bremen, which the Court effectively treats as controlling this case, had nothing to say about

stipulations printed on the back of passenger tickets. That case involved the enforceability of a forum-selection clause in a freely negotiated international agreement between two large corporations providing for the towage of a vessel from the Gulf of Mexico to the Adriatic Sea. The Court recognized that such towage agreements had generally been held unenforceable in American ***602** courts,⁵ but held that the doctrine of ****1532** those cases did not extend to commercial arrangements between parties with equal bargaining power.

The federal statute that should control the disposition of the case before us today was enacted in 1936 when the general rule denying enforcement of forum-selection clauses was indisputably widely accepted. The principal subject of the statute concerned the limitation of shipowner liability, but as the following excerpt from the House Report explains, the section that is relevant to this case was added as a direct response to shipowners' ticketing practices.

“During the course of the hearings on the bill (H.R. 9969) there was also brought to the attention of the committee a practice of providing on the reverse side of steamship tickets that in the event of damage or injury caused by the negligence or fault of the owner or his servants, the liability of the owner shall be limited to a stipulated amount, in some cases \$5,000, and in others substantially lower amounts, or that in such event the question of liability and the measure of damages *shall be determined by arbitration*. The amendment to chapter 6 of title 48 of the Revised Statutes proposed to be made by section 2 of the committee amendment is intended to, and in the opinion of the committee will, *put a stop to all such practices and practices of a like character*.” H.R.Rep. No. 2517, 74th Cong., 2d Sess., 6-7 (1936) (emphasis added); see also S.Rep. No. 2061, 74th Cong., 2d Sess., 6-7 (1936).

***603** The intent to “put a stop to all such practices and practices of a like character” was effectuated in the second clause of the statute. It reads:

“It shall be unlawful for the manager, agent, master, or owner of any vessel transporting passengers between ports of the United States or between any such port and a foreign port to insert in any rule, regulation, contract, or agreement any provision or limitation (1) purporting, in the event of loss of life or bodily injury arising from the negligence or fault of such owner or his servants, to relieve such owner, master, or agent from liability, or from liability beyond any stipulated amount, for such loss or injury, or (2) *purporting in such event to lessen, weaken, or avoid the right of any claimant to a trial by court of competent jurisdiction on the question of liability for such loss or injury, or the measure of damages therefor*. All such provisions or limitations contained in any such rule, regulation, contract, or agreement are declared to be against public policy and shall be null and void and of no effect.”  **46 U.S.C.App. § 183c** (emphasis added).

The stipulation in the ticket that Carnival Cruise sold to respondents certainly lessens or weakens their ability to recover for the slip and fall incident that occurred off the west coast of Mexico during the cruise that originated and terminated in Los Angeles, California. It is safe to assume that the witnesses—whether other passengers or members of the crew—can be assembled with less expense and inconvenience at a west

coast forum than in a Florida court several thousand miles from the scene of the accident.

A liberal reading of the 1936 statute is supported by both its remedial purpose and by the legislative history's general condemnation of "all such practices." Although the statute does not specifically mention forum-selection clauses, its language is broad enough to encompass them. The absence of a *604 specific reference is adequately explained by the fact that such clauses were already unenforceable under common law and would not often have been used by carriers, which were relying on stipulations that purported to exonerate them from liability entirely. Cf.  *Moskal v. United States*, 498 U.S. 103, 110-113, 111 S.Ct. 461, 466-468, 112 L.Ed.2d 449 (1990).

The Courts of Appeals, construing an analogous provision of the Carriage of Goods by Sea Act, 46 U.S.C.App. § 1300 *et seq.* 46 U.S.C.App. § 1300 *et seq.*, have unanimously held invalid as limitations on **1533 liability forum-selection clauses requiring suit in foreign jurisdictions. See, e.g., *Hughes Drilling Fluids v. M/V Luo Fu Shan*, 852 F.2d 840 (CA5 1988), cert. denied, 489 U.S. 1033, 109 S.Ct. 1171, 103 L.Ed.2d 229 (1989);  *Union Ins. Soc. of Canton, Ltd. v. S.S. Elikon*, 642 F.2d 721, 724-725 (CA4 1981);  *Indussa Corp. v. S.S. Ranborg*, 377 F.2d 200, 203-204 (CA2 1967). Commentators have also endorsed this view. See, e.g., G. Gilmore & C. Black, *The Law of Admiralty* 145, and n. 23 (2d ed. 1975); Mendelsohn, *Liberalism, Choice of Forum Clauses and the Hague Rules*, 2 J. of Maritime Law & Comm. 661, 663-666 (1971). The forum-selection clause here does not mandate suit in a foreign jurisdiction, and therefore arguably might have less of an impact on a plaintiff's ability to recover. See *Fireman's Fund American Ins. Cos. v. Puerto Rican Forwarding Co.*, 492 F.2d 1294 (CA1 1974). However, the plaintiffs in this case are not large corporations but individuals, and the added burden on them of conducting a trial at the opposite end of the country is likely proportional to the additional cost to a large corporation of conducting a trial overseas.⁶

Under these circumstances, the general prohibition against stipulations purporting "to lessen, weaken, or avoid" the passenger's right to a trial certainly should be construed to apply to the manifestly unreasonable stipulation in these passengers' *605 tickets. Even without the benefit of the statute, I would continue to apply the general rule that prevailed prior to our decision in *The Bremen* to forum-selection clauses in passenger tickets.

I respectfully dissent.

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P.O. Box 526-172, Miami, Florida 33152-0172

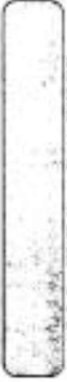
Passenger Booking Office

SHIP

Passenger No.	Sailing	Passenger	Adult	Child
1	Cabin No.			
S P E C I A L				
Fare				
Port Charge				
Total Fare				

Passenger Ticket - To Be Presented For Passage

****1535**

				Passenger Booking Number	
Booking No. Agent	Selling Agent Cabin No.	Passenger	SHIP	Adult	Child

P. O. Box 526116, Miami, Florida 33152-6170

SUBJECT TO CONDITIONS OF CONTRACT ON LAST PAGES
 IMPORTANT! PLEASE READ CONTRACT ON LAST PAGES 1, 2, 3

Fare
 Not Change
 Valid until 12/31/2011

Passenger's Copy - Not Good For Passage

**1536

****1537**

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- [illegible]

****1538**

- 10 Each fully paid adult passenger will be allowed an unlimited amount of baggage free of charge consisting of such wearing apparel, toilet articles, and trunks, personal effects, and other contents as are reasonable and appropriate for the station in title of the passenger and for the purpose of the journey.
- 11 No tools of trade, household goods, presents and/or property of others, jewelry, money, documents, valuables of any description excluding but not limited to such articles as are described in Section 4781 Revised Statute of the U.S.A. (46 USC § 181) shall be carried except under and subject to the terms of a special written contract or Bill of Lading entered into with the Carrier prior to the date of departure of the vessel. The Carrier shall not be liable for loss or damage to such articles contained in any receptacle or container presented by him as baggage, be it that the same are carried on deck or below deck, and the Carrier shall not be liable for loss or damage to such articles if any such article or articles are shipped and the passenger's baggage in breach of this warranty. No liability for negligence, gross or ordinary, shall attach to the Carrier for any loss or damage therein.
- 12 It is stipulated and agreed that the aggregate value of each passenger's property under the Actual Cash Value basis shall not exceed the actual cash value of such property as declared by the passenger in writing, delivered to the Carrier prior to embarkation, declare the true value thereof and pay to the Carrier prior to embarkation a sum (in U.S. Dollars) equal to 5% of the excess of such value, in excess of the declared value, but not in excess of the declared value.
- 13 The Vessel shall be entitled to save and enter ports with or without pilots or tugs, to tow and assist other vessels in any emergency, to proceed to any port or place of refuge, to deviate from any and for any purpose and to deviate in any direction or for any purpose from the direct or usual voyage, all such deviations being considered as forming part of and included in the proposed voyage.
- 14 If the performance of the proposed voyage is hindered or prevented) or in the opinion of the Carrier or the Master is likely to be hindered or prevented) by war, hostilities, blockade, ice, labor con-
- licts, strikes on board or ashore, restraint of rulers or princes, breakdown of the Vessel, congestion, docking difficulties, or any other cause whatsoever, or if the Carrier or the Master considers that for any reason whatsoever, proceeding to, attempting to enter, or entering or remaining in any port or place at which the Vessel may be bound is likely to result in loss or damage or to delay the performance of the voyage, the Carrier may, without liability to refund passage money or fares paid to the passenger, cancel the proposed voyage without liability to refund passage money or fares paid in advance.
- 15 The Carrier and the Master shall have liberty to comply with any orders, recommendations or directions whatsoever given by the Government of any nation or by any department thereof or by any person acting or purporting to act with the authority of such Government or Department or by any Committee or person having under the terms of the War Risks Insurance on the Vessel the right to issue orders, recommendations or directions, anything is done or is not done the same shall not be deemed a deviation or a breach of this Contract. Deviation of any passenger or discharge of his baggage in accordance with such orders, recommendations or directions shall constitute due and proper fulfillment of the obligations of the Carrier under this Contract.
- 16 (a) The Carrier shall not be liable to make any refund to passengers in respect of lost tickets or in respect of tickets wholly or partly not used by a passenger.
- (b) If for any reason whatsoever the passenger is refused permission to land at the port of destination, the Carrier shall not be liable for the return of the passenger to the port of embarkation and his baggage may be landed at any port or place to which the Vessel is bound according to its tariff in use at such time for such further carriage, which shall be upon the terms herein contained.

CONTRACT PAGE 2

- 11) The Carrier and the vessel shall have a lien upon all baggage, claims, masts, sails, and other property belonging to or in the possession of the passenger and the rights set for same by public auction or otherwise for all debts, whether due from the passenger under this contract and for the debt and expenses of entering such lien and of such sale.
- 12) The passenger or if a minor his parent or guardian shall be liable to the Carrier and to the Master for any loss or damage to or on board the vessel or to the Carrier by the equipment for the failure to observe or comply with local requirements in respect of immigration, customs and security of any other Government regulations.
- 13) No passenger shall be allowed to bring on board the vessel weapons, firearms, ammunition, explosives or other prohibited goods without written permission from the Carrier.
- 14) The Carrier shall have liability without limitation to the passenger for any loss or damage to or on board the vessel and shall have liability without limitation to the passenger for any loss or damage to or on board the vessel and shall have liability without limitation to the passenger for any loss or damage to or on board the vessel.
- 15) The passenger warrants that he and those traveling with him are physically fit at the time of embarkation. The Carrier and Master shall reserve the right to refuse passage to anyone whose health or status would be considered a risk to the vessel well-being or that of any other passenger.

CONTRACT PAGE 3

All Citations

499 U.S. 585, 111 S.Ct. 1522, 113 L.Ed.2d 622, 1991 A.M.C. 1697, 59 USLW 4323

Footnotes

- * The Court of Appeals had filed an earlier opinion also reversing the District Court and ruling that the District Court had personal jurisdiction over the cruise line and that the forum-selection clause in the tickets was unreasonable and was not to be enforced. [863 F.2d 1437 \(CA9 1988\)](#). That opinion, however, was withdrawn when the court certified to the Supreme Court of Washington the question whether the Washington long-arm statute, [Wash.Rev.Code § 4.28.185 \(1988\)](#), conferred personal jurisdiction over Carnival Cruise Lines for the claim asserted by the Shutes. See [872](#)

F.2d 930 (CA9 1989). The Washington Supreme Court answered the certified question in the affirmative on the ground that the Shutes' claim "arose from" petitioner's advertisement in Washington and the promotion of its cruises there. 113 Wash.2d 763, 783 P.2d 78 (1989). The Court of Appeals then "refiled" its opinion "as modified herein." See 897 F.2d, at 380, n. 1.

¹ See 46 U.S.C.App. § 183c:

"It shall be unlawful for the ... owner of any vessel transporting passengers between ports of the United States or between any such port and a foreign port to insert in any rule, regulation, contract, or agreement any provision or limitation (1) purporting, in the event of loss of life or bodily injury arising from the negligence or fault of such owner or his servants, to relieve such owner ... from liability, or from liability beyond any stipulated amount, for such loss or injury...."

² See 46 U.S.C.App. § 183b(a):

"It shall be unlawful for the manager, agent, master, or owner of any sea-going vessel (other than tugs, barges, fishing vessels and their tenders) transporting passengers or merchandise or property from or between ports of the United States and foreign ports to provide by rule, contract, regulation, or otherwise a shorter period for giving notice of, or filing claims for loss of life or bodily injury, than six months, and for the institution of suits on such claims, than one year, such period for institution of suits to be computed from the day when the death or injury occurred."

See also 49 U.S.C. § 11707(e) ("A carrier or freight forwarder may not provide by rule, contract, or otherwise, a period of less than 9 months for filing a claim against it under this section and a period of less than 2 years for bringing a civil action against it under this section").

³ See, e.g., *The Kensington*, 183 U.S. 263, 269, 22 S.Ct. 102, 104, 46 L.Ed. 190 (1902) (refusing to enforce clause requiring that all disputes under contract for passage be governed by Belgian law because such law would have favored the shipowner in violation of United States public policy).

⁴ All these clauses will provide passengers who purchase tickets containing them with a "benefit in the form of reduced fares reflecting the savings that the cruise line enjoys by limiting [its exposure to liability]." See *ante*, at 1527. Under the Court's reasoning, all these clauses, including a complete waiver of liability, would be enforceable, a result at odds with longstanding jurisprudence.

- ⁵ “In [*Carbon Black Export, Inc. v. The Monrosa*, 254 F.2d 297 (CA5 1958), cert. dismissed, 359 U.S. 180, 79 S.Ct. 710, 3 L.Ed.2d 723 (1959),] the Court of Appeals had held a forum-selection clause unenforceable, reiterating the traditional view of many American courts that ‘agreements in advance of controversy whose object is to oust the jurisdiction of the courts are contrary to public policy and will not be enforced.’ 254 F.2d, at 300-301.” *The Bremen v. Zapata Off-Shore Co.*, 407 U.S. 1, 6, 92 S.Ct. 1907, 1911, 32 L.Ed.2d 513 (1972).
- ⁶ The Court does not make clear whether the result in this case would also apply if the clause required Carnival passengers to sue in Panama, the country in which Carnival is incorporated.
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2026 WL 538293
Only the Westlaw citation is currently available.
United States District Court, S.D. New York.

J.D. ANDERSON, Cory Hardin, David Muhammad, Ranjith Thiagarajan, and Chase Williams, individually and on behalf of all others similarly situated, Plaintiffs,
v.
BINANCE and Changpeng Zhao, Defendants.

20-cv-02803 (ALC)
|
Signed February 26, 2026

ANDREW L. CARTER, JR., United States District Judge:

I. Factual Background

Defendant Binance is a cryptocurrency exchange that facilitates trades in digital assets—including the digital tokens cited in this action—on the platform Binance.com. Third Amended Complaint, ECF No. 10 (“TAC”) ¶¶ 1, 12. Defendant Zhao founded Binance and served as its Chief Executive Officer from 2017 to November 2023, when he and Defendant Binance pleaded guilty to federal crimes¹. *Id.* ¶ 24. Defendant Zhao, a Canadian citizen, founded Binance in China, then moved the company's headquarters to Japan, and then later to Malta, before ultimately claiming that “Binance.com is not headquartered or operated in Malta ... There are misconceptions some people have on how the world must work a certain way, you must have offices, HQ, etc. But there is a new world with blockchain now ... Binance.com has always operated in a decentralized manner as we reach out to our users across more than 180 nations worldwide.” *Id.* ¶¶ 24–26 (internal quotation marks omitted). However, “Binance has regularly and intentionally engaged in numerous online securities transactions inside the United States, with U.S. residents[.]” *Id.* ¶ 27.

Plaintiffs allege that Defendant Binance offered and sold digital tokens “without a registration statement in effect for these securities and without registering as a broker-dealer, in violation of federal and state securities laws.” Plaintiffs’ Memorandum of Law in Opposition to Defendants’ Motion to Compel Arbitration (“Pl. Opp.”), ECF No. 104 at 1; *see also* TAC ¶ 1 104. Plaintiffs “are residents of California, Nevada, and Texas who purchased tokens on Binance and now seek damages and other relief arising from Defendants’ illegal offering and sale of securities.” Pl. Opp. at 1 (citing TAC ¶¶ 16–20, 400).

Moreover, the Parties agree that “Plaintiffs all created their Binance accounts between September 27, 2017, and April 15, 2018.” Pl.’s Opp. at 2. The record shows that Plaintiffs all used Binance to varying degrees after creating their accounts: Plaintiff Hardin traded as recently as January 7, 2021; Plaintiff Muhammad traded as recently as December 31, 2020; Plaintiff Thiagarajan traded as recently as April 29, 2022; Plaintiff Williams traded as recently as February 7, 2020; and Plaintiff Anderson held assets in his account as of July 23, 2024. Defendants’ Memorandum of Law in Support of Their Motion to Compel Arbitration (“Def. Br.”), ECF No. 141 at 5.

When creating their Binance.com accounts, Plaintiffs agreed to be bound by Binance's Terms of Use.² Def. Br. at 3. At the time that Plaintiffs created their accounts, the Terms of Use that were then in effect were dated July 6, 2017 (the “2017 Terms of Use”), and the Parties do not dispute that Plaintiffs assented to the 2017 Terms of Use. *See* Declaration of Miles Wiley (“Wiley Decl.”) Exs. D, F–J at 1, ECF Nos. 115-4, 115-6–115-10. The 2017 Terms of Use “did not contain an arbitration clause, a choice of law provision, or a class action waiver.” Pl. Opp. at 2 (citing Wiley Decl. Ex. D, ECF No. 115-4). However, the 2017 Terms of Use included a change-of-terms provision stating:

Binance may make or amend this agreement and various rules from time to time as needed, and announce the same on the website, without any individual notice to you. The amended agreement and rules shall come into effect immediately and automatically upon being announced on the website. If you do not agree to the relevant amendment, you shall immediately stop using Binance Service. If you continue using Binance Service you shall be deemed as having accepted the amended agreement and rules.

Def. Br. at 3 (citing Wiley Decl. Ex. D, ECF No. 115-4).

On February 20, 2019, Binance amended the Terms of Use (the “2019 Terms of Use”) and an updated version of Binance's Terms of Use was posted on a web page with the following language placed near the top of the page:

PLEASE READ THESE TERMS CAREFULLY AS THEY GOVERN YOUR USE OF THE SERVICES. THESE TERMS CONTAINS [sic] IMPORTANT PROVISIONS INCLUDING AN ARBITRATION PROVISION THAT REQUIRES ALL CLAIMS TO BE RESOLVED BY WAY OF BINDING ARBITRATION. THE TERMS OF THE ARBITRATION PROVISION ARE SET FORTH IN SECTION 14 BELOW ENTITLED “RESOLVING DISPUTES: FORUM, ARBITRATION, CLASS ACTION WAIVER, GOVERNING LAW.” ... BY ACCESSING, USING OR ATTEMPTING TO USE THE SERVICES IN ANY CAPACITY, YOU ACKNOWLEDGE THAT YOU ACCEPT AND AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE, DO NOT ACCESS OR USE THE SERVICES.

Wiley Decl. Ex. E, ECF No. 115-5. The 2019 Terms of Use incorporated, among other things, an arbitration clause that stated:

You and Binance agree to resolve any claims relating to this Agreement (including any question regarding its existence, validity, termination, or any services or products provided and any representations made by us) through final and binding arbitration[.]

Def. Br. at 3–4 (citing Wiley Decl. Ex. E ¶ 14(b), ECF No. 115-5). The 2019 Terms of Use also set forth the rules for arbitration:

Either you or Binance may submit a dispute (after having made good faith efforts to resolve such dispute in accordance with subsections (a) and (b) above) for final, binding resolution by arbitration under the arbitration rules of the Singapore International Arbitration Centre (“SIAC”), which are deemed to be incorporated by reference. The arbitration tribunal shall consist of a sole arbitrator to be appointed by the President of SIAC. The language of the arbitration hearings shall be English and the seat, or legal place, of arbitration shall be Singapore.

Judgment on any arbitral award may be entered in any court having jurisdiction over the party (or the assets of the party) due and owing such award.

Wiley Decl. Ex. E ¶ 14(c), ECF No. 115-5 (emphasis in original). Additionally, the 2019 Terms of Use state that the “Agreement is governed by the law of Singapore except for its conflicts of laws principles,

unless otherwise required by a mandatory law of any other jurisdiction.” Wiley Decl. Ex. E ¶ 14(f), ECF No. 115-5 (emphasis in original). The 2019 Terms of Use also advise users to “PLEASE READ THIS SECTION CAREFULLY, AS IT INVOLVES A WAIVER OF CERTAIN RIGHTS TO BRING LEGAL PROCEEDINGS, INCLUDING AS A CLASS ACTION FOR RESIDENTS OF THE U.S.” Wiley Decl. Ex. E ¶ 14, ECF No. 115-5. But there are no provisions in the 2019 Terms of Use that detail such a waiver.

II. Procedural History

The instant motion to compel arises out of Plaintiff’s filing of its TAC.³ On May 10, 2024, Plaintiffs filed the TAC in a class action in which they represent two Subclasses of claimants: (1) “[a]ll persons, including Plaintiff Anderson, who purchased on the Binance exchange any of the Tokens to the fullest extent subject to the U.S. securities laws, between July 1, 2017 and Binance’s February 20, 2019 purported imposition of an arbitration clause for the first time and were harmed thereby” and (2) “[a]ll persons who purchased on the Binance exchange any of the Tokens to the fullest extent subject to the U.S. securities laws, on or after February 20, 2019, when Binance purported to impose an unenforceable arbitration clause and the present and were harmed thereby.” TAC ¶ 280. Plaintiffs allege a number of claims under federal and state securities law against Defendants. *Id.* ¶¶ 293–399.

On July 23, 2024, Defendants filed a motion to compel arbitration and a memorandum in support of its motion. ECF Nos. 112, 113. Defendants allege that Plaintiffs were bound by the 2019 Terms of Use and its arbitration provision, thus the TAC should not proceed in federal court. *See* ECF No. 113. On October 7, 2024, Plaintiffs filed their opposition contending that they were not bound by the 2019 Terms of Use because they received insufficient notice of the new terms and, further, that the agreement constitutes an impermissible waiver of their rights under federal securities law. *See* ECF No. 122. On November 13, 2024, Defendants filed their reply asserting, among other things, that Plaintiffs in fact assented to the 2019 Terms of Use through their continued use of Binance. ECF No. 124.

DISCUSSION

The dispositive question in this case is whether Plaintiffs assented to the 2019 Terms of Use. The Court must first decide if there is an agreement to arbitrate. “While federal policy generally favors arbitration, the obligation to arbitrate nevertheless remains a *creature of contract*. Because arbitrators’ authority arises only when the parties agree in advance to that forum, ‘a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.’ ” *Louis Dreyfus Negoce S.A. v. Blystad Shipping & Trading Inc.*, 252 F.3d 218, 224 (2d Cir. 2001) (quoting *AT&T Techs., Inc. v. Commc’ns Workers of Am.*, 475 U.S. 643, 648, 106 S.Ct. 1415, 89 L.Ed.2d 648 (1986)) (emphasis added).

Although Binance operates in the “new world,” the contract issues in this case are familiar even with the advent of Internet-based contracts.⁴ The Parties do not dispute whether Plaintiffs manifested their assent to the 2017 Terms of Use. Indeed, Plaintiffs were required to accept the 2017 Terms of Use to proceed with the creation of their accounts. *See* Wiley Decl. Ex. B, ECF No. 115-2. Such contracts have been deemed “clickwrap” agreements. *See Berkson v. Gogo LLC*, 97 F. Supp. 3d 359, 394–95 (E.D.N.Y. 2015) (“*Clickwrap* refers to the assent process by which a user must click ‘I agree,’ but not necessarily view the contract to which she is assenting.”) (emphasis in original). But this case turns on whether Plaintiff

assented to the arbitration provision incorporated in the 2019 Terms of Use, which were posted on the Binance website after Plaintiffs assented to the 2017 Terms of Use. *See* Wiley Decl. Ex. E, ECF No. 115-5. Such agreements have been called “browsewrap” contracts and bind users through their continued use of services without their affirmative or express agreement. *See id.* at 394 (“*Browsewrap* exists where the online host dictates that assent is given merely by using the site.”) (emphasis in original).

I. Contract Formation

If all Plaintiffs assented to the 2019 Terms of Use, then Defendants’ motion could be resolved in Defendants’ favor, given the incorporation of the choice-of-law and arbitration provisions. To evaluate whether Plaintiffs are bound to the 2019 Terms of Use—and thus the arbitration provision—the Court must first scrutinize the daylight, if any, between Plaintiff’s initial assent to the 2017 Terms of Use by clickwrap and their purported subsequent assent to the 2019 Terms of Use by browsewrap, all the while applying longstanding contract law.

a. State Substantive Law Governs the Validity of the 2019 Terms of Use

Defendants contend that Singapore law governs the validity of the 2019 Terms of Use because the 2019 Terms of Use contain a choice-of-law provision imposing Singapore law. *See* Def. Br. at 8–9. But in so doing, Defendants put the proverbial cart before the horse: for the choice-of-law provision to apply to Plaintiffs—all of whom created their accounts prior to the 2019 Terms of Use—they must be found to in fact be bound by the 2019 Terms of Use. “Relying on a contractual provision before a contract has been found to have been accepted by the parties as binding is unacceptable.” *Berkson*, 97 F. Supp. 3d 387–88.

It is clear and undisputed that Plaintiffs affirmatively assented to the 2017 Terms of Use by manifesting their assent to a clickwrap agreement. *See* Wiley Decl., Exs. F–J at 1, ECF Nos. 115-6–115-10. Plaintiffs, however, challenge whether they assented to the 2019 Terms of Use by way of the change-of-terms provision in the 2017 Terms of Use. *See* Def. Br. at 3 (citing Wiley Decl. Ex. D, ECF No. 115-4). The Court is thus required to consider the law governing the 2017 Terms of Use. But as stated previously, there is no choice-of-law provision in the 2017 Terms of Use, so the Court cannot apply the Singapore choice-of-law provision by default. *See Schnabel v. Trilegiant Corp.*, 697 F.3d 110, 119, 126–27 (2d Cir. 2012) (“Applying the choice-of-law clause to resolve the contract formation issue would presume the applicability of a provision before its adoption by the parties has been established.”).

Where there is no choice-of-law provision in an arbitration agreement, the Court must turn to substantive state law to determine the agreement’s validity. *See, e.g., Specht v. Netscape Communications Corp.*, 306 F.3d 17, 27 (2d Cir. 2002) (“[I]n deciding whether parties agreed to arbitrate a certain matter, a court should generally apply state-law principles to the issue of contract formation.”); *Perry v. Thomas*, 482 U.S. 483, 492 n.9, 107 S.Ct. 2520, 96 L.Ed.2d 426 (1987) (“[S]tate law, whether of legislative or judicial origin, is applicable [to the determination of whether the parties agreed to arbitrate] if that law arose to govern issues concerning the validity, revocability, and enforceability of contracts generally.”); *Erie R. Co. v. Tompkins*, 304 U.S. 64, 78, 58 S.Ct. 817, 82 L.Ed. 1188 (1938) (holding that “[e]xcept in matters governed by the Federal Constitution or by acts of Congress, the law to be applied in any case is the law of the state”).

Courts in this district apply an interest analysis test to determine the state law that governs questions of an agreement's formation. *See Meyer v. Kalanick*, 200 F. Supp. 3d 408, 413 (S.D.N.Y. 2016), *vacated sub nom. Meyer v. Uber Techs., Inc.*, 868 F.3d 66 (2d Cir. 2017). “According to that analysis, a court ‘must consider five factors: (1) the place of contracting; (2) the place of the contract negotiations; (3) the place of the performance of the contract; (4) the location of the subject matter of the contract; and (5) the domicile, residence, nationality, places of incorporation, and places of business of the parties.’ ” *Id.* (quoting *Philips Credit Corp. v. Regent Health Grp., Inc.*, 953 F.Supp. 482, 502 (S.D.N.Y. 1997).

*7 Applying the test to the facts of this case: (1) the contracts were entered into on the Internet; (2) the contracts were not negotiated; (3) there is no place where the contract will be performed; (4) there is no particular location of the subject matter of the contract; and (5) Binance is a decentralized company without any headquarters, but Plaintiffs are domiciled in California, Nevada, and Texas. *See* TAC ¶¶ 16–20, 24–26, 400. Consequently, the Court concludes that the substantive laws of California, Nevada, and Texas govern. Moreover, the laws of California, Nevada, and Texas are substantively similar with respect to contract formation. *See Alkutkar v. Bumble Inc.*, 2022 WL 4112360, at *5 (N.D. Cal. Sept. 8, 2022) (“[T]here is no conflict between Texas and California law for purposes of assent and enforceability of an arbitration agreement.”); *Augustine v. TLC Resorts Vacation Club, LLC*, 2018 WL 3913923, at *4 (S.D. Cal. Aug. 16, 2018) (agreeing with a party in the disposition of a motion to compel that the “outcome in this case is the same whether the Court applies Nevada or California law”)⁵.

b. Plaintiffs Had Some Reasonable Notice of the Arbitration Provision

“Where the assent to terms of a contract is ‘largely passive,’ as is often the case with electronic contracts of adhesion ... ‘the contract-formation question will often turn on whether a reasonably prudent offeree would be on notice of the terms at issue.’ ” *Berkson*, 97 F. Supp. 3d at 393 (citing *Schnabel*, 697 F.3d at 120 126–27). Under California law, contract formation requires mutual assent. *See Binder v. Aetna Life Ins. Co.*, 75 Cal. App. 4th 832, 850, 89 Cal.Rptr.2d 540 (1999); *Nguyen v. Barnes & Noble Inc.*, 763 F.3d 1171, 1173 (9th Cir. 2014) (“We agree with the district court that Barnes & Noble did not provide reasonable notice of its Terms of Use, and that Nguyen therefore did not unambiguously manifest assent to the arbitration provision contained therein.”). Reasonable notice requires that a user have either constructive or actual notice of an agreement's terms. *See Metter v. Uber Tech., Inc.*, No. 16-cv-06652, 2017 WL 1374579, at *2 (E.D. Cal. Apr. 17, 2017). (citing *Nguyen*, 763 F.3d at 1176–79).

i. Plaintiffs Did Not Have Constructive Notice of the Arbitration Agreement

To support their contention that Plaintiffs had constructive notice of the 2019 Terms of Use, Defendants cite *Needleman v. Golden 1 Credit Union*, 474 F. Supp. 3d 1097 . (N.D. Cal. 2020); Defendants’ Reply Memorandum of Law in Support of Their Motion to Compel Arbitration (“Def. Reply”), ECF No. 124 at 7. Like the instant case, *Needleman* implicates the question of whether a defendant provided constructive notice of an arbitration provision to a user who previously agreed to an agreement containing a change-of-terms provision that was later amended to include an arbitration agreement. *Id.* at 1103–05.

But the similarities end there: the plaintiff in *Needleman* was a member of a credit union who enrolled in an online banking program and who indisputably entered into an agreement to receive electronic communications (including account disclosures) through the credit union's online banking platform. *Id.* at

1100–02. An account disclosure regarding arbitration with an opt-out clause was included in the June 2019 statements for online banking users and the plaintiff received an email alerting him that the statement was available for review, although the email lacked any indication that the statement enclosed a disclosure arbitration agreement.⁶ *Id.* at 1100–01.

The plaintiff never checked his June statement, but “[i]f he had, once on the ‘View Statements’ page, visible without scrolling under a bold ‘Statement Inserts’ heading would have been blue, hyperlinked, underlined text reading ‘Arbitration Provision.’ Clicking on this link would have brought [the plaintiff] to a PDF of the same one-page ‘IMPORTANT NOTICE’ that had been inserted in the June monthly statement mailings for customers receiving statements by mail.” *Id.* at 1102. The court held that the defendant provided constructive notice because a “reasonable user in [the plaintiff’s] situation would have understood [their] obligation to utilize the ‘View Statements’ page to stay apprised of important disclosures. Because [the plaintiff] explicitly accepted the terms of Golden 1’s online statements program, he was ‘on notice’ that critical information would be conveyed to him online rather than through the mail.” *Id.* at 1104.

The constructive notice in *Needleman* stands in stark contrast to the obligation imposed on Plaintiffs in the instant case. Notably, the *Needleman* defendant issued individual communications to its users containing the disclosure that advised them of the arbitration provision and allowed them to opt out. Here, Plaintiffs received no contemporaneous individual notice of the enactment of the 2019 Terms of Use. There is also no evidence in the record that an arbitration provision was “announced” as set out in the 2017 Terms of Use and no indication on the face of the agreement as to where Plaintiffs should look for the amendments to the terms. *See* Wiley Decl. Exs. D, O, ECF No. 115-4, 115-15. Here—and despite the change-of-terms provision in the 2017 Terms of Use—Plaintiffs would “would have had no reason to look at the contract posted” on the Binance website (even if they use the website) because “[p]arties to a contract have no obligation to check the terms on a periodic basis to learn whether they have been changed by the other side.” *See Douglas v. United States District Court for the Central District of California*, 495 F.3d 1062, 1066 (9th Cir. 2007) (per curiam).

Indeed, to hold otherwise “would lead to absurd results: contract drafters who included a change-of-terms provision would be permitted to bind individuals daily, or even hourly, to subsequent changes in the terms. The absence of limits on the frequency or substance of changes in terms subverts the basic rule of contract law that ‘[a] contract exists where the parties assent to the same thing in the same sense, so that their minds meet.’ ” *Stover v. Experian Holdings, Inc.*, 978 F.3d 1082, 1086 (9th Cir. 2020) (quoting 17A Am. Jur. 2d Contracts § 30 (August 2020 Update)). Whereas the plaintiff in *Needleman* was reasonably put “on notice of the need to check online statements when new ones are available[,]” Plaintiffs in the instant case did not have a need to do so and therefore they did not receive sufficient constructive notice of the changed terms. *See Needleman*, 474 F. Supp 3d at 1105.

[The court went on to hold that all Plaintiffs had actual notice of the arbitration provision by June 8, 2020.]

c. The Retroactivity of the 2019 Terms of Use

The Court has already found that Plaintiffs did not have constructive notice of the 2019 Terms of Use such that any claims accruing prior to February 20, 2019 are not subject to arbitration. However, even if

Plaintiffs did have constructive notice, the Court finds that the 2019 Terms of Use do not apply retroactively to claims that accrued prior to the effective date.

In *Peleg v. Neiman Marcus Grp., Inc.*, the Court considered an arbitration provision that stated, “the employer may amend, modify, or revoke the arbitration contract on 30 days’ written notice; at the end of the 30-day period, a contract change applies to any claim that has not been filed with the American Arbitration Association (AAA).” 204 Cal. App. 4th 1425, 1432-1433, 140 Cal.Rptr.3d 38 (2012). The *Peleg* Court held that this provision rendered the contract illusory because it “*expressly* provided that any modifications would not apply to claims that had been filed before the modification was implemented. But, the modifications would apply to claims that the employer knew about or that had already accrued, if those claims had not been filed with the AAA.” *Moua v. Optum Servs., Inc.*, 320 F. Supp. 3d 1109, 1113-1114 (C.D. Cal. 2018) (emphasis added) (differentiating express versus implied provisions). The provision in *Peleg* would have allowed “the employer to unilaterally change the terms of the agreement to its benefit when it anticipated a particular claim would be filed.” *Id.* *Peleg* analyzed provisions that were silent as to whether unilateral modification would apply to known or accrued claims differently, holding that while they were not illusory, they were restricted based on the implied covenant of good faith and fair dealing. *Id.*

The arbitration provision at issue in this case states that users agree to resolve *any* claims against Binance. See Def. Br. at 3–4 (citing Wiley Decl. Ex. E ¶ 14(b), ECF No. 115-5). In the Court's view, the 2019 Terms of Use are silent with respect to the time period during which the modification would apply to known or accrued claims. For instance, the arbitration provision could have said, “users agree to resolve any claims that accrued in the past two years” or even “users agree to resolve any claims that accrued any point prior to this effective date.” However, Binance's unilateral modification does not give the user any temporal information. As the *Peleg* Court reasoned, under California law, “A unilateral modification provision that is silent as to whether contract changes apply to claims, accrued or known, is impliedly restricted by the covenant so that changes do not apply to such claims.” 204 Cal. App. 4th 1425, 1465, 140 Cal.Rptr.3d 38 (2012). Therefore, Binance's arbitration provision cannot apply to accrued or known claims prior to February 20, 2019. For the aforementioned reasons, the Court **DENIES** Defendants’ motion to compel arbitration.

Footnotes

- ¹ Defendant Zhao has since been pardoned by President Donald Trump. Will Weissert & Alan Suderman, Trump Pardons Binance Founder Changpeng Zhao, High-Profile Cryptocurrency Figure, A.P. News (Oct. 23, 2025), <https://apnews.com/article/trump-pardon-binance-changpeng-zhao-crypto-exchange-e1cb3fe516bc42b4c7ce5c107a280dc7>.
- ² The Court may consider extrinsic declarations and documents in deciding a motion to compel arbitration. See *Meyer v. Uber Techs. Inc.*, 868 F.3d 66, 74 (2d Cir. 2017) (a court deciding a motion to compel arbitration applies a standard similar to summary judgment, where the court may consider “all relevant, admissible evidence submitted by the parties”). The Terms of Use are also incorporated by reference into the Complaint as “documents possessed by or known to [Plaintiffs] and upon which [they] relied in bringing suit.” *Underwood v. Coinbase Glob., Inc.*, 654 F. Supp. 3d 224, 237 (S.D.N.Y. 2023) (finding terms of use incorporated by reference in action against cryptocurrency trading platform), *aff'd in part, rev'd in part and remanded sub nom. Oberlander v.*

Coinbase Glob. Inc., 2024 WL 1478773 (2d Cir. Apr. 5, 2024). In deciding such a motion, Courts “draw[] all reasonable inferences in favor of the non-moving party.” *Soliman v. Subway Franchisee Advert. Fund Tr., Ltd.*, 999 F.3d 828, 834 (2d Cir. 2021) (quoting *Meyer*, 868 F.3d at 74).

- ³ For completeness, the Court provides herewith a summary of the procedural posture prior to the filing of the TAC. On April 3, 2020, Plaintiff Williams and a former named Plaintiff, Eric Lee, filed the initial Complaint in this case. ECF No. 1. On June 8, 2020, Plaintiffs Anderson, Hardin, Muhammad, Thiagarajan, and Williams (and other then-named Plaintiffs) filed a motion seeking appointment as Lead Plaintiffs in this action. ECF No. 23. The Court granted the motion and ordered that Plaintiffs (and other then-named Plaintiffs) be named Lead Plaintiffs in this action. ECF No. 40. On September 11, 2020, Plaintiffs (and other then-named Plaintiffs) filed an Amended Complaint. ECF No. 43. On December 15, 2020, Plaintiffs (and other then-named Plaintiffs) filed a Second Amended Complaint. ECF No. 55. On February 16, 2021, Defendants moved to dismiss the Second Amended Complaint and/or to compel arbitration. ECF No. 58. On March 31, 2022, the Court granted Defendants’ motion to dismiss without needing to decide Defendants’ prior motion to compel arbitration. ECF No. 77. On April 29, 2022, Plaintiffs filed a notice of appeal of the Court’s grant of the motion to dismiss. ECF No. 79. On March 8, 2024, the Second Circuit reversed the Court’s dismissal of Plaintiffs’ claims. *Williams v. Binance*, 96 F.4th 129, 133 (2d Cir. 2024).
- ⁴ Judge Weinstein thoroughly surveyed the various kinds of electronic adhesion contracts—including clickwrap and browsewrap agreements—when considering the validity of an arbitration agreement in *Berkson v. Gogo LLC*, 97 F. Supp. 3d 359, 394–403 (E.D.N.Y. 2015).
- ⁵ The Parties in this case agree that the outcome would be the same regardless of whether California, Nevada, or Texas law applies.
- ⁶ Additionally, “[f]or Golden 1 account holders who still received paper statements, this information was conveyed through a one-page insert mailed with the customers’ monthly statements. The page reads ‘IMPORTANT NOTICE’ at the top, with key provisions in bold.” *Needleman*, 474 F. Supp. 3d at 1101.

Revision of the Negative Option Rule, Withdrawal of the CARS Rule, Removal of the Non-Compete Rule To Conform These Rules to Federal Court Decisions

A Rule by the [Federal Trade Commission](#) on 02/12/2026

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( printed page 6507)

AGENCY:

Federal Trade Commission.

ACTION:

Final rule.

SUMMARY:

In light of Federal court decisions, the Federal Trade Commission (“FTC” or “Commission”) is taking final action to conform three of its recent rules to the results ordered by the courts. First, the Commission is revising its recently amended “Rule Concerning Recurring Subscriptions and Other Negative Option Programs” (“Negative Option Rule”) to recodify the text of the Negative Option Rule as it existed before the effective date of the Commission's 2024 final rule amending it. Second, the Commission is withdrawing its final rule titled “Combating Auto Retail Scams Trade Regulation Rule” (“CARS Rule”). Third, the Commission is removing its “Non-Compete Clause Rule” (“Non-Compete Rule”) from the Code of Federal Regulations.

DATES:

This rule is effective February 12, 2026. The withdrawal of the Commission's final rule published at 89 FR 590 (/citation/89-FR-590) (Jan. 4, 2024) and delayed at 89 FR 13267 (/citation/89-FR-13267) (Feb. 22, 2024) is also effective February 12, 2026.

FOR FURTHER INFORMATION CONTACT:

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SUPPLEMENTARY INFORMATION:

I. Background and Discussion

The Federal Trade Commission (“FTC” or “Commission”) is taking final action in light of Federal court decisions vacating the Commission's final rules in three of the Commission's recent rulemaking proceedings. These decisions vacated final rules revising the Negative Option Rule and promulgating the CARS Rule and the Non-Compete Rule. Each will be discussed in turn. . . .

C. The Non-Compete Rule—16 CFR Part 910 (<https://www.ecfr.gov/current/title-16/part-910>)

On May 7, 2024, the Commission published its Non-Compete Rule.^[17] The Non-Compete Rule provided that it is an unfair method of competition and therefore a violation of section 5 of the FTC Act for persons to, among other things, enter into non-compete clauses (“non-competes”) with workers on or after September 4, 2024. With respect to existing non-competes— *i.e.*, non-competes entered into before September 4, 2024—the Non-Compete Rule adopted a different approach for senior executives than for other workers. For senior executives, existing non-competes could remain in force, while existing non-competes with other workers were not enforceable after September 4, 2024.^[18]

After the Non-Compete Rule was issued, several employers and trade groups filed lawsuits challenging it. Plaintiffs argued, among other things, that the Commission did not have the statutory authority to issue the Non-Compete Rule; that the rule violated the major questions doctrine; and that it was unlawfully retroactive. Federal district courts in three jurisdictions issued opinions in lawsuits challenging the Non-Compete Rule. In one case, the court denied the plaintiff's motion for a preliminary injunction.^[19] In another case, the court concluded that the plaintiff had demonstrated a likelihood of success on its claim that the Non-Compete Rule violated the major questions doctrine and entered a preliminary injunction that was limited to the plaintiff.^[20] In the third case, the court held that the Non-Compete Rule was unlawful and set it aside.^[21] Specifically, because the court “concluded that (i) the FTC promulgated the Non-Compete Rule in excess of its statutory authority, and (ii) the Rule is arbitrary and capricious,” the court found that it “must ‘hold unlawful’ and ‘set aside’ the FTC's Rule as required under § 706(2)” of the Administrative Procedure Act.^[22]

On September 5, 2025, the Commission voted 3-1 to dismiss its appeals in *Ryan, LLC v. FTC*, No. 24-10951 (5th Cir.), and *Properties of the Villages v. FTC*, No. 24-13102 (11th Cir.) and accede to the vacatur of the Non-Compete Rule.^[23] With the Commission having now acceded to vacatur, this final rule removes the Non-Compete Rule codified at 16 CFR part 910 from the Code of Federal Regulations (“CFR”). . . .

By direction of the Commission.

Joel Christie,
Acting Secretary.

Footnotes . . .

17. See *FTC, Final Rule: Non-Compete Clause Rule*, 89 FR 38342 (/citation/89-FR-38342) (May 7, 2024).

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18. *Id.*

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19. *ATS Tree Servs., LLC v. FTC*, No. CV 24-1743, 2024 WL 3511630, at *19 (E.D. Pa. July 23, 2024).

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20. *Props. of the Villages, Inc. v. FTC*, No. 5:24-CV-316-TJC-PRL, 2024 WL 3870380, at *11 (M.D. Fla. Aug. 15, 2024).

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21. *Ryan, LLC v. FTC*, 746 F. Supp. 3d 369 (N.D. Tex. 2024).

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22. *Id.* at 389-90.

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23. *Press Release, FTC, Federal Trade Commission Files to Accede to Vacatur of Non-Compete Clause Rule* (Sept. 5, 2025), <https://www.ftc.gov/news-events/news/press-releases/2025/09/federal-trade-commission-files-accede-vacatur-non-compete-clause-rule> (<https://www.ftc.gov/news-events/news/press-releases/2025/09/federal-trade-commission-files-accede-vacatur-non-compete-clause-rule>).

[Back to Citation](#) . . .

845 F.2d 76
United States Court of Appeals,
Fourth Circuit.

Eugene V. KLEIN, d/b/a Del Rayo Racing Stable, Plaintiff–Appellee,
v.

PEPSICO, INC., Defendant–Appellant,
and

Universal Jet Sales, Inc., Defendant–Appellee.

Eugene V. KLEIN, d/b/a Del Rayo Racing Stable, Plaintiff–Appellee,
v.

UNIVERSAL JET SALES, INC., Defendant–Appellant,
and

PepsiCo, Inc., Defendant–Appellee.

Eugene V. KLEIN, d/b/a Del Rayo Racing Stable, Plaintiff–Appellant,
v.

UNIVERSAL JET SALES, INC., and PepsiCo, Inc., Defendant–Appellees.

Nos. 87–1086(L), 87–1094 and 87–1095.

|
Argued March 10, 1988.

|
Decided April 25, 1988.

Synopsis

Seller appealed from order of the United States District Court for the District of Virginia, Richard L. Williams, J., which found breach of contract for sale of aircraft and order of specific performance. The Court of Appeals, Ervin, Circuit Judge, held that: (1) evidence sustained finding that contract had been formed, and (2) remedy of specific performance was not warranted.

Affirmed in part, reversed and remanded in part.

Opinion

ERVIN, Circuit Judge:

This case turns on whether a contract was formed between Universal Jet Sales, Inc. (“UJS”) and PepsiCo, Inc., (“PepsiCo”) for the sale of a Gulfstream G–II corporate jet to UJS for resale to one Eugene V. Klein. If a contract was formed, the question remains whether the district court acted within his discretion by ordering specific performance of the contract. We believe the district court properly found that a contract was formed; however, we conclude that the remedy of specific performance is inappropriate. Accordingly, we affirm in part, reverse and remand in part.

I.

In March 1986, Klein began looking for a used corporate jet; specifically, he wanted a G-II. He contacted Patrick Janas, President of UJS, who provided information to Klein about several aircraft including the PepsiCo aircraft. Klein's pilot and mechanic, Mr. Sherman and Mr. Quaid, inspected the PepsiCo jet in New York. Mr. James Welsch served as the jet broker for PepsiCo.

Klein asked that the jet be flown to Arkansas for his personal inspection. On March 29, 1986, he inspected the jet. Mr. Rashid, PepsiCo Vice President for Asset Management and Corporate Service, accompanied the jet to Arkansas and met Mr. Klein. Janas also went to Arkansas. Klein gave Janas \$200,000 as a deposit on *78 the jet, and told Janas to offer \$4.4 million for the aircraft.

On March 31, 1986, Janas telexed the \$4.4 million offer to Welsch. The telex said the offer was subject to a factory inspection satisfactory to the purchaser, and a definitive contract. On April 1, PepsiCo counteroffered with a \$4.7 million asking price. After some dickering, Welsch offered the jet for \$4.6 million. Janas accepted the offer by telex on April 3. Janas then planned to sell the aircraft to Klein for \$4.75 million. In Finding of Fact number 18, JA 85, Judge Williams declared that a contract had been formed at this point.

Judge Williams ruled that a contract was evidenced by Janas' confirming telex which "accepted" PepsiCo's offer to sell the jet, and noted that a \$100,000 down payment would be wired. The telex also asked for the proper name of the company selling the aircraft. See JA 86 Finding of Fact number 22.

On April 3, Janas sent out copies of the Klein/UJS agreement and the UJS-PepsiCo agreement to the respective parties. Janas also sent a bill of sale to PepsiCo (to Rashid). PepsiCo sent the bill of sale to the escrow agent handling the deal on April 8. Mr. Rochoff, PepsiCo's corporate counsel, spoke with Janas about the standard contract sent by Janas to PepsiCo. He noted only that the delivery date should be changed.

On Monday, April 7, the aircraft was flown to Savannah, Georgia for the pre-purchase inspection. Quaid was present at the inspection for Klein. Archie Walker, PepsiCo's chief of maintenance, was present for the seller. Walker and Quaid discussed a list of repairs to be made to the jet. Most of the problems were cured during the inspection. However, one cosmetic problem was to be corrected in New York, and there were cracks in the engine blades of the right engine.

On April 8, a boroscopic examination conducted by Aviall revealed eight to eleven cracks on the turbine blades. Walker told Rashid that the cost of repairing the blades would be between \$25,000 to \$28,000. Judge Williams found in Finding of Fact numbers 34 through 37 that PepsiCo, through Walker and Rashid, agreed to pay for the repair to the engine.

On April 9, the plane was returned to New York. Rashid wanted the plane grounded; however, it was sent to retrieve the stranded PepsiCo Chairman of the Board from Dulles airport that same evening. Donald Kendall, the Chairman, on April 10, called Rashid and asked that the jet be withdrawn from the market. Rashid called Welsch who effected the withdrawal. On the 11th Janas told Klein that PepsiCo refused to tender the aircraft. The deal was supposed to close on Friday, April 11.

On April 14, Klein telexed UJS demanding delivery of the aircraft. That same day, UJS telexed PepsiCo demanding delivery and expressing satisfaction with the pre-purchase inspection. On April 15, PepsiCo

responded with a telex to UJS saying that it refused to negotiate further because discussions had not reached the point of agreement; in particular, Klein was not prepared to go forward with the deal.

Judge Williams, in a lengthy opinion, made numerous findings of fact. Such findings are reviewed only for clear error.  *Davis v. Food Lion*, 792 F.2d 1274, 1277 (4th Cir.1986). If the findings are based on determinations of witness credibility, are consistent, and are corroborated by extrinsic evidence, they are virtually never clearly erroneous. *Brown v. Baltimore and Ohio R. Co.*, 805 F.2d 1133, 1140 (4th Cir.1986).

Judge Williams' decision to grant specific performance is reviewed only for an abuse of discretion. *Haythe v. May*, 223 Va. 359, 288 S.E.2d 487 (1982); *Horner v. Bourland*, 724 F.2d 1142, 1144–45 (5th Cir.1984). Keeping these standards in mind, we now turn to the first issue, whether the district court clearly erred in finding that a contract arose between PepsiCo and UJS.

II.

PepsiCo argues forcefully that no contract was formed between it and UJS. The soft drink dealer argues first that the parties did not intend to be bound until a *79 complete integration was written in final form. Until that definitive written contract existed, PepsiCo maintains that no contract existed. The company argues that the March 31 and April 1 telexes explicitly stated that no contract would exist until a written agreement was executed. Because no written agreement had been executed (PepsiCo had not signed the sales agreement sent by Janas to PepsiCo) the company argues that it had the right to withdraw from the negotiations. PepsiCo cites  *Reprosystem, B.V. v. SCM Corp.*, 727 F.2d 257, 262 (2d Cir.1984), *cert. denied*, 469 U.S. 828, 105 S.Ct. 110, 83 L.Ed.2d 54 (1984) and  *Skycom Corp. v. Telstar Corp.*, 813 F.2d 810, 815–16 (7th Cir.1987) for the general proposition that either party can withdraw from negotiations for any reason.

Upon reviewing the facts, Judge Williams ruled that a contract was formed between the parties. He explains:

A contract was formed between UJS and PepsiCo for the sale of the GII aircraft, Serial No. 170, for \$4.6 million. The contract formation is based upon (1) UJS's April 3rd confirming telex; (2) the conduct of the parties, e.g., (a) PepsiCo's failure to communicate any objection to the terms of the April 3rd telex confirming the agreement reached between Welsch and Janas; (b) PepsiCo's directive to UJS to wire transfer a One Hundred Thousand Dollar (\$100,000.00) down payment, which money was received by PepsiCo; (c) PepsiCo's communication with UJS that the Sales Agreement, which served to memorialize the contract, appeared "fine"; (d) PepsiCo's execution of the Bill of Sale for the aircraft and its sending of the Bill of Sale to the escrow agent, as called for by Janas and in the Sales Agreement; (e) PepsiCo's sending the aircraft to Savannah, Georgia, for a prepurchase inspection as called for in both the April 3rd confirming telex and the Sales Agreement; and (e) admissions of PepsiCo., through Rashid, that UJS's offer to purchase the airplane was accepted.

JA 103–04, Conclusion of Law # 6. Finally, Judge Williams expressly held that the intent to memorialize the contract in writing was not necessarily a condition to the existence of the contract itself. JA 104 (Conclusion of Law number 8).

PepsiCo offers no reason as to why Judge Williams’ findings on this issue are clearly erroneous. They merely disagree with his characterizations of the facts. This court may disagree with his characterization too, but that does not amount to a firm and definite conviction that a mistake has been committed.  [*Anderson v. City of Bessemer City, N.C.*, 470 U.S. 564, 105 S.Ct. 1504, 84 L.Ed.2d 518 \(1985\).](#)

PepsiCo argues secondly, that no contract was formed because the condition of inspection satisfactory to the buyer had not been met. PepsiCo urges strongly that neither UJS nor Klein were willing to accept the aircraft “as is,” so the condition was unsatisfied. Judge Williams ruled that when PepsiCo agreed to make the repairs, the condition was satisfied. Furthermore, the court below ruled that the condition was excused by PepsiCo’s refusal to tender the aircraft so that the buyer could express his dissatisfaction.

The district court’s first ruling, that the condition was satisfied by PepsiCo’s offers to pay for the repairs, resolves this issue. Judge Williams ruled that based on the conversations between Walker and Rashid, the seller had agreed to make the necessary repairs to market the plane. See Finding of Fact 34–37 at JA 89–90. Again, PepsiCo offers no suggestion that Judge Williams committed any error, much less clear error. Rather, PepsiCo urges its version of the facts on this court. Without more, the company loses.

Ultimately, then, a contract exists between PepsiCo and UJS for the sale of one G–II Gulfstream aircraft.¹ Because PepsiCo *80 failed to deliver the aircraft, the district court ordered relief in the form of specific performance. We now consider the appropriateness of the relief ordered.

III.

The [Virginia Code § 8.2–716](#) permits a jilted buyer of goods to seek specific performance of the contract if the goods sought are unique, or in other proper circumstances. Judge Williams ruled that: 1) the G–II aircraft involved in this case is unique and 2) Klein’s inability to cover with a comparable aircraft is strong evidence of “other proper circumstances.” JA 111–112, Conclusions of Law No. 31 and No. 32. These conclusions are not supported in the record.

We note first that Virginia’s adoption of the Uniform Commercial Code does not abrogate the maxim that specific performance is inappropriate where damages are recoverable and adequate.  [*Griscom v. Childress*, 183 Va. 42, 31 S.E.2d 309, 311 \(1944\).](#) In this case Judge Williams repeatedly stated that money damages would make Klein whole. JA 668–9, 582. Klein argued that he wanted the plane to resell it for a profit. JA 669. Finally, an increase in the cost of a replacement does not merit the remedy of specific performance. [*Hilmor Sales Co. v. Helen Neushaefer Division of Supronics Corp.*, 6 U.C.C.Rep.Serv. 325 \(N.Y.Sup.Ct.1969\).](#) There is no room in this case for the equitable remedy of specific performance.

Turning now to the specific rulings of the court below, Judge Williams explained that the aircraft was unique because only three comparable aircraft existed on the market. Therefore, Klein would have to go

through considerable expense to find a replacement. JA 110. Klein's expert testified that there were twenty-one other G-II's on the market, three of which were roughly comparable. JA 838-9, 1284-88. Klein's chief pilot said that other G-II's could be purchased. JA 259. Finally, we should note that UJS bought two G-II's which they offered to Klein after this deal fell through, JA 796-7, and Klein made bids on two other G-II's after PepsiCo withdrew its aircraft from the market. JA 277, 666, 694. Given these facts, we find it very difficult to support a ruling that the aircraft was so unique as to merit an order of specific performance.

Judge Williams ruled further that Klein's inability to cover his loss is an "other proper circumstance" favoring specific performance. Klein testified himself that he didn't purchase another G-II because prices had started to rise. JA 693. Because of the price increase, he decided to purchase a G-III aircraft. As noted earlier, price increases alone are no reason to order specific performance. Because money damages would clearly be adequate in this case, and because the aircraft is not unique within the meaning of the Virginia Commercial Code, we reverse the grant of specific performance and remand the case to the district court for a trial on damages.

AFFIRMED IN PART, REVERSED AND REMANDED IN PART.

All Citations

845 F.2d 76, 6 UCC Rep.Serv.2d 728

Footnotes

- ¹ PepsiCo argues that Klein has no right to sue on the PepsiCo/UJS contract because (1) the contract violates the statute of frauds, (2) Klein was not an intended beneficiary of the contract, and (3) the Klein/UJS contract, from which Klein derives his right to sue PepsiCo, was rescinded. The district court's discussion thoroughly and ably treats these claims and rejects them. Based on the district court's reasoning, this court affirms the disposition of those issues.

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Second, it must be ‘evident’ that the promisor will not perform their obligation by the due date. Mere suspicion or risk of breach will not do. This protects the promisor, who after all has not actually committed a breach and for whom being deprived of the promised counter-performance may have significant negative consequences.²¹

Third, formal notice of the suspension of performance must be given to the promisor ‘as soon as possible’. There is, however, no need for the notice to set out the grounds that are relied upon, which is required for self-help termination²² and would have been more protective of the promisor.²³ He would have had a written statement of the reasoning of the promisee and thereby been better placed to challenge the suspension or alternatively assuage the concerns that prompted it.²⁴

B Enforced Performance in Kind

In sub-section 2 of the new Civil Code under the heading ‘Enforced Performance In Kind’ are set out the remedies that compel the defaulting party either *personally* to perform their contractual obligations (referred to herein as ‘specific enforcement’) or to pay *a third party* to do so in replacement or substitution of the promised performance (referred to as ‘replacement’).

1 Specific enforcement: compelling the defaulting party to perform (*exécution forcée en nature*)

Civil Code

Art. 1124.—A unilateral promise is a contract by which one party, the promisor, grants another, the beneficiary, a right to have the option to conclude a contract whose essential elements are determined, and for the formation of which only the consent of the beneficiary is missing.

Revocation of the promise during the period allowed to the beneficiary to exercise the option does not prevent the formation of the contract which was promised.

A contract concluded in breach of a unilateral promise with a third party who knew of its existence, is a nullity.

²¹ Genicon, ‘The *Exception d’Inexécution*’ (n 2) 310 considers that the drafters must have been concerned in particular to protect companies that are in financial distress, potentially even on the brink of insolvency, for which the anticipatory *exception d’inexécution* may have serious negative consequences.

²² Article 1226 of the Civil Code.

²³ Chantepie and Latina (n 13) [630].

²⁴ See article 7.3.4 of the UNIDROIT principles; Deshayes, Genicon, and Laithier (n 10) 483.

(2016 version)

Art. 1221.—A creditor of an obligation may, having given notice to perform, seek performance in kind unless performance is impossible or if there is a manifest disproportion between its cost to the debtor and its interest for the creditor.

(2018 version)

Art. 1221.—A creditor of an obligation may, having given notice to perform, seek performance in kind unless performance is impossible or if there is a manifest disproportion between its cost to the debtor acting in good faith and its interest for the creditor.

Art. 1341.—A creditor has the right to performance of the obligation; he may compel the debtor to perform under the conditions provided by legislation.

Nearly all obligations are specifically enforceable in French law. An injured party can enforce both monetary and non-monetary obligations in most circumstances.²⁵ It is a very effective remedy, to a large extent because French courts are prepared to deploy significant means in order to give effect to the contract.

(a) The formal recognition of specific enforcement as a remedy

New articles 1217 and 1221 both provide that, upon breach, the injured party can seek specific enforcement of the contract. This has been a central remedy in French law for many years and was widely available before the reforms, despite an apparent conflict in the 1804 Civil Code on the point. Specifically, the stipulation in paragraph 2 of old article 1184 that the injured party could compel the defaulting party to perform where performance was still possible²⁶ appeared at odds with the emphasis on damages to the exclusion of other remedies in old article 1142, which stated that ‘every obligation to do or not to do gives rise to liability in damages in cases of non-performance by the promisor’. In practice, however, the apparent precedence given to damages was always construed restrictively. The courts consistently found that damages did not have to be the main or only remedy. Article 1142 was instead interpreted narrowly, as being confined to obligations of a personal character which could not be specifically enforced.²⁷ This approach is adopted in the new Civil Code, confirming specific enforcement as a broadly available and central remedy in France, which is an article of faith amongst French lawyers.²⁸

²⁵ The enforcement of monetary obligations is dealt with separately at article 1341 of the Civil Code but this merely affirms what article 1221 provides in respect of non-monetary obligations.

²⁶ See also article 1228 of the 1804 Civil Code and article 1 of law 9 July 1991 on the reform of civil enforcement procedures (loi no 91-650 du 9 juillet 1991 portant réforme des procédures civiles d'exécution).

²⁷ Civ 20 Jan 1953, JCP 1953.II.7677, note P Esmein.

²⁸ Chantepie and Latina (n 13) [636]; Y-M Laithier, ‘Exécution Forcée en Nature’ in J Cartwright and S Whittaker (eds), *The Code Napoléon Rewritten: French Contract Law after the 2016 Reforms* (Hart Publishing: Oxford, 2017) 281.

(b) The specific enforcement of monetary obligations

The specific enforcement of monetary obligations is enshrined in new article 1341, which confirms that the right of the injured party to performance under new article 1221 extends to debt claims,²⁹ leaving unaltered the position prior to the reforms.³⁰ It is an unfettered right, in that the contract price can be claimed in preference to other remedies such as compensatory damages and termination.³¹ There does not appear to be any discretion in the court as to the appropriateness of the remedy. As the *Cour de cassation* held in one case, 'a creditor always has the right to prefer the payment of the price to an award of damages or termination of the contract.'³²

An example is a case in which a student entered into a contract with a teaching institution to receive long-distance classes over a six-year period. He had to pay an enrolment fee of thirty francs and thirty-five monthly course fees of forty francs. Nine months after starting the course, he sought to terminate the contract. The *Cour de cassation* quashed the refusal of the lower court to order payment of the monthly fees for the remaining twenty-six months of the term, holding that the institution was entitled to recover the entire balance of the fees.

One means by which the injured party can be impeded in recovering the contract price is the *délai de grâce*.³³ Where the defaulting party is in financial difficulty, new article 1343-5 of the Civil Code confers a discretion on the court to extend time for payment of the sum due by up to two years. It states in its first three paragraphs as follows:

²⁹ See also paragraph 1 of article L111-1 of the Code of Civil Enforcement Procedures.

³⁰ Laithier, 'Exécution Forcée en Nature' (n 28) 269.

³¹ Deshayes, Genicon, and Laithier (n 10) 638 have questioned whether the proportionality requirement in article 1221 of the Civil Code applies to the specific enforcement of monetary obligations. If it were to do so, the injured party may not be entitled to the agreed price where termination and compensatory damages would be adequate remedies and significantly less costly to the defaulting party. The requirement is not referred to in article 1341, suggesting that it does not apply. For P Malaurie, L Aynès, and P Stoffel-Munck, *Droit des obligations* (10th edn, LGDJ: Paris, 2018) [1136], even after the reforms, the injured party can prefer payment of the price over damages or termination. Some authors do not refer to any limitation on the right to obtain payment: F Terré, P Simler, Y Lequette, and F Chénédé, *Droit civil: les obligations* (12th edn, Dalloz: Paris, 2018), and Chantepie and Latina (n 13). See also Laithier, 'Exécution Forcée en Nature' (n 28) 269. It therefore appears that the limitation is understood by French lawyers not to apply in this context.

³² Civ (1) 9 July 2003, JCP 2004.I.163, no 4, obs G Viney; RTD civ 2003.709, obs J Mestre and B Fages; M Fabre-Magnan, *Droit des Obligations, Contrat et engagement unilatéral* (2nd edn, PUF: Paris, 2010) [215]. See, however, Com 22 Oct 1996, Bull civ IV no 260. This decision has been rationalized on the ground that the lower court had accepted, albeit wrongly, that the contract could be terminated unilaterally by the promisor: RTD civ 1997.123, obs J Mestre and P Jourdain 439; D 1997 Somm 173, obs R Libchaber.

³³ A Sériaux, 'Réflexions sur les délais de grâce', RTD civ 1993.789; Laithier, 'Exécution Forcée en Nature' (n 28) 267–8. For a detailed account in English on the *délai de grâce*, see S Whittaker, 'A Period of Grace for Contractual Performance?' in M Andenas et al. (eds), *Liber Amicorum Guido Alpa, Private Law Beyond the National Systems* (British Institute of International and Comparative Law: London, 2007).

Taking into account the situation of the debtor and the needs of the creditor, a court may defer payment of sums that are due, or allow it to be made in instalments, for a period no greater than two years.

By a special, reasoned decision, a court may order that sums corresponding to deferred instalments shall bear interest at a reduced rate (not lower than the legal rate of interest) or that any payments made will first be allocated to repayment of capital.

The court may make these measures subject to the debtor effecting acts appropriate to facilitate or to secure payment of the debt.

A *délai de grâce* usually takes the form of an order allowing deferred payment or payment in instalments.³⁴ Its effect is to postpone the right of the injured party to enforce the debt, allowing more time for the defaulting party to raise the amount owing.³⁵ Performance is therefore delayed, not excused.³⁶ This is justified on grounds of fairness³⁷ and beneficence to the defaulting party who is unable to fulfil a payment obligation despite acting in good faith.³⁸ It also serves to promote the performance of the contract, with late performance thought to be preferable to no performance at all.³⁹

The potential for a *délai de grâce* to prejudice the interests of the injured party is limited by a requirement that the court, when exercising the discretion, balance their needs with those of the defaulting party. It is also open to the court to require the defaulting party to take steps to facilitate or guarantee the payment of the debt.

(c) The specific enforcement of non-monetary obligations

French courts similarly show little hesitation in granting the specific enforcement of non-monetary obligations. It is a remedy that is available to the injured party as of right⁴⁰ and extremely broad in scope.⁴¹ The defaulting party can be compelled to perform in a wide array of circumstances.

(i) *The wide availability of specific enforcement: practical examples*

The breadth of the availability of specific enforcement in French law can be demonstrated by surveying some common types of contract. Perhaps the most ubiquitous is the contract for the sale of goods, which is specifically enforceable. The nature of

³⁴ Whittaker, 'A Period of Grace for Contractual Performance?' (n 33) 1097.

³⁵ J Mestre, 'Réflexions sur l'abus de recouvrer sa créance' in *Mélanges offerts à Pierre Raynaud* (Dalloz-Sirey: Paris, 1985) [14].

³⁶ E Perru, *L'impayé* (LGDJ: Paris, 2005) [491]; Whittaker, 'A Period of Grace for Contractual Performance?' (n 33) 1092–3 and 1098.

³⁷ Laithier, 'Exécution Forcée en Nature' (n 28) 267.

³⁸ Sériaux, 'Réflexions sur les délais de grâce' (n 33) 795.

³⁹ Whittaker, 'A Period of Grace for Contractual Performance?' (n 33) 1098.

⁴⁰ Laithier, 'Exécution Forcée en Nature' (n 28) 263.

⁴¹ *Ibid.*, 262.

the goods, and whether they are unique, is irrelevant. There is no duty to mitigate⁴² and the remedy cannot be refused solely on the basis that substitute performance is possible. In one illustrative case, the Dijon Court of Appeal ordered the performance of a contract for the sale of computer equipment in circumstances where the equipment that had originally been supplied did not conform to specification. The vendor was required to provide a replacement.⁴³

Building contracts are also specifically enforceable. In many cases builders have been ordered to rectify work that does not conform to contractual specification.⁴⁴ By way of example, the remedy was granted in respect of a contract to construct a chalet.⁴⁵ The *Cour de cassation* has also quashed a decision refusing to order the demolition and reconstruction of buildings which, in breach of contract, were built out of conformity with contractual specification.⁴⁶

The possibility that an order for specific enforcement might require a high degree of supervision does not seem to have caused the same concern in France as in England, with potential difficulties in ensuring compliance passing without mention in the literature on the topic. This can also be inferred from the willingness of French courts to order specific enforcement both of building contracts and where the effect of the order is to require the defaulting party to carry on a business. For example, in a case arising out of the oil crisis in the 1970s, an airline discontinued flights on a route between two towns which had been rendered financially onerous because of significant increases in the price of aviation fuel. This amounted to a breach by the airline of a contract with the Chamber of Commerce of one of the towns that the route would be kept open. The *Cour de cassation* affirmed the decision of the Besançon Court of Appeal to order specific enforcement. Despite the change in global economic circumstances, the fulfilment of the obligation remained possible.⁴⁷

(ii) *The specific enforcement of negative promises*

The breach of a negative promise is equally widely restrained in France. In one case, for instance, the *Cour de cassation* quashed the refusal by the Lyon Court of Appeal to order that leased premises, which had been altered in breach of a negative obligation not to modify them during the demise, be restored to the condition in which they had been prior to the lease. That the premises had actually been improved

⁴² See section 4(b) of this chapter on the absence of mitigation in French law; S Le Pautremat, 'Mitigation of Damages: A French Perspective' (2006) 55 ICLQ 205.

⁴³ Dijon 19 Sept 1989, Juris-Data no 1989-049228; Colmar 18 Oct 1972, D 1973.496, note M Cabrillac and A Seube. See S Whittaker, *Liability for Products: English Law, French Law and European Harmonisation* (OUP: Oxford, 2005) 69–86.

⁴⁴ See, for example, Civ (3) 3 May 2001, Bull civ III no 56; Civ (3) 11 May 2005, RDC 2005.323, note D Mazeaud.

⁴⁵ Civ (3) 3 May 2001, Bull civ III no 56.

⁴⁶ See, for example, Civ (3) 11 May 2005, RDC 2005.323, note D Mazeaud.

⁴⁷ Com 31 May 1976, Bull civ IV no 186.

by work undertaken by the tenant was held to be immaterial.⁴⁸ Nor would it have made any difference had the landlord been contemporaneously aware that the work was being undertaken, or that he had made no protest.⁴⁹

The new Civil Code does not contain a specific article that provides for the defaulting party to undo the effects of a breach. This is in contrast with old article 1143, which provided that 'a promisee can request that what has been done in breach of the obligation be destroyed; and he can request authorisation to destroy it himself at the expense of the defaulting promisor'.⁵⁰ The Code now only provides, in new article 1222, for the latter type. This enables the injured party to obtain court approval to destroy a non-compliant subject-matter of the contract and claim the cost of doing so from the defaulting party.⁵¹ It is, however, widely understood that the injured party can, as before the reforms, seek in court that the defaulting party themselves undo the breach.⁵²

(iii) Situations in which specific enforcement of non-monetary obligations will not be ordered

There are three situations in which specific enforcement is unavailable in French law. The first is where performance is impossible.⁵³ This might occur, for example, where the subject-matter of the contract has already been purchased by a bona fide third party.⁵⁴ The second is where specific enforcement would result in involuntary servitude, such as in a contract for the provision of personal services. It has therefore been refused in respect of a contract in which an artist was commissioned to paint and deliver a picture.⁵⁵ The third is where there is a 'manifest disproportion' between the cost of performance to the defaulting party and the interest of the injured party in obtaining it.⁵⁶

This exception is new and amongst the most notable changes made by the reforms. Previously, the courts did not have any discretion as to whether to grant specific enforcement. An order could not be resisted on grounds of unreasonableness or disproportionality. Nor was there an undue hardship bar, meaning that the remedy could be obtained even at the financial ruin of the defaulting party.⁵⁷

⁴⁸ Civ (3) 25 Jan 1995, Bull civ III no 29; see also Civ (3) 3 April 1996, Bull civ III no 91; Civ (1) 14 Oct 1964, D 1964.710; Civ (1) 26 June 1967, D 1967.673; Civ (3) 15 Feb 1978, D 1978.IR.414; Civ (3) 23 May 1978, Bull civ III no 213; Civ (3) 30 June 1993, Bull civ III no 105.

⁴⁹ Civ (3) 27 Mar 1991, Bull civ III no 106.

⁵⁰ P Simler, *Fasc 10—Contrats et obligations—Classification des obligations—Distinction des obligations de donner, de faire et de ne pas faire* (LexisNexis Jurisclasseur: Paris, 2011) [113]–[125]; Terré, Simler, Lequette, and Chénéde (n 31) [781].

⁵¹ Chantepie and Latina (n 13) [636].

⁵² Ibid., [640]; Deshayes, Genicon, and Laithier (n 10) 555.

⁵³ Article 1221 of the Civil Code.

⁵⁴ Lyon 17 Feb 1995, Juris-Data no 1995-049787.

⁵⁵ Civ 14 March 1900, D 1900.I.489; Civ 20 Jan 1953, JCP 1953.II.7677, note P Esmein.

⁵⁶ Article 1221 of the Civil Code.

⁵⁷ Civ (3) 3 Dec 1969, Bull civ III no 2.

This gave rise to some controversial and arguably surprising outcomes. In one case, a building company constructed a house that turned out to be thirteen inches beneath the height required in the contractual specifications. The Aix-en-Provence Court of Appeal found that the breach did not relate to an essential term of the contract and that the house was fit for purpose. It therefore declined the invitation to order that the house be demolished and rebuilt. This decision was quashed by the *Cour de cassation*: the injured party was entitled to compel the defaulting party to perform its obligations to the letter.⁵⁸

In another case, the Aix-en-Provence Court of Appeal was found to have erred in refusing to order that a swimming pool built with three rather than the contractually specified four steps should be modified where the absence of the step did not impede access to the pool.⁵⁹ Similarly, the *Cour de cassation* quashed a decision that a builder should not be compelled to make modifications to a house which, in breach of contract, had been constructed slightly out of alignment with the specified dimensions. It held that it was irrelevant that the difference between the work done and the work required was minimal.⁶⁰

Whilst the new exception was introduced in response to these decisions, it has divided opinion amongst commentators. Some have welcomed the more moderate approach,⁶¹ arguing that to seek to enforce performance at all costs is an abuse of right (*abus de droit*).⁶² In contrast, those who favour the strict availability of specific enforcement have raised concerns that it is inconsistent with the binding force of contract and allows promises to be broken with impunity for no other reason than that the cost of performing is too high.⁶³ Mekki, for instance, has said that the new exception is:

... too close to the solutions in common law systems. Enforced performance is a formidable weapon to encourage the promisor to perform. This exception sends a dangerous message to those promisors who might be tempted to breach their

⁵⁸ Civ (3) 11 May 2005, RDC 2005.323, note D Mazeaud.

⁵⁹ Civ (3) 17 Jan 1984, RTD civ 1984.711, translated in H Beale, B Fauvarque-Cosson, J Rutgers, and S Vogenauer (eds), *Cases, Materials and Text on Contract Law, Ius Commune Casebooks for the Common Law of Europe* (3rd edn, Hart Publishing: Oxford, 2019) 927.

⁶⁰ Civ (3) 17 Nov 1977, Bull Civ III no 392.

⁶¹ Commentators who criticised these decisions include Y-M Laithier, *Étude comparative des sanctions de l'inexécution du contrat* (LGDJ: Paris, 2004) [315]ff; G Viney, 'Exécution de l'obligation, faculté de remplacement et réparation en nature en droit français' in M Fontaine and G Viney (eds), *Les sanctions de l'inexécution des obligations contractuelles, études de droit comparé* (Bruylant: Bruxelles and LGDJ: Paris, 2001) 107.

⁶² See the 'Report to the President' (n 15) 15 which refers to the theory of abuse of right in relation to this new exception.

⁶³ M Mekki, 'Les remèdes à l'inexécution dans le projet d'ordonnance portant réforme du droit des obligations, Gazette Palais 30/4/2015; Terré, Simler, Lequette, and Chénéde (n 31) [778]; T Genicon, 'Contre l'introduction du "coût manifestement déraisonnable" comme exception à l'inexécution forcée en nature' *Droit & Patrimoine* 2014.63; O Tournafond and J-P Tricoire, 'Les contrats de construction face aux nouvelles orientations du droit des contrats' *RDI* 2016.391.

contract, particularly in construction contracts . . . We expect the exception to be confined to abusive claims.⁶⁴

To prevent the exception from being invoked abusively, new article 1221 was amended at the ratification stage in 2018 to require that the defaulting party must be acting in good faith for it to apply. This was intended to remove the possible incentive for a party to commit a breach of contract deliberately with a view to arguing, in bad faith, that the cost of enforced performance is manifestly disproportionate to the interest of the injured party in obtaining the remedy.⁶⁵

No guidance is provided in the reforms either as to the factors that are relevant to assessing the interest of the injured party or the meaning of ‘manifest disproportion.’ Commentators have anticipated that relevant factors are likely to include the seriousness of the breach, the extent of the injured party’s loss, the level of difficulty obtaining the promised performance elsewhere, whether the injured party would themselves be in breach of a separate contract with a third party (for example where there are back-to-back contracts) and the risk of under-compensation if compensatory damages were awarded.⁶⁶ As for ‘manifest disproportion,’ there is consensus that it must be blatant, in the sense of ‘certain, evident and flagrant,’⁶⁷ which serves to limit the scope of the exception.⁶⁸

Whether the exception will have a significant practical impact remains to be seen. It is widely expected to be interpreted narrowly by French courts, which historically have been liberal in ordering specific enforcement.⁶⁹ Such an approach would certainly be welcomed by French commentators, for whom enforced performance should only be refused in extreme cases. In the words of Deshayes, Genicon, and Laithier, ‘the exception is not a principle that is in competition with the binding force of contract and the general availability of specific enforcement. . . It would be a mistake to infer that specific enforcement will be ruled out every time compensatory damages are adequate to fulfil the expectations of the injured party.’⁷⁰ The same is true where a replacement can be obtained in the market-place or the cost of the remedy is high. They have also said that ‘this limitation is meant to operate at the margin,’⁷¹ and is ‘exceptional’ in character.⁷²

As well as introducing this exception, the reforms also removed a limitation on the scope of specific enforcement that existed before the reforms. The remedy was unavailable for ‘unilateral promises to contract’. As explained in Chapter 4, this is

⁶⁴ Mekki (n 63).

⁶⁵ Deshayes, Genicon, and Laithier (n 10) 550–1; Chantepie and Latina (n 13) [638].

⁶⁶ Deshayes, Genicon, and Laithier (n 10) 555; Laithier, ‘Exécution Forcée en Nature’ (n 28) 285.

⁶⁷ Chantepie and Latina (n 13) [638].

⁶⁸ Deshayes, Genicon, and Laithier (n 10) 555.

⁶⁹ Chantepie and Latina (n 13) [639]; Deshayes, Genicon, and Laithier (n 10) 485–8.

⁷⁰ Deshayes, Genicon, and Laithier (n 10) 549.

⁷¹ Ibid.

⁷² Laithier, ‘Exécution Forcée en Nature’ (n 28) 263.

a pre-contractual agreement whereby the promisee is given an exclusive right, exercisable for a defined period of time, to conclude a contract on set terms.⁷³ One example is an exclusive option to purchase real property (*promesse unilatérale de vente*), in respect of which specific enforcement was refused if, in breach of that contract, the promisor sold the property to a third party. The beneficiary of the unilateral promise was confined to damages.⁷⁴ This outcome attracted criticism⁷⁵ on the basis that unilateral promises to contract are fully constituted contracts, from which it was argued to follow that they should be specifically enforceable.

The reforms abolished this limitation. According to paragraph 2 of new article 1124, where a unilateral promise to contract is revoked during the period allowed for the beneficiary to exercise their right, thus breaching that contract, this does not prevent the formation of the promised contract. The beneficiary can seek specific enforcement.⁷⁶ This reinforces the effectiveness and certainty of the unilateral promise.⁷⁷

(iv) *The enforcement of specific enforcement orders*

The effectiveness of specific enforcement in France is given considerable assistance by a separate, ancillary enforcement mechanism known as the *astreinte*. This is a court order made alongside and in support of an order for the specific enforcement of a contractual obligation that requires positive action. It prescribes a period of time—usually in days, weeks, or months—for each of which the promisor is in default, they will be liable to pay a monetary penalty to the injured party.

The *astreinte* is a means of coercing the promisor to comply with a specific enforcement order. Whilst the promisor is not physically compelled to perform, in that they are at liberty not to comply, that will give rise to a liability to pay an ever increasing penalty. This is set at a level that is in proportion to their financial means although, in order to be effective, it will generally be greater than the advantage that they stand to gain from non-performance.⁷⁸ In practice, the resulting pressure is usually effective to bring about performance because the liability will otherwise quickly become substantial. Failure is rare since no one's wealth can hold out indefinitely.

The nature of the *astreinte* is unequivocally punitive. It is granted *in terrorem* on the premise that 'it is necessary to frighten, almost terrorise, to incite

⁷³ See Chapter 4, pp 81–2.

⁷⁴ Civ (3) 15 Dec 1993, D 1994.507, note F Benac-Schmidt. Note the move towards the wider availability of specific enforcement in relation to pre-emption agreements before the reforms: Ch Mixte 26 May 2006, no 03-19376, Bull mixte no 4, D 2006.1861, note P-Y Gautier, note D Mainguy, D 2006.2638, obs S Amrani-Mekki and B Fauvarque-Cosson, RTD civ. 2006.550, obs J Mestre and B Fages.

⁷⁵ M Fabre-Magnan, 'Le mythe de l'obligation de donner' RTD civ 1996.85, 101 ff; D Mazeaud, JCP 1995.I.22366.

⁷⁶ 'Report to the President' (n 15) 6.

⁷⁷ Ibid.

⁷⁸ C Hugon, 'Regard sur le droit des voies d'exécution' RDC 2005.183, 193.

performance.⁷⁹ Two particular features reinforce the punitive effect. First, it is not an insurable risk. Second, in assessing the final sum to be paid, the court will take account of any abusive persistence in non-compliance or bad faith on the part of the defaulting party.⁸⁰

There is also provision for situations in which performance is required urgently. In a procedure for interim relief known as *référé*, where the existence of an obligation is beyond serious question, a *juge des référés* can order the defaulting party to perform, even before finally determining the case. For positive obligations, there is a special kind of *référé*, called the *référé-injonction de faire*.⁸¹

(d) The reasons for the wide availability of specific enforcement

A range of justifications have been advanced for the wide availability of specific enforcement. The first is the binding force of contract (*principe de la force obligatoire du contrat*) or *pacta sunt servanda*, meaning that one must perform that which one has promised.⁸² The bond created by the voluntary will of the parties can only be given full effect by remedies that compel performance.⁸³

It is also often argued that the preference in France for specific enforcement is partly attributable to a perception that damages are an inferior remedy for breach of contract.⁸⁴ They subvert the principle that contractual obligations have binding force and, by their nature, are incapable of providing the injured party with full satisfaction or fulfilment of their expectations. These deficiencies inevitably follow from the acceptance, tacit in any award of damages, that the injured party will not receive the promised performance.⁸⁵ This is portrayed as a 'favour' to the contract-breaker, and damages as an unsatisfactory stopgap for the injured party.⁸⁶

Specific enforcement is also argued to reinforce transactional security. To prefer damages over compelling performance is for many French commentators tantamount to making obligations optional. Specific enforcement promotes trust between contracting parties and in the market more broadly. It is essential for the orderly functioning of the economy that 'promises [are] kept'.⁸⁷

Lastly, a view held by many French commentators is that damages risk under-compensation.⁸⁸ They are also inefficient in deterring breach. Instead, performance

⁷⁹ Ibid.

⁸⁰ Civ (1) 20 Oct 1959, Bull civ I no 419.

⁸¹ Paragraph 2 of article 809 of the Code of Civil Procedure.

⁸² W Jeandidier, 'L'exécution forcée des obligations contractuelles de faire' RTD civ 1976.700.

⁸³ N Molfessis, 'Force obligatoire et exécution: un droit à l'exécution en nature?' RDC 2005.37.

⁸⁴ Laithier, 'Exécution Forcée en Nature' (n 28) 262.

⁸⁵ Ibid.

⁸⁶ D Tallon, 'Dommages et intérêts et exécution en nature. Quelques observations entre la common law et le droit français' JT 1985.601, 602: 'if there is an idea deeply rooted in the legal conscience, it is that only specific performance fully satisfies the injured promisee'.

⁸⁷ P Brun, 'Le droit de revenir sur son engagement' Droit & Patrimoine 1998.79, 78.

⁸⁸ Laithier, 'Exécution Forcée en Nature' (n 28) 262.

should be encouraged at all costs. As Mazeaud and Chabas put it, ‘if compulsion did not exist, many promisors would breach their undertakings’.⁸⁹

2 Obtaining performance from a third party: ‘replacement’

Civil Code

Art. 1222.—Having given notice to perform, a creditor may also himself, within a reasonable time and at a reasonable cost, have an obligation performed or, with the prior authorisation of the court, may have something which has been done in breach of an obligation destroyed. He may claim reimbursement of sums of money employed for this purpose from the debtor.

He may also bring proceedings in order to require the debtor to advance a sum necessary for this performance or destruction.

In the remedy of replacement (*faculté de remplacement*), the defaulting party is required to indemnify the injured party in respect of the cost of employing a third party to perform the obligation that has been breached. It is hybrid in nature, in that it has characteristics of specific enforcement and compensatory damages. The injured party obtains an equivalent of the promised performance but the defaulting party is liable only to pay a monetary sum.⁹⁰

Before the reforms, there was a debate as to the true nature of replacement. It was thought by some commentators to be closer to specific enforcement than damages.⁹¹ This has now implicitly been confirmed by article 1222⁹² being positioned in the section of the new Civil Code on enforced performance in kind (*exécution forcée en nature*), immediately after article 1221, which establishes the centrality of specific enforcement. That said, from a common law perspective, it more closely resembles compensatory damages⁹³ in that the injured party obtains substitute performance as if an award of damages on the cost of cure basis has been made.

⁸⁹ H L Mazeaud and F Chabas, *Leçons de droit civil, Obligations, Théorie générale* (9th edn, Montchrestien: Paris 1998) [931].

⁹⁰ S Whittaker, ‘Performance of Another’s Obligation: French and English Law Contrasted’ in D Johnston and R Zimmerman (eds), *Unjustified Enrichment: Key Issues in Comparative Perspective* (CUP: Cambridge, 2002) 433, 450.

⁹¹ See, for example, G Viney, ‘Exécution de l’obligation, faculté de remplacement et réparation en nature en droit français’ in M Fontaine and G Viney (eds), *Les sanctions de l’inexécution des obligations contractuelles, Études de droit comparé* (Bruylant: Bruxelles and LGDJ: Paris, 2001) 107, 188 ff.

⁹² Even if, as Laithier, ‘Exécution Forcée en Nature’ (n 28) 272 and 281 recognizes, the characterization of replacement as enforced performance in kind ‘is not self-evident’ and ‘technically debatable’.

⁹³ On the differences between replacement in English and French law see S Whittaker, ‘Les sanctions de l’inexécution des contrats. Droit anglais’ in M Fontaine and G Viney (eds), *Les sanctions de l’inexécution des obligations contractuelles, Études de droit comparé* (Bruylant: Bruxelles and LGDJ: Paris, 2001) 977, 1011–14; Laithier, ‘Exécution Forcée en Nature’ (n 28) 263.

252 A.3d 1092
Supreme Court of Pennsylvania.

COMMONWEALTH of Pennsylvania, Appellee
v.

William Henry COSBY Jr., Appellant

No. 39 MAP 2020

|
Argued: December 1, 2020

|
Decided: June 30, 2021

OPINION

JUSTICE WECHT

In 2005, Montgomery County District Attorney Bruce Castor learned that Andrea Constand had reported that William Cosby had sexually assaulted her in 2004 at his Cheltenham residence. Along with his top deputy prosecutor and experienced detectives, District Attorney Castor thoroughly investigated Constand’s claim. In evaluating the likelihood of a successful prosecution of Cosby, the district attorney foresaw difficulties with Constand’s credibility as a witness based, in part, upon her decision not to file a complaint promptly. D.A. Castor further determined that a prosecution would be frustrated because there was no corroborating forensic evidence and because testimony from other potential claimants against Cosby likely was inadmissible under governing laws of evidence. The collective weight of these considerations led D.A. Castor to conclude that, unless Cosby confessed, “there was insufficient credible and admissible evidence upon which any charge against Mr. Cosby related to the Constand incident could be proven beyond a reasonable doubt.”¹

....

Having determined that a criminal trial likely could not be won, D.A. Castor contemplated an alternative course of action that could place Constand on a path to some form of justice. He decided that a civil lawsuit for money damages was her best option. To aid Constand in that pursuit, “as the sovereign,” the district attorney “decided that [his office] would not prosecute [] Cosby,” believing that his decision ultimately “would then set off the chain of events that [he] thought as a Minister of Justice would gain some justice for Andrea Constand.” *Id.* at 63-64. By removing the threat of a criminal prosecution, D.A. Castor reasoned, Cosby would no longer be able in a civil lawsuit to invoke his Fifth Amendment privilege against self-incrimination for fear that his statements could later be used against him by the Commonwealth. Mr. Castor would later testify that this was his intent:

The Fifth Amendment to the United States Constitution states that a person may not be compelled to give evidence against themselves. So you can’t subpoena somebody and make them testify that they did something illegal—or evidence that would lead someone to conclude they did something illegal—on

the threat of if you don't answer, you'll be subject to sanctions because you're under subpoena.

So the way you remove that from a witness is—if you want to, and what I did in this case—is I made the decision as the sovereign that Mr. Cosby would not be prosecuted no matter what. As a matter of law, that then made it so that he could not take the Fifth Amendment ever as a matter of law.

So I have heard banter in the courtroom and in the press the term “agreement,” but everybody has used the wrong word. I told [Cosby's attorney at the time, Walter] Phillips that I had decided that, because of defects in the case, that the case could not be won and that I was going to make a public statement that we were not going to charge Mr. Cosby.

I told him that I was making it as the sovereign Commonwealth of Pennsylvania and, in my legal opinion, that meant that Mr. Cosby would not be allowed to take the Fifth Amendment in the subsequent civil suit that Andrea Constand's lawyers had told us they wanted to bring.

[Attorney] Phillips agreed with me that that is, in fact, the law of Pennsylvania and of the United States and agreed that if Cosby was subpoenaed, he would be required to testify.

But those two things were not connected one to the other. Mr. Cosby was not getting prosecuted at all ever as far as I was concerned. And my belief was that, as the Commonwealth and the representative of the sovereign, that I had the power to make such a statement and that, by doing so, as a matter of law Mr. Cosby would be unable to assert the Fifth Amendment in a civil deposition.

[Attorney] Phillips, a lawyer of vastly more experience even than me—and I had 20 years on the job by that point—agreed with my legal assessment. And he said that he would communicate that to the lawyers who were representing Mr. Cosby in the pending civil suit.

Id. at 64-66. Recalling his thought process at the time, the former district attorney further emphasized that it was “absolutely” his intent to remove “for all time” the possibility of prosecution, because “the ability to take the Fifth Amendment is also for all time removed.” *Id.* at 67.

Consistent with his discussion with Attorney Phillips, D.A. Castor issued another press release, this time informing the public that he had decided not to prosecute Cosby. The press release stated, in full:

Montgomery County District Attorney Bruce L. Castor, Jr. has announced that a joint investigation by his office and the Cheltenham Township Police Department into allegations against actor and comic Bill Cosby is concluded. Cosby maintains a residence in Cheltenham Township, Montgomery County.

A 31 year old female, a former employee of the Athletic Department of Temple University complained to detectives that Cosby touched her inappropriately during a visit to his home in January of 2004. The woman reported the allegation to police in her native Canada on January 13, 2005. Canadian authorities, in turn, referred the complaint to Philadelphia Police. Philadelphia forwarded the complaint to Cheltenham Police. The District Attorney's Office became involved at the request of the Cheltenham Chief of Police John Norris.

Everyone involved in this matter cooperated with investigators including the complainant and Mr. Cosby. The level of cooperation has helped the investigation proceed smoothly and efficiently. The District Attorney commends all parties for their assistance.

The District Attorney has reviewed the statements of the parties involved, those of all witnesses who might have first hand knowledge of the alleged incident including family, friends and co-workers of the complainant, and professional acquaintances and employees of Mr. Cosby. Detectives searched Mr. Cosby's Cheltenham home for potential evidence. Investigators further provided District Attorney Castor with phone records and other items that might have evidentiary value. Lastly, the District Attorney reviewed statements from other persons claiming that Mr. Cosby behaved inappropriately with them on prior occasions. However, the detectives could find no instance in Mr. Cosby's past where anyone complained to law enforcement of conduct, which would constitute a criminal offense.

After reviewing the above and consulting with County and Cheltenham detectives, the District Attorney finds insufficient, credible, and admissible evidence exists upon which any charge against Mr. Cosby could be sustained beyond a reasonable doubt. In making this finding, the District Attorney has analyzed the facts in relation to the elements of any applicable offenses, including whether Mr. Cosby possessed the requisite criminal intent. In addition, District Attorney Castor applied the Rules of Evidence governing whether or not evidence is admissible. Evidence may be inadmissible if it is too remote in time to be considered legally relevant or if it was illegally obtained pursuant to Pennsylvania law. After this analysis, the District Attorney concludes that a conviction under the circumstances of this case would be unattainable. As such, District Attorney Castor declines to authorize the filing of criminal charges in connection with this matter.

Because a civil action with a much lower standard for proof is possible, the District Attorney renders no opinion concerning the credibility of any party involved so as to not contribute to the publicity and taint prospective jurors. The District Attorney does not intend to expound publicly on the details of his decision for fear that his opinions and analysis might be given undue weight by jurors in any contemplated civil action. District Attorney Castor cautions all parties to this matter that he will reconsider this decision should the need arise. Much exists in this investigation that could be used (by others) to portray persons on both sides of the issue in a less than flattering light. The District Attorney encourages the parties to resolve their dispute from this point forward with a minimum of rhetoric.

Press Release, 2/17/2005; N.T., 2/2/2016, Exh. D-4.

D.A. Castor did not communicate to Constand or her counsel his decision to permanently forego prosecuting Cosby. In fact, Constand did not learn of the decision until a reporter appeared at one of her civil attorney's offices later that evening. With the resolution of her allegations removed from the criminal courts, Constand turned to the civil realm. On March 8, 2005, less than one month after the district attorney's press release, Constand filed a lawsuit against Cosby in the United States District Court for the Eastern District of Pennsylvania.

During discovery in that lawsuit, Cosby sat for four depositions. Cosby's attorney for the civil proceedings, John Schmitt, had learned about the non-prosecution decision from Cosby's criminal counsel, Walter Phillips. From the perspective of Cosby's attorneys, the district attorney's decision legally deprived Cosby of any right or ability to invoke the Fifth Amendment. Accordingly, not once during the four depositions did Cosby invoke the Fifth Amendment or even mention it. During one deposition, Attorney Schmitt advised Cosby not to answer certain questions pertaining to Constand, but he did not specifically invoke the Fifth Amendment.⁷ Nor did Cosby claim the protections of the Fifth Amendment when asked about other alleged victims of his sexual abuse, presumably because he believed that he no longer retained that privilege. In fact, no one involved with either side of the civil suit indicated on the

record a belief that Cosby could be prosecuted in the future. D.A. Castor's decision was not included in any written stipulations, nor was it reduced to writing.

Eventually, Constand settled her civil suit with Cosby for \$3.38 million. Initially, the terms of the settlement and the records of the case, including Cosby's depositions, were sealed. However, following a media request, the federal judge who presided over the civil suit unsealed the records in 2015.

Nearly a decade after D.A. Castor's public decision not to prosecute Cosby, the Commonwealth charged Cosby with three counts of aggravated indecent assault stemming from the January 2004 incident with Constand in Cosby's Cheltenham residence. On January 11, 2016, Cosby filed a petition for a writ of *habeas corpus*¹³ seeking, *inter alia*, dismissal of the charges based upon the former D.A. Castor's purported promise—made in his representative capacity on behalf of the Commonwealth—that Cosby would not be prosecuted. The Commonwealth filed a response to the motion, to which Cosby replied.

[The motion was dismissed. The first trial ended in a mistrial. At the end of a second trial, Cosby was convicted on all three counts. He then appealed.]

III. Analysis

[The trial court] concluded that Cosby and D.A. Castor did not enter into a formal immunity agreement. Because the record supports the trial court's findings in this regard, we are bound by those conclusions. Pertinently, we are bound by the trial court's determination that D.A. Castor's actions amounted only to a unilateral exercise of prosecutorial discretion. This characterization is consistent with the former district attorney's insistence at the *habeas* hearing that what occurred between him and Cosby was not an agreement, a contract, or any kind of *quid pro quo* exchange.

We are not, however, bound by the lower courts' legal determinations that derive from those factual findings. Thus, the question becomes whether, and under what circumstances, a prosecutor's exercise of his or her charging discretion binds future prosecutors' exercise of the same discretion. This is a question of law.

For the reasons detailed below, we hold that, when a prosecutor makes an unconditional promise of non-prosecution, and when the defendant relies upon that guarantee to the detriment of his constitutional right not to testify, the principle of fundamental fairness that undergirds due process of law in our criminal justice system demands that the promise be enforced.

Interactions between a prosecutor and a criminal defendant, including circumstances where the latter seeks enforcement of some promise or assurance made by the former, are not immune from the dictates of due process and fundamental fairness. The contours and attendant obligations of such interactions also can involve basic precepts of contract law, which inform the due process inquiry. The applicability of contract law to aspects of the criminal law has been recognized by the Supreme Court of the United States, *see Puckett v. United States*, 556 U.S. 129, 137, 129 S.Ct. 1423, 173 L.Ed.2d 266 (2009), by the United States Court of Appeals for the Third Circuit, *see McKeever v. Warden SCI-Graterford*, 486 F.3d 81, 86 (3d Cir. 2007), and by this Court. *See Commonwealth v. Martinez*, 637 Pa. 208, 147 A.3d 517, 531 (2016). In order

to succeed on a claim of promissory estoppel, the aggrieved party must prove that: (1) the promisor acted in a manner that he or she should have reasonably expected to induce the other party into taking (or not taking) certain action; (2) the aggrieved party actually took such action; and (3) an injustice would result if the assurance that induced the action was not enforced. *See Crouse v. Cyclops Indus.*, 560 Pa. 394, 745 A.2d 606, 610 (2000).

....

Considered together, these authorities obligate courts to hold prosecutors to their word, to enforce promises, to ensure that defendants' decisions are made with a full understanding of the circumstances, and to prevent fraudulent inducements of waivers of one or more constitutional rights. Prosecutors can be bound by their assurances or decisions under principles of contract law or by application of the fundamental fairness considerations that inform and undergird the due process of law. The law is clear that, based upon their unique role in the criminal justice system, prosecutors generally are bound by their assurances, particularly when defendants rely to their detriment upon those guarantees.

There is no doubt that promises made during plea negotiations or as part of fully consummated plea agreements differ in kind from the unilateral discretion exercised when a prosecutor declines to pursue criminal charges against a defendant. As suggested by the trial court in the present case, such an exercise of discretion is not *per se* enforceable in the same way that a bargained-for exchange is under contract law. The prosecutor enjoys "tremendous" discretion to wield "the power to decide whether to initiate formal criminal proceedings, to select those criminal charges which will be filed against the accused, to negotiate plea bargains, to withdraw charges where appropriate, and, ultimately, to prosecute or dismiss charges at trial." *Clancy*, 192 A.3d at 53. Unless patently abused, this vast discretion is exercised generally beyond the reach of judicial interference. *See Stipetich*, 652 A.2d at 1295 (noting that "the ultimate discretion to file criminal charges lies in the district attorney").

While the prosecutor's discretion in charging decisions is undoubtedly vast, it is not exempt from basic principles of fundamental fairness, nor can it be wielded in a manner that violates a defendant's rights. The foregoing precedents make clear that, at a minimum, when a defendant relies to his or her detriment upon the acts of a prosecutor, his or her due process rights are implicated. *See, e.g., Santobello, Baird, and Scotland, supra.*

The Fourteenth Amendment to the United States Constitution and Article I, Section 9 of the Pennsylvania Constitution mandate that all interactions between the government and the individual are conducted in accordance with the protections of due process. *See Commonwealth v. Sims*, 591 Pa. 506, 919 A.2d 931, 941 n.6 (2007) (noting that federal and state due process principles generally are understood as operating co-extensively). We have explained that review of a due process claim "entails an assessment as to whether the challenged proceeding or conduct offends some principle of justice so rooted in the traditions and conscience of our people as to be ranked as fundamental and that defines the community's sense of fair play and decency." *Commonwealth v. Kratsas*, 564 Pa. 36, 764 A.2d 20, 27 (2001) (cleaned up). Due process is a universal concept, permeating all aspects of the criminal justice system. Like other state actors, prosecutors must act within the boundaries set by our foundational charters. Thus, we discern no cause or reason, let alone any compelling one, to waive the prosecution's duty to comply with due process simply because the act at issue is an exercise of discretion, *e.g.*, whether or not to charge a particular suspect with a crime.

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From the reasoning:

1. In the appeal proceedings, the defendant challenges only the amount of the contractual penalty, which, contrary to the Commercial Court's view, should be substantially reduced pursuant to *Art. 163(3) OR*.

a) Under this provision, the judge must reduce an excessively high contractual penalty at his or her discretion. Restraint is called for here, if only because the penalty may, in principle, be set at any amount by the parties pursuant to *Art. 163(1) OR* and because contracts must be honored; the former stems from the fundamental principle of good faith in contracts, while the latter corresponds to the principle of freedom of contract. Judicial intervention in the contract is justified under these principles only if the agreed-upon amount is so high that it exceeds what is reasonable and still compatible with justice and equity (BGE 103 II 135 with references). The most important reason for such intervention lies in the fact that the statutory limits on freedom of contract under Art. 19/20 of the Swiss Code of Obligations (OR) relate to the circumstances at the time the contract was concluded, but the justification for the agreed penalty can only be properly assessed after a breach of contract has occurred (BGE 69 II 79; VON BÜREN, OR General Part, p. 411 et seq.).

A reduction of the contractual penalty is justified in particular when there is a gross disproportion between the agreed amount and the claimant's interest in enforcing it in full. The requirements for the justification and proportionality of the intervention are not determined in general terms but depend on the circumstances of the individual case (BGE 103 II 108 with references). These include, in particular, the nature and duration of the contract (BGE 38 II 102), the severity of the fault and the breach of contract (BGE 103 II 135, BGE 91 II 383), the claimant's interest in compliance with the prohibition (BGE 103 II 135), and the economic situation of the parties involved (BGE 95 II 539 et seq.), particularly that of the obligated party (OSER/SCHÖNENBERGER, n. 16 on *Art. 163 OR*). Furthermore, any dependencies arising from the contractual relationship and the business experience of the parties must be taken into account. In the case of an employee—who is generally also the economically weaker party—a reduction is more justifiable than it would be between contractually equal and business-savvy parties (BECKER, n. 17 on *Art. 163 CO*; VON TUHR/ESCHER, CO General Part II, p. 285 et seq.).

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b) It stands to reason that not only the interests of the claimant but also the severity of the fault should be assessed in light of the damage incurred. However, this does not mean that a contractual penalty is excessive merely because it exceeds the amount that the entitled party could claim as damages for the breach of contract. Consequently, it is not the actual damage incurred but the maximum possible damage that serves as an indicator of excessiveness (BGE 103 II 109; MERZ, ZBJV 115/1979, p. 283). The contractual penalty is the subject of an independent obligation that must be distinguished from liability for damages; this is already evident from the fact that, pursuant to *Art. 161(1) OR*, it becomes due even if the creditor has not suffered any damage.

Finally, it should be noted that it is not the creditor who must demonstrate the reasonableness of the contractual penalty, but rather the debtor who must assert and prove the conditions for a reduction (BGE 103 II 109 with references).

For a much more recent case by the Swiss Federal Court, see the decision dated September 24, 2024 (translated with Deepl)

4.1.2. The parties may set the contractual penalty at any amount they choose. The judge must reduce excessively high contractual penalties at his or her discretion.

When reducing a contractual penalty at the court's discretion, restraint is required for reasons of good faith and freedom of contract (Art. 163(1) OR). Judicial intervention in the contract is justified only if the agreed-upon amount is so high that it exceeds the reasonable limit still compatible with justice and equity (**BGE 133 III 201** E. 5.2, 43 E. 3.3.1). A reduction of the contractual penalty is justified in particular where there is a gross disproportion between the agreed amount and the claimant's interest, at the time of the breach, in enforcing it in full.

Whether this condition is met is not determined on a general basis but depends on the circumstances of the individual case. These include, in particular, the nature and duration of the contract, the severity of the fault and the breach of contract, the other party's interest in enforcing the prohibition, and the financial situation of the parties involved, particularly the obligated party. Furthermore, any dependencies arising from the contractual relationship and the business experience of the parties must be taken into account. A reduction is more readily justified in relation to an economically weaker party than between contracting parties who are economically

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equal and business-savvy ([BGE 133 III 201](#) para. 5.2, 43 para. 3.3.2; Judgment 4A_5/2015 of April 20, 2015, para. 3.1; with references in each case).

4.2.

4.2.1. The non-competition clause agreed upon in the purchase agreement of December 18, 2020, reads as follows with respect to the defendants:

"5.1 A. _____ and Sevenedge AG are prohibited from using the name components 'Prime,' 'GetTemp,' 'Construction,'

'Care,' and '21' to compete with B. _____ AG.

5.2 Likewise, A. _____, his new employer, and all companies affiliated with him are prohibited from presenting themselves on the market in the name of B. _____ AG or its trademarks and subsidiaries, and from using the aforementioned name components 'Prime,' 'GetTemp,' 'Construction,'

'Care'—either alone or in combination with any number—as well as '21' to compete with B. _____ AG or to imply any connection to his former affiliation with B. _____ AG.

Exceptions to this include (a) references to the past in the personal résumés of A. _____ and all employees of his affiliated companies, particularly on social media, as well as (b) situations in which such information is unavoidable in order to fulfill legal and contractual obligations toward third parties, as is particularly required for data protection-related information regarding the origin of personal data or for contract amendments with customers, landlords, and other third parties necessary for the execution of this agreement.

5.3 For each individual instance of a breach of Sections 5.1 and 5.2, A. _____ and/or Sevenedge AG shall owe a contractual penalty of CHF 100,000. Payment of the contractual penalty does not release the party from compliance with the non-competition clause or from liability for consequential damages."

4.2.2. The lower court held that it was undisputed and in accordance with the parties' mutual intent that a letter to the experts at Construction21 AG—both in general and with regard to its specific content—was permissible only to the extent that it was indispensable for informing third parties.

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Within this framework, however, the defendant was permitted to present himself on the market on behalf of the plaintiff or using elements of the plaintiff's name for the purpose of informing third parties, even if he was no longer an officer of the plaintiff. The form and content of the letter to the experts were not objectionable to the extent that they corresponded to the letter to the client dated December 11, 2020. The content of the client letter could not have been false or in breach of contract, since representatives of the plaintiff had also co-signed it.

The plaintiff takes issue with the fact that the defendant referred in the expert letter to the “retroactive takeover of Construction21’s operational business,” whereas the client letter referred to the “retroactive takeover of the candidate placement processes of Construction21.” However, the former statement is not incorrect. The plaintiff did not allege a single operational activity that it had carried out or intended to carry out with Construction21 at the time of the expert letter. Whether it subsequently resumed such activities is irrelevant. Furthermore, the court of first instance merely—and correctly—compared the business areas, processes, and infrastructure mentioned in the client letter or other parts of the record, which had indisputably been transferred to Arkadium. From this, it rightly concluded that this described “virtually the same thing” as the “takeover of the operational business.” The plaintiff did not address this in the appeal, so it need not be considered in this regard. Even insofar as the title does not mention “operational business,” it is not objectionable. The address on the expert’s letter is likewise unproblematic.

4.2.3. On the other hand, it would not have been necessary for the experts’ notice to mention the transfer of the operational business. It would have been sufficient to state that, due to organizational changes, candidates (experts) currently in (ongoing) placement processes would have to contact Arkadium as of October 1, 2020. Consequently, there was no need to change the title used in the client letter (“Retroactive Takeover of Candidate Placement Processes from Construction21”) or to refer to a takeover of the operational business. This applies regardless of whether this statement was entirely or “nearly” correct. The defendant did not explain why he amended the client letter on these points or what necessity there was to do so. It stands to reason that he—or Arkadium—wished to distinguish himself or Arkadium from the plaintiff or Construction21.

In any case, it is clear that the defendant violated the non-competition clause by stating in two places in the expert letter that Arkadium had taken over the operational business of

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Construction21. Consequently, in this context, he was also not permitted to use the “CONSTRUCTION21” logo in the letterhead or the company name “B. _____ AG” below his signature.

4.2.4. The lower court identified a further violation of the non-compete clause in the fact that, unlike in the client letter, the expert letter stated that Arkadium AG acted “as a leading headhunter in the Construction & Property sector serving as a source of information for the experts,” and further: “Arkadium specializes in the Construction and Property sector and focuses exclusively on the following areas: Architecture, civil engineering, construction logistics, building services engineering, the energy sector, property, asset and real estate management, lean construction, and digitalization.”

The statement immediately preceding this—namely, that the plaintiff’s operational business would be taken over by Arkadium—already creates the impression that Arkadium alone is now responsible for the candidates. The following sentence reinforces this impression, especially since it suggests that one can feel secure with Arkadium as a “leading headhunter.” Even the one-time use of this sentence constitutes an abusive advertising practice, particularly since the statement “leading headhunter” has a striking effect. Even the defendant did not dispute that he or Arkadium had used it to promote themselves. Furthermore, the statement follows a list of straightforward facts about “client processes,” “ongoing assignments,” “client management,” and “placement processes with candidates.” As such, it stands out. This advertisement clearly goes beyond what would have been necessary to inform the candidates (experts). Therefore, the defendant was not permitted to use any names, trademarks, or parts of the plaintiff’s name in this advertising. Whether the content of the advertising was accurate is irrelevant.

Finally, the lower court identified a third violation of the non-competition clause but disregarded it because the plaintiff had not raised an objection to it.

4.2.5. With regard to the alleged violations of the non-competition clause, the lower court further considered that the defendant had not proven that he was not at fault. Moreover, given his business experience, it was evident that he had acted with at least conditional intent in drafting and sending the expert letter. This is also supported by the fact that he apparently took the trouble to specifically adapt the expert letter as compared to the client letter.

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Based on the established breaches of contract, the defendant owes a contractual penalty. The lower court reduced the amount of this penalty from the agreed amount to CHF 10,000. The breach of the non-competition clause was deemed very minor. Furthermore, the plaintiff did not suffer any damage and failed to demonstrate any risk of damage. She merely asserted that the candidates were confused by the letter, offering a single email from one candidate as evidence. However, nothing in that email supports her case. The plaintiff should have explained why the candidate's confusion was attributable to the expert's letter. It failed to do so. The same applies to the plaintiff's claim that the statements in breach of contract, such as "leading headhunter," had or could have had a negative impact on its business.

Nor did she explain how many experts were in the database, how many of them were involved in (ongoing) placement processes on January 11, 2021, and whether experts who were not involved in ongoing processes had ceased to use the plaintiff's services in response to the expert's letter. While it is not her responsibility to prove her damages in numerical terms, she nevertheless should have substantively contested the defendant's assertion that the experts' letter had no negative consequences for her and should have demonstrated, at least in broad terms, the existence of damage or a risk of damage. The plaintiff failed to meet this obligation. Therefore, a substantial reduction of the contractual penalty is warranted. Furthermore, the fact that a recurrence of the breach is practically impossible works in the defendant's favor. By contrast, the legal transaction underlying the non-competition clause was financially significant, which in principle justifies higher contractual penalties. A complete waiver is therefore not justified, especially since the contractual penalty always serves a punitive function as well. Moreover, even the defendant did not request a reduction to zero. All things considered, a contractual penalty in the very low five-digit range or CHF 10,000 is appropriate.

4.3. The considerations summarized above are convincing. Neither the plaintiff nor the defendant argues in their respective appeals that the lower court determined the facts arbitrarily or violated federal law.

4.3.1. The defendant continues to deny a violation of the non-competition clause. He reiterates that it was permissible to refer in the expert's letter to an actual takeover of Construction21 by Arkadium. Arkadium had taken over not only all employees and ongoing placement processes, but also the entire business, including the premises, furniture, ongoing operations, and the

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licensing of the database containing information about the companies and the experts to be placed. However, there is no need to address this point. The lower court expressly assessed this finding as “not incorrect” (see E. 4.2.2 above) and did not view it per se as a violation of the non-competition clause. This also applies when the defendant argues that he or Arkadium should have been permitted to inform the experts—or the individuals whose data was being processed—about the takeover of Construction21’s ongoing placement processes. This is undisputed.

On the other hand, the defendant has still not presented any arguments that would demonstrate the lower court’s view—namely, that it was not necessary to mention the transfer of operational business in the letter when informing the experts (E. 4.2.3)—to be arbitrary. The defendant argues that, since the letter to the experts was addressed to all candidates in the database, the focus was on why Construction21’s data had ended up with Arkadium. This argument is not convincing. As the lower court correctly noted, it would have sufficed to state that, due to organizational changes, the experts would have to contact Arkadium as of October 1, 2020. Contrary to the defendant’s view, the lower court does not accuse him of failing to address, in his answer to the complaint or appeal, the alleged necessity of mentioning the transfer of operational business. Rather, it merely assessed the reasoning provided for this as implausible. This is understandable.

Nor does the defendant’s argument against the lower court’s reasoning regarding the impermissibility of describing Arkadium as “a leading headhunter” hold water. The interpretation of the disputed passage as advertising—and thus as impermissible competition against the plaintiff—is convincing. This is not altered by the defendant’s assertion that Arkadium was required and permitted to indicate who it was, or that it, too, was a headhunter. The same applies to the argument that Arkadium had a legitimate interest in retaining the experts in its—expensively acquired—database. Contrary to the defendant’s characterization, the reasoning of the lower court does not indicate that it considered the description as “*one* of the leading headhunters” to be unproblematic or permissible. Furthermore, it is irrelevant whether the recipients of the letter to the experts perceived it as competitive.

Finally, the lower court addressed the defendant’s argument—that the disclosure of data was in the plaintiff’s interest and, in fact, its obligation—as part of its assessment of the amount of the contractual penalty (more on this below).

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4.3.2. The plaintiff does not allege any violations of the non-competition clause other than those found by the lower court. Nor does she present any arguments that would demonstrate that the lower court's findings of fact were arbitrary. This is particularly the case when she asserts—without substantiating this in any way—that the lower court erroneously assumed that she was not working for Construction21 at the time the expert's letter was written. The lower court provided a convincing rationale for why it assumed that what was described was “virtually the same” as the “takeover of the operational business” (see E. 4.2.2 above). The plaintiff's reference in this regard to an email sent to a candidate does not establish arbitrariness. The same applies to her argument that the lower court wrongly assumed she had failed to demonstrate the risk of damage. For example, in connection with the alleged confusion among experts (see above, para. 4.2.5), the plaintiff merely conducts her own assessment of the evidence, while still failing to demonstrate that more than just one candidate was “confused.” In this respect, the appeal does not meet the requirements for a statement of grounds. It need not be addressed.

4.3.3. The arguments raised by the parties regarding the amount of the contractual penalty based on the violations of the non-competition clause do not constitute a violation of federal law.

It is undisputed that the defendant argued in the proceedings that the contractual penalty was “excessive” and should be reduced by the court. As explained, the plaintiff also fails to present any arguments that would demonstrate the lower court's findings of fact—which formed the basis for assessing the reasonableness of the contractual penalty, specifically regarding the severity of the violation and the absence of damage—to be arbitrary. Contrary to the plaintiff's view, it is therefore not objectionable—in light of the principle of party disposition—that the lower court reduced the contractual penalty at its discretion. It did not violate this principle either.

Rather, the lower court reasonably concluded that there is a gross disproportion between the agreed amount of the contractual penalty and the plaintiff's interest in receiving the full contractual penalty at the time of the breach. The plaintiff has not demonstrated otherwise. It is not sufficient to point out that the terms wrongfully used by the defendant are registered trademarks. The plaintiff has not substantiated why a penalty of CHF 50,000 to CHF 100,000 would be appropriate solely for that reason. The same applies to the fact that a mutual non-competition clause was agreed upon and that the parties are experienced in business matters. The

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lower court correctly assessed the violations as extremely minor. Nor is there any cause for objection to its consideration, in this context, that the plaintiff neither suffered any damage nor even began to demonstrate the existence of such damage or a risk of damage. In doing so, it by no means failed to recognize that the occurrence of damage is not, in principle, necessary for the forfeiture of the contractual penalty. Nevertheless, it was entitled to take the absence of such damage into account when assessing the appropriateness of the contractual penalty. This does not constitute a violation of the rule on the burden of proof. To the extent that the plaintiff argues before the Federal Supreme Court that the defendant intended to cause damage by violating the non-competition clause shortly after the conclusion of the purchase agreement, she has not substantiated this claim. Furthermore, this argument is raised out of time. When she asserts that several experts were confused, she relies on facts that are not relevant to the Federal Supreme Court.

Likewise, the lower court correctly took into account that the breach of the non-competition clause occurred on only a single occasion and that there was no risk of recurrence. The plaintiff does not dispute this. Nor does she substantiate that the breach of the non-competition clause would have been “worthwhile” for the defendant—which the amount of the contractual penalty was intended to prevent. According to the lower court’s findings, which were not arbitrary, there is no evidence of this. The lower court correctly took into account that this was in fact a minor violation of the non-competition clause, which would not justify a contractual penalty in the agreed amount—even in light of the principle of good faith. The fact that the legal transaction underlying the non-competition clause was financially significant need not lead to a different conclusion. There can be no question of an arbitrary reduction of the contractual penalty that would be grossly contrary to the principle of fairness.

4.3.4. Nor do the defendant’s arguments regarding the calculation of the contractual penalty constitute an abuse of the discretion afforded to the lower court.

He merely repeats here that Construction21 was not engaged in any operational activities at the time of the letter and that no effects of the violations were apparent. The lower court also proceeded on this basis. It duly took into account both the minor severity of the violations and their effects. There is no grounds for objection to its conclusion that a contractual penalty of CHF 10,000 was appropriate, particularly in light of its punitive function. This is not altered by the

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fact that the defendant merely considers CHF 500 per violation—i.e., CHF 1,000—to be sufficient.